

CSE Pamphlet no.1

The Labour Process & Class Strategies

stage 1

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The Conference of Socialist Economists was organised in 1970 to develop collective work in Socialist Political Economy, to put forward theoretical and practical critiques of bourgeois Political Economy and its implications, and to provide means for people to educate themselves in the area of Political Economy.

The work of the CSE is carried on through a thrice-yearly Bulletin, an annual conference, frequent day-schools organised by ongoing groups working in such areas as the Marxist theory of money, the political economy of women, economic analysis of the EEC, the labour process, or the internationalisation of capital, and local and regional groups. We are now developing a series of pamphlets to supplement the Bulletin in promoting the aims of the CSE.

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Contents

Introduction	1
Surplus value and planning: notes on the reading of Capital <i>Raniero Panzieri</i>	4
The dual economics of transition <i>Alfred Sohn-Rethel</i>	26
The Labour process: from Fordism to neo-Fordism <i>Christian Palloix</i>	46
Class composition and the theory of the party at the origin of the workers councils movement <i>Sergio Bologna</i>	68
Workers and capital <i>Mario Tronti</i>	92

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Introduction

“It is clear that no labour, no productive power, no ingenuity and no art, can answer the overwhelming demands of compound interest. But all saving is made from the revenue of the capitalist, so that actually these demands are constantly made, and as constantly the productive power of labour refuses to satisfy them.” from: *‘Labour defended against the claims of capital’* by A. Laboulaye, T. Hodgskin 1825.

In the labour process, nature is transformed to fulfil human needs. But this transformation must be carried out under certain social relations which can be seen in the productive process itself, and which define not only the conditions of work and the distribution of the product, but the overall configuration of classes and the division of labour between different activities.

Capitalism is characterised by the separation of workers from the means of production. Initially this may simply mean that the capitalist, as owner of the means of production, appropriates the commodities produced by wage-labourers, as in the craft-based stage of production Marx called manufacture, where capital is dependent upon the mutual co-operation of workers. But capital must overthrow the handicraft basis of production — not simply because it imposes technical limits to the accumulation of capital, but because it enables the independent craft worker to resist the discipline of capital. Thus in the full development of the capitalist mode of production capital strives to establish its direct control over the labour process. This becomes a crucial terrain of class struggle; the accumulation of capital depends on capital’s ability to assert its control over the division of labour within production.

For Marx the analysis of the labour process has a further significance. His discussion of the possibility of transition from capitalism to socialism and ultimately to communism, rests heavily on the thesis that the changes brought about in the labour process are producing new forms of class organisation and struggle, which will at last be able to challenge the existence of class society. The deskilling and fragmentation of labour which capital seeks to introduce into production may eliminate the power of the individual worker, but at the same time brings into existence what Marx calls the ‘collective labourer’ — the proletariat which both makes possible

and demands the overthrow of capitalism. He argues then a vital connection between the nature of the labour process and the nature of the class struggle.

The current situation

The present crisis cannot be understood solely in terms of a wages struggle, or of an inherent tendency for the rate of profit to fall. For accumulation of capital to proceed, capital must win its battle for control over production.

In Britain, for example, substantial sectors of the organised working class have consistently and successfully challenged the power of capital to introduce 'rationalisation' or 'Fordism' as the price for higher wages. In sectors where such rationalisation has been introduced the conditions of work have been resisted on a scale which, echoed throughout the advanced industrial countries, has seriously undermined capital accumulation. Groups previously considered as outside the working class movement — nurses, teachers, office workers, among others — have joined this resistance as their conditions of work have become increasingly 'proletarianised'. This upsurge has brought to an end the postwar 'boom' and thrown into question the basis of 'Fordism' and 'Keynesianism' upon which it was constructed.

Capital cannot respond to this sort of challenge merely by wage-cutting policies; it must carry out a re-organisation of the working class so as to both increase surplus-value and alleviate opposition to its smooth operation at every level: hence 'job-enrichment' and 'participation' schemes of every kind are put forward along with sackings, cuts and legal and ideological attacks on workers' organisation. In Britain, the Heath Government found to its cost that a direct frontal assault was dangerous; Labour ministers now attempt a mixture of attack and apparent accommodation, groping for a strategy for a new epoch of capitalist development. A socialist strategy for this situation must aim to know (as well as capital) the forms of struggle developing within different labour processes and to recognise the response of capital so that new possibilities may be quickly seized.

C.S.E. Publications on the Labour Process

The Conference of Socialist Economists has encouraged the development of the study of the labour process through local groups, 'day-schools', and work projects for its 1976 annual conference (Coventry, July 10, 11, 12), which has been entirely given over to the labour process and its ramifications:

- a. The conditions of work given by capital to workers for the production of a surplus product;
- b. Workers' struggle within and against the given conditions of exploitation;
- c. The opposition of workers and capital within the labour process in the history of capitalist development (from the point of view of the expanded

reproduction of capital);

d. The opposition of workers and capital in the labour process in the history of the working class movement (from the point of view of class organisation);

e. The growth of proletariat within capitalist development and the transition to socialism.

A series of publications of work in this area is in preparation. This volume consists of path-breaking articles which relate the different dimensions of the subject, while forthcoming publications will focus on particular aspects.

The articles printed here, two of which appear in English for the first time, fall into two groups. Comrades Panzieri, Sohn-Rethel and Palloix each construct analyses of the development of capitalist division of labour in the workplace and its implications for the overall reproduction of capital. Panzieri and Sohn-Rethel use their analyses to investigate the basis for a transition to socialism created by the socialisation of capital within both the production and circulation spheres, while Palloix uses his analysis to situate the recent initiative of 'humanisation of work' within the present phase of capitalist development.

Comrades Bologna and Tronti analyse the response of workers to conditions of struggle created by capital in its development. Bologna investigates the forms of workers' organisation in German industry at the turn of the century, before the advent of Taylorist job definition and Fordist mass production, as a means of locating the debates which took place in the international workers' movement at the time about the theory of the party. Tronti analyses the protracted cycles of struggle between the forms of organisation taken on by capital and labour around work which have defined the major phases of the history of capitalist society since 1870, in order to assess the strategic needs of the working class movement today.

We present this collection of work not because it contains solid and unshakeable results, but because it represents serious explorations into a vitally important and still poorly understood terrain: the meeting place, in the labour process, of the forces and social relations of production.

January 1976

R.G., T.P.

Surplus value and planning: notes on the reading of 'Capital'

Raniero Panzieri

Translated by Julian Bees

Two central themes of Marxist thought are prominent in the youthful works of Lenin. The first is the *unity* of capitalism's social functioning throughout all its development — from merchant and usury capital to industrial capitalism. Industrial capitalism is '...at first technically quite primitive and does not differ in any way from the old systems of production; then organizes manufacture — which is still based on hand labour, and on the dominant handicraft industries, without breaking the tie between the wage worker and the land — and completes its development with large scale machine industry'[1] Lenin sees very clearly that if mercantile production is taken as the most general form of production, it is only completed in capitalist production, where the commodity form of the product of labour is, precisely, 'universal'. This implies that '...not only the product of labour but labour itself, i.e. human labour power, assumes the form of a commodity'[2] Lenin thus lays a sound foundation for his polemic with the Populists (the Narodniks). 'The contraposition of the Russian order of things to capitalism, a contraposition that cites technical backwardness ... the predominance of manual production, etc. ... is absurd,' Lenin argues, 'because you find capitalism with a low level of technical development just as you find it technically highly developed.'[3]

A second central theme in the young Lenin is the attack on the Populists' 'economic Romanticism.' In this attack, Lenin picks up Marx's polemic with 'underconsumptionist' interpretations of capitalism, and 'underconsumptionist' explanations of the crisis in particular. Like Sismondi, the Populists separate consumption from production claiming that production depends on natural laws, while consumption is determined by distribution, which in turn depends on human will. But political economy's theme

is not by any means 'the production of material values,' as is often claimed ... *but the social relations between men in production*. Only by interpreting 'production' in the former sense can one separate 'distribution' from it, and when that is done, the 'department' of production does not contain the categories of historically determined forms of social economy, but categories that relate to the labour process in general: usually such empty banalities merely serve later to obscure historical and social conditions. (Take for example the concept of capital). If however we consistently regard 'production' as social relations in production, then both 'distribution' and 'consumption' lose all independent significance. Once relations of production have been explained, both the share of the product taken by the different classes and, consequently, 'distribution' and 'consumption' are *thereby* explained. And vice versa, if production

relations remain unexplained (for example if the process of production of the aggregate social capital is not understood) all arguments about consumption and distribution turn into banalities, or innocent, romantic wishes.[4]

Naturally, Lenin adopts the Marxian analysis of accumulation.[5]

It is precisely the scientific analysis of accumulation and of the realization of the product that makes it possible to explain the crisis, not as being determined by insufficient consumption, but rather by '... the contradiction between the social character of production (socialized by capitalism) and the private, individual mode of appropriation.'[6] It is at this point that Lenin gives an extremely schematic explanation of capitalist crises in terms of the 'anarchy of production.'[7]

Lenin thus arrives at two important results. First, he sees the movements of capitalist society and of capital as an evolution of the social relations of production, and, secondly, he uses this basis in order to reject the various reactionary Utopias that flourished spontaneously in Russia at the end of the 19th century in response to the impetuous development of capitalism.[8] Lenin is very insistent in his arguments against the 'sentimental critique' of capitalism, and on his stress on capital's historical necessity and progressiveness, but his analysis of the process of socialization induced by capitalist development against the 'disruption' of the artisan-peasant economy (i.e. of capital in its mercantile stage) remains unilateral and limited. He seems to see the 'antagonistic nature' of development as nothing more than a relationship between the socialization of production and the anarchy of circulation; and he identifies the contradictions within the process of socialization as a simple reflection of anarchy. The capitalist market, i.e. generalized exchange, '... unites men, compelling them to enter into intercourse with each other.'[9] At the end of *The Development of Capitalism in Russia* Lenin analyzes the increase in social labour's productive forces and labour's socialization. He focuses on the formation of an 'immense labour market' in place of the 'fragmentation' typical of the small economic units of the natural economy and on how the general mobility of labour-power destroys patriarchal dependence of the producers and creates large units of free wage labourers.[10] These processes originate directly from the machine industry: '[The] machine industry marks gigantic progress in capitalist society not only because it increases the productive forces enormously and socializes labour throughout society, but also because it destroys the manufactory division of labour, compels the workers to go from occupations of one kind to others, completes the destruction of backward patriarchal relationships, and gives a most powerful impetus to the progress of society, both for the reasons stated and as a consequence of the concentration of the industrial population.'[11]

Obviously Lenin does not ignore the effects of the capitalist use of machinery on the conditions of the working class, but he does not see how the laws of capitalist development in the era of competition appear as capitalist *planning* in the sphere of direct production at the level of the factory. The predominating law of relative surplus value in this era

simultaneously makes *individual* capital the mainspring of the development of social capital *and* forces increasing planning in the factory. But Marx's recognition that the basis of capital's despotic plan lies in the capitalist appropriation of scientific technique is absent in Lenin's analysis of the factory. Thus the deeper meaning of the development of productive forces in large-scale capitalist industry remains hidden from Lenin. Since he does not see that capitalist planning with its concomitant socialization of labour is a fundamental form of direct production, Lenin can only understand capitalist technology and capitalist planning as totally external to the social relationship that dominates and moulds them. He concludes that *anarchy* of production is the essential expression of the law of surplus value and it will be this anarchy that will decide capitalism's historical fate. In fact, Lenin explicitly rejects the hypothesis of an 'amalgamation of the labour process of all the capitalist into a single social labour process' as an absurdity, because it is incompatible with private property. This failure to appreciate the importance of planning leads to seeing an absolute incompatibility between the integration of the social labour process and the fact that each single branch of production is directed by an individual capitalist and gives him the social product as his own private property.[13]

Surplus Value and Planning in Direct Production

Let us now review some of the fundamental points of the analysis of the direct process of production contained in Part IV of the First Volume of *Capital* (leaving aside the well-known texts of Marx and Engels such as the *Introduction to A Contribution to the Critique of Political Economy*, *Anti-Dühring*, etc., which seem to support the Leninist interpretation).

To start with, we should stress that the socialization of labour does not fall within a socially neutral sphere, but appears within the framework of capitalist development right from the outset. The basis of the capitalist process is the transformation of labour into commodities, during which the worker surrenders to the capitalist the use of his individual labour-power. This remains true on whatever scale the labour-power is sold and bought: 'The capitalist pays the value of ... independent labour-powers, but he does not pay for the combined labour power' of the workers involved.[14] The relationship between the workers, their cooperation, appears only *after* the sale of their labour-power, which involves the simple relationship of *individual workers* to capital. In Marx, therefore, the relationship between the labour process and the creation of surplus value is rather more intimate and complex at the level of direct production than it is at the level of the productive process as a whole. 'Cooperation begins only with the labour process, but they (the workers) have then ceased to belong to themselves. On entering that process, they become incorporated with capital. As cooperators, as members of a working organism, they are but special modes of existence of capital. Hence the productive power developed by the labourer *when working in cooperation*, is *the productive power of capital*.'[15]

This is where the fundamental mystification of political economy puts in its appearance: Because the social productive power of labour 'costs capital nothing, and because, on the other hand, the labourer himself does not develop it before his labour belongs to capital, it appears as a power with which capital is endowed by Nature — a productive power that is *immanent* in capital.' [16] Marx adopted a *historical* analysis of the forms of simple cooperation in order to insist on its *peculiarities* under the capitalist mode of production.

In the capitalist mode of production cooperation is the *fundamental* form. Cooperation is the basis for the development of labour's social productive forces. Cooperation in its capitalist form is therefore the first and basic expression of the law of (surplus) value. We can get a better idea of the law's characteristics if we follow in Marx's footsteps and look at cooperation from a social-economic viewpoint. 'When *numerous labourers* work together side by side, whether in *one and the same* process, or in different but *connected* processes, they are said to *co-operate*, or to work in *co-operation*.' [17] Starting from cooperation, capital takes command over a *planned labour process*. Planning immediately appears at the level of direct production not in contradiction to capital's mode of operation but as an essential aspect of capital's development. Therefore there is no incompatibility between planning and capital, for by taking control of the labour process in its cooperative form (thus realizing its 'historical mission'), capital at the same time appropriates the process' fundamental and specific characteristic, which is planning.

In effect, the Marxian analysis is intended to show how capital utilizes planning at increasingly higher levels of the productive process - from simple cooperation to manufacture and to large-scale industry - in order to strengthen and extend its command over labour power and obtain an even larger access to it. Further, the analysis aims at demonstrating how a growing capitalistic use of planning in the factory is capital's response to the negative effects of both the chaotic movements and clashes of the individual capitals within the sphere of circulation, and the legislative limits imposed on the extensive exploitation of labour power.

The first aspect under which capitalist planning makes its appearance is in the functions of direction, control and coordination, i.e. in those 'general functions that have their origin in the section of the combined organism, as distinguished from the action of the separate organs.' [18] These are clearly characteristics of cooperative labour. Thus, command over labour power and the function of direction intersect and link up into an objective mechanism that stands in opposition to the workers.

The co-operation of wage labourers is entirely brought about by the capital that employs them. Their union into one single productive body and the establishment of a connection between their individual functions, are matter foreign and *external* to them, are not their own act, but the act of capital that brings them and keeps together. Hence the connection existing between their various labours appears to them, ideally, in the shape of a pre-conceived plan of the capitalist, and practically in the

shape of the powerful will of another, who subjects their activity to his aims. If, then, the control of the capitalist is *in substance* twofold by reason of the twofold nature of the process of production itself - which, on the one hand, is a social process for producing use-values, on the other a process for creating surplus-value - *in form* that control is *despotic*. [19] Capital's planning mechanism tends to extend and perfect its despotic nature during the course of capital's development. For it has to control a growing mass of labour-power with the concomitant increase of workers' resistance while the augmented means of production require a higher degree of integration of the living raw material'.

As Marx points out, the technical basis for the division of labour in the period of manufacture production remains artisan labour. 'The *collective labourer*, formed by the combination of a number of detailed labourers, is *the mechanism especially characteristic of the manufacturing period*.' [20] But the combined labour of the detailed workers inherited from artisan production is not enough to attain real technical unification, which only enters the picture with the advent of machine industry. Yet at this stage the (capitalist) 'objectivization' of the productive process with respect to the worker — the antagonism between the division of labour in the manufacturing process and the social division of labour — has already been generalized. In the sphere of direct production, 'the detailed labourer produces no commodities. It is only the common product of all the detail labourers that becomes a commodity.' [21] If, on the one hand, 'within the workshop the iron law of proportionality subjects definite numbers of workmen to definite functions,' on the other, 'chance and caprice have full play in distributing the producers and their means of production among the various branches of production.' [22]

It is in the sphere of production that capital's authority manifests itself directly; and it is by despotically imposing proportionality over the various functions of labour that the system's equilibrium is maintained. However, at the social level, the trend towards equilibrium is not the result of conscious acts of prediction and decision, but is 'natural and spontaneous' in such a way that its laws even win out over the will of the individual producers: 'The a-priori system on which the division of labour within the workshop is regularly carried out, becomes in the division of labour within the society an a-posteriori, nature-imposed necessity, controlling the lawless caprice of the producers, and perceptible in the barometric fluctuation of the market prices.' [23]

As one can already see, this is the general way in which competitive capitalism works during the manufacturing stage: anarchy in the *social* division of labour, despotism (plan) in the division of labour *at the level of the factory*. To this relationship typical of competitive capitalism corresponds a given scheme of 'social values'. 'The same bourgeois mind which praises division of labour in the workshop, life-long annexation of the labourer to a partial operation, and his complete subjection to capital, as being an organization of labour that increases its productiveness — that same bourgeois mind denounced with equal vigor every conscious attempt

to socially control and regulate the process of production, as an inroad upon such sacred things as the right of property, freedom and unrestricted play for the bent of the individual capitalist. It is very characteristic that the enthusiastic apologists of the factory system have nothing more damning to urge against a general organization of the labour of society, than that it would turn all society into one immense factory.' [24] This apology is peculiar to the era of competitive capitalism.

Marx himself accepts a schematic relationship between despotism in the factory and anarchy in society. 'We may say .. as a general rule that the less we find authority dominant in the division of labour within society, the more do we find that the division of labour develops in the workshop, and the more it is subjected to the authority of a single individual. Thus, authority in the workshop and authority in society, as far the division of labour is concerned, are in *inverse ratio* to one another.' [25]

Manufacture, therefore, entails a fairly high level of alienation between the worker and his instruments of labour by concentrating the intellectual capacities of the material process of production in capital itself. These are set against the workers as something that is not their property and as a power that dominates them — power that has already attained a certain degree of 'technical evidence' and which, within certain limits, appears as technically necessary.

Naturally there remain the limits imposed by the artisan origins of the productive process, which still make themselves felt in the more highly developed forms of manufacture: as a result the worker's alienation from the content of his labour has not yet been perfected. Only with the introduction of machines on a large scale do the 'intellectual capacities' enhance capitalist command over labour to the highest degree, since it is then that science enters the service of capital. It is only at this level that every residue of working-class autonomy within the production of surplus disappears, and the commodity nature of labour-power presents itself without further 'technical' restrictions. [26] The capitalist objectivity of the productive mechanism with respect to the workers finds its optimal basis in the technical principle of the machine: the technically given speed, the coordination of the various phases and the uninterrupted flow of production are imposed on the will of the workers as a 'scientific' necessity, and they correspond perfectly to the capitalist's determination to suck out the maximum amount of labour-power. The capitalistic social relationship is concealed within the technical demands of machinery and the division of labour seems to be totally independent of the capitalist's will. Rather, it seems to be the simple and necessary results of the means of labour's 'nature'. [27]

In the mechanized factory the capitalistic planning of the productive process reaches its highest level of development. Here the law of surplus value seems to work without limit since, 'by means of its conversion into an automaton, the instrument of labour confronts the labourer, during the labour process, *in the shape of capital*, of dead labour, that dominates and pumps dry living labour power' and moreover 'the special skill of each

individual insignificant factory operative vanishes as an infinitesimal quantity before the science, the gigantic physical force, and the mass of labour that are embodied in the factory mechanism, and together with that mechanism, constitute the “master”.[28]

At this point, planning appears as the basis for the capitalist mode of production. And the general law of capitalist production is a normal certainty of the result; the ‘factory code in which capital formulates, like a private legislator, and at its own good will, his autocracy over his workpeople, unaccompanied by that division of responsibility, in other matters so much approved of by the bourgeoisie, and accompanied by the still more approved representative system, this code is but the *capitalist caricature* of that social regulation of the labour process.’[29]

In the initial period of their introduction, machines produce surplus value, not only by devaluing labour-power, but also because they transform the labour employed by the owner of the machinery ‘into labour of a higher degree and greater efficacy, by raising the social value of the article produced above its individual value, and thus enabling the capitalist to replace the value of a day’s labour power by a smaller *portion* of the value of the day’s product.’[30] In this situation, the capitalist owners of the machines make exceptionally high profits (and one can say that it is precisely the prospect of these exorbitant profits that gives the first and necessary impulse for mechanized production.) The magnitude of the profit realized ‘whets his appetite for more profit,’[31] and the result is a lengthening of the working-day.

When the machines have invaded a whole branch of production, ‘the social value of the product sinks to its individual value, and the law that *surplus-value does not rise from the labour-power that has been replaced by the machinery, but from the labour-power actually employed in working with the machinery, asserts itself.*’[32] The increase in productivity resulting from the introduction of machinery extends surplus labour at the expense of necessary labour, but achieves this result ‘only by diminishing the number of workmen employed by a *given amount* of capital.’[33] However, the increase in the rate of surplus value through increased productivity seems unable to compensate for the drop in surplus value, that results from the decrease in the relative number of workers exploited: the ensuing contradiction is solved by means of an increase in absolute surplus value, i.e., by prolonging the working day.[34]

This outline is, in effect, only valid for an historically limited period of capitalism, i.e. the first period characterized by the generalized use of machinery. Many of the monstrous consequences of large-scale capitalist industry’s exploitation of labour-power are explained within this scheme. But the process corresponding to the capital-machine relationship does not end here. As a result of working-class resistance, the negative effects of an unlimited prolongation of the working day provide a ‘reaction on the part of society, whose life is threatened at its roots, so that it decrees a *legal limitation on the normal working day.*’[35] The new situation forces capital to expand another aspect of the exploitation inherent in the use of

machinery *the intensification of labour*.

Here, Marx speaks very clearly about a '*rebellion*' of the working class in the '*political*' sphere, which forces the State to '*enforce a shortening of labour time*'. This '*rebellion*' against the system induces a response that simultaneously represents both a capitalistic development of the machine system, and a consolidation of its domination over the working class. It is different,

however, so soon as the compulsory shortening of the hours of labour takes place. The immense impetus it gives to the *development of productive power*, and to economy in the means of production, imposes on the workman increased expenditure of labour in a given time, heightened tension of labour-power, and closer filling up of the pores of the working day, or condensation of labour to a degree that is attainable only within the limits of the shortened working day ... In addition to a measure of its extension, i.e., duration, labour now acquires a measure of its intensity or of the *degree of its condensation* or density.[36]

It is at this point that the phenomena typical of large-scale capitalist industry make their appearance.

So soon as the shortening becomes compulsory, machinery becomes in the hands of capital *the objective means, systematically employed* for squeezing out more labour in a given time. This is effected in two ways: by *increasing the speed of the machinery*, and by giving the workman more machinery to tend.[37]

Obviously, at this level, the relationship between technological innovation and the production of surplus value becomes still more intimate. This is necessary in order to exert more pressure on the workers and '*spontaneously*' goes hand in hand with the intensification of labour, since the limit placed on the working day forces the capitalist to a more rigorous economizing of the costs of production. Herein lies the passage from labour's formal subordination under capital's command to its real subordination. And the distinctive trait of labour's real subordination is precisely '*technical necessity*'.

When the use of machinery is generalized on a wide scale and in all branches of production, capitalism at the level of direct production is despotism exercised in the name of rationality; the old '*scientific*' dream of perpetual motion, - i.e. of movement achieved without expenditure of labour - seems to be realized with a maximum exploitation of labour-power and the maximum submission of the worker to the capitalist. The law of surplus value finds its expression in the unification of exploitation and submission. Capital's despotism appears as a despotism of rationality, since capital welds its constant and variable parts in their most effective operation and seems to make itself a technical necessity.

At the level of direct production, Marx sees capitalism as planning on the basis of an unlimited development of productive forces: here, we find the fundamental expression of the antagonistic nature of capitalist production. *The 'immanent contradictions' do not lie in the movements of individual capitals, i.e., they are not internal to capital; the sole limit to the*

development of capital is not capital itself, but the resistance of the working class. The principle of planning, which for the capitalist means 'prediction', 'certainty of result', etc., is imposed on the worker only as an 'overpowering natural law'. [38] In the factory system, the anarchical aspect of capitalist production lies solely in the insubordination of the working class, in its rejection of 'despotic rationality'.

Faced by capital's interweaving of technology and power, the prospect of an alternative (working-class) use of machinery can clearly not be based on a pure and simple overturning of the relations of production (of property), where these are understood as a sheathing that is destined to fall away at a certain level of productive expansion simply because it has become too small. *The relations of production are within the productive forces*, and these have been 'moulded' by capital. It is this that enables capitalist development to perpetuate itself even after the expansion of the productive forces has attained its highest level. At this point the social regulation of the labour process immediately appears as a type of planning that is different from, or contraposed to, capitalist planning.

Capitalism's historical tendency to overcome competition

In *Capital*, then, it seems that the opposition between despotism (plan) in the factory and anarchy in society is the general form expressing the law of value. We have also seen how the principal 'laws' of capitalist development formulated by Marx are strictly linked to this formula: a formula that seems to be identical with the structure of *Capital*, so that this work could be read as an interpretation of competitive capitalism, valid only for that form of capitalism. In any case, the further 'orthodox' development of Marxist theory re-asserted this perspective by denying the capitalist system any other 'full' form of development outside that assured by the competitive model, and by defining regulated monopolistic-oligopolistic capitalism as capitalism's last and 'putrescent' stage. Modern revisionism, on the other hand, ends up by losing sight of the system's continuity in its passage from one historical leap to the next, for it too has anchored its expression of the law of value to the same interpretation. In reality, however, the model provided in *Capital* is not a closed model at all. Capital's incessant forward movement is by no means confined within the limits of competition, while 'capitalistic communism' [39] is something more than an automatic movement of total social capital that results from the blind operation of the system.

In a letter to Engels dated April 2, 1858, Marx lays out a first outline for *Capital*. Other Marxian students have already noted that, in this outline, the various level of the system are still divided according to empirical criteria, rather than being unified around the nucleus of the laws of political economy. The general plan of the work is split up into six books: '1) Capital. 2) Landed Property. 3) Wage Labour. 4) State. 5) International Trade. 6) World Market.' [40] This unsystematic way of presenting the material lays bare the way Marx thought about the movement of capitalist

accumulation. This becomes clear when he proceeds to a more detailed exposition of the plan for the first book (*Capital*). It 'contains four sections: a) *Capital* in general ... b) *Competition*, or the actions of the many capitals upon one another. c) *Credit*, where capital appears as the general element as opposed to individual capitals. d) *Share capital*, as the most perfect form (leading to communism) together with all its contradictions.' [41]

It is important to note how Marx stresses that the successive moves from one category to the next are 'not only dialectical, but [also] historical.' [42] As early as the *Grundrisse* Marx was already talking about share capital as that 'form in which capital has worked itself up to its final form, in which it is posited, not only *in itself*, in its substance, but it is posited also in its *form*, as social power and product.' [43]

In the logical-systematic exposition of *Capital*, this stage of capitalist accumulation which lies beyond competition seems to co-exist alongside the dominant competitive forms, naturally without being able to reconcile itself with them. Nonetheless in *Capital*, as well, the higher stage which expresses the general tendency of capitalist accumulation is seen to be the share-capital stage, which is that form of total social capital which no longer simply expresses the blind interweaving of individual capitals (this is amply demonstrated by the chapter on the 'General Law of Capitalist Accumulation' in Book One).

Here, that kind of '*concentration* which grows directly out of [accumulation], or, rather, is *identical* with it,' appears as the foundation of the competitive system. In fact,

First: the increasing concentration of the social means of production in the hands of individual capitalists is, other things remaining equal, *limited by the degree of increase of social wealth*. Second: *the part of social capital domiciled in each particular sphere of production is divided among many capitalists* who face one another as independent *commodity-producers* competing with each other. Accumulation and the concentration accompanying it are, therefore, scattered over many points, but the increase of each functioning capital is thwarted by the formation of new and the subdivision of old capitals. Accumulation, therefore, presents itself on the one hand as increasing concentration of the means of production, and of the command over labour; on the other, *as repulsion of many individual capitals one from another*. [44]

But this, which seems to coincide precisely with the sphere of competition, is only *one side* of the general law of capitalist accumulation. The other side, which acts against the dispersion of total social capital, consists of the mutual *attraction* between its fractions. In Marx's words, 'This process differs from the former [i.e. simple accumulation] in this, that it *only presupposes a change in the distribution of capital already to hand, and functioning: its field of action is therefore not limited by the absolute growth of social wealth, by the absolute limits of accumulation ... This is centralization proper*, as distinct from *accumulation* and *concentration*.' [45] Marx then develops his views on the credit system, which first 'sneaks in as a modest helper of accumulation' in order to become 'a new and

formidable weapon in the competitive struggle ... finally transforming itself into an immense social mechanism for the centralisation of capitals'.[46]

The *other side* of the general law of capitalist accumulation appears as a process of unlimited development with respect to the phase of competition. 'Centralization in a certain line of industry would have reached its extreme limit if all the individual capitals invested in it would have been amalgamated into one single capital. This limit would not be reached in any particular society until the entire social capital would be united, either in the hands of one single capitalist, or in those of one single corporation'.[47]

It does not escape Marx that, if centralization and its particular mechanisms are distinct from genuine accumulation, they are nonetheless a function of the latter, and alone make it possible to achieve on a social scale the revolution introduced by capitalist industry. 'The increased volume of industrial establishments forms everywhere the point of departure for a more comprehensive organization of the co-operative labour of many, for a wider development of their material powers, that is, for the progressive transformation of isolated processes of production carried on in accustomed ways into socially combined and scientifically managed processes of production'.[48] But it is only with centralization that one finds the acceleration, which depends not only on the 'quantitative grouping of the integral parts of social capital' but also on the fact that it 'extends and hastens ... the revolutions in the technical composition of capital'.[49] When different masses of capital join up through centralization, they increase more quickly than others, 'thus becoming new and powerful levers for social accumulation'.[50]

The analysis of centralization reveals a close relationship between the sphere of direct production and circulation, while this relationship is obscured if one only attends to the link between direct production and competition. Such a perspective allows one to see connections not established in *Capital*, and thus relegates many of its general 'laws' to a *phase* of capitalist development. However, it does validate the fundamental methodological principal of *Capital*: the mode of production dominates the process of circulation.

The law of capitalist accumulation is dealt with again in Chapter XXVII of Book Three of *Capital*, where Marx discusses the 'Function of credit in capitalist production'. Here, we are directly at the level of share capital's maximum development. In particular, Marx stresses that, at this level, the social concentration of the means of production and of labour power corresponds to the form of social capital, as opposed to that of private capital. From this follows the creation of firms that are social firms rather than private ones. 'It is,' Marx says, 'the abolition of capital as private property within the framework of capitalist production itself'.[51] In its turn, the active personification of capital, the capitalist, i.e., 'the actually functioning capitalist,' becomes 'a mere manager, administrator of other people's capital.' In their turn, the proprietors of capital change into 'mere money-capitalists'.[52] One can say that it is here that the complete 'autonomization' of capital begins. Total profit itself, which includes

interest and the entrepreneur's gain, 'is received only in the form of interest,' that is to say, 'as mere compensation for owning capital that now is entirely divorced from the function in the actual process of reproduction, just as this function in the person of the manager is divorced from ownership of capital.'[53]

Under these conditions, Marx goes on:

... profit appears (no longer that portion of it, the interest, which derives its justification from the profit of the borrower) as a mere appropriation of the surplus-labour of others, arising from the conversion of means of production into capital, i.e., from their alienation vis-a-vis the actual producer, from their antithesis as another's property to every individual actually at work in production, from manager down to the last day-labourer. In stock companies the function is divorced from capital ownership of means of production and surplus-labour.[54]

The absolute separation of labour from the ownership of capital appears as:

... a necessary transitional phase towards the reconversion of capital into the property of producers, although no longer as the private property of the individual producers, but rather as the property of associated producers, as outright social property. On the other hand, the stock company is a transition toward the conversion of all functions in the reproduction process which still remain linked with capitalist property, into mere functions of associated producers, into social functions.[55]

At this point it almost seems as if Marx himself falls into the error of confusing the labour process with the overall process of value-creation. The nexus between the sphere of direct production and the way in which collective capital works seems to have been forgotten, and the simplified outline contrasting the development of productive forces to relations of production re-appears. So Marx says that 'the abolition of the capitalist mode of production within the capitalist mode of production itself' - which is characteristic of this level of capitalist accumulation's development - is 'a self-dissolving contradiction, which *prima facie* represents a mere phase of transition to a new form of production.'[56]

But, in the Marxian analysis, the share-capital phase, which is 'the abolition of capitalist private industry on the basis of the capitalist system itself,' entails a profound change in the capitalist mechanism.

Since profit here assumes the pure form of interest, undertakings of this sort are still possible if they yield bare interest, and this is one of the causes, stemming the fall of the general rate of profit, since such undertakings, in which the ratio of constant capital to the variable is so enormous, do not necessarily enter into the equalisation of the general rate of profit.[57]

Here Marx points to a genuine 'leap' between different levels in the development of capitalism. But the analysis cannot stop short at merely identifying the different levels of capitalist accumulation. It must also avoid the temptation of succumbing, at a certain point, to a description in terms of simple adjustments and corrections with respect to a given 'model' phase whose substance is considered unmodifiable. These passages of Marx

contain *in embryo* the analysis of the monopoly phase, and furthermore bring to light elements that fall beyond the limits of even the first phase of monopoly capitalism.[58]

Capitalist planning in overall social production

For Marx, the sphere of circulation is both the result of and the mystification of capitalistic relations of production: as 'a special sort of commodity, capital has its own peculiar mode of alienation.'[59] In the formula M-C-M, the formula for merchant capital, 'there is at least the general form of the capitalistic movement.' In fact, profit re-appears 'merely as profit derived from alienation; but it is at least seen to be the product of a social *relation*, not the product of a mere *thing*.'[60] All trace of a social relationship in the movement of capital disappears, however, with capital that produces interest, whose formula, M-M, expresses only a '*relationship* of magnitudes.' Here, capital has only a quantitative relationship with itself: 'capital as such ... assumes this form of a directly self-expanding value for all active capitalists, whether they operate on their own or borrowed capital.'[61]

One thus seems to get 'the primary and general formula of capital reduced to a meaningless condensation.'[62] With the development of interest-producing capital as the dominant social formation, the mystification inherent in capitalistic relations of production seen to be brought to their highest level. The processes of production and circulation are removed from the picture: 'The *thing* (money, commodity, value) is now capital even as a mere thing, and capital appears as a mere thing.'[63] One thus gets the most general expression of capitalistic fetishism: 'The social relation is consummated in the relation of a thing, money, to itself.'[64]

The capitalist mode of production achieves complete concealment of its origin and real movement once surplus-value producing capital appears only as monetary capital. 'While interest is only a portion of the profit, i.e. of the surplus-value, which the functioning capitalist squeezes out of the labourer, it appears now, on the contrary, as though interest were the typical product of capital, the primary matter, and profit, in the shape of profit of enterprise, were a mere accessory and by-product of the process of reproduction. Thus we get the fetish form of capital and the conception of fetish capital.'[65] In this way, capital's *specifically* social nature is fixed in the form ('thing') of the ownership of capital; a form which in itself contains the capacity for command over labour and gives its fruit in the form of interest. Consequently, the part of surplus-value due to the operative capitalist, the entrepreneur, 'must necessarily appear as coming not from capital as such, but from the process of production, separated from its specific social attribute, whose distinct mode of existence is already expressed by the term interest on capital. But the process of production, separated from capital, is simply a labour-process. Therefore, the industrial capitalist, as distinct from the owner of capital, does not appear as

operating capital, but rather as a functionary irrespective of capital, or as a simple agent of the labour-process in general, as a labourer, and indeed as a wage-labourer.'[66]

The relationship between capital and labour is thus completely 'forgotten'. 'In interest, therefore, in that specific form of profit in which the antithetical character of capital assumes an independent form, this is done in such a way that the antithesis is completely obliterated and abstracted.'[67] In the entrepreneurial capitalist's 'labour', the managerial function implied by associated social labour receive their specific traits from the capitalist relationship. Here, Marx partially sums up the analysis of Section IV of Book One.

According to Marx, the process is completed with the maximum development of joint-stock companies, when, on the one hand, 'money-capital itself assumes a social character with the advance of credit, being concentrated in banks and loaned out by them instead of its original owner' and, on the other, 'the mere manager who has no title whatever to the capital, whether through borrowing it or otherwise, performs all the real functions pertaining to the functioning capitalist as such.' At this level, 'only the functionary remains and the capitalist disappears as superfluous from the production process.'[68]

The analysis of capital's 'autonomization' is resumed in the well-known pages of the 'trinity formula'.[69] All social forms associated with merchant capital and monetary circulation cause a mystification, 'that transforms the social relations, for which the material elements of wealth serve as bearers in production, into properties of these things themselves (commodities) and still more pronouncedly transforms the production relation itself into a thing (money) ... under the capitalist mode of production and in the case of capital, which forms its dominant category, its determining production relation, this enchanted and perverted world develops still more.'[70]

The capitalist relationship first appears clearly when capital 'siphons off' absolute surplus value by prolonging the working day. But, as we have seen, with the development of relative surplus value, or rather, with the 'actual specifically capitalist mode of production, whereby the productive powers of social labour are developed, these productive powers and the social interrelations of labour in the direct labour process seem transferred from labour to capital.'[71] Thus capital has already become a 'very mystic being.' The specific content of this 'being' is the capitalistically planned form of the social process of production, the *capitalistic socialization* of labour. In the move from the realization of value and surplus-value to the sphere of circulation, 'both the restitution of the value advanced in production and, particularly, the surplus-value contained in the commodities seem not merely to be realised in the circulation, but actually to arise from it.'[72] In particular, two factors confirm this 'appearance': profit through alienation, and the rate of circulation, which 'has the appearance of being as definite a basis as labour itself and of introducing a determining element that is independent of labour and resulting from the nature of capital.'[73]

The transformation of surplus-value into profit, and to an even greater extent the transformation of profit into average profit, and values into production prices, 'obscures more and more the true nature of surplus-value and thus the actual mechanism of capital.' [74]

Finally, for Marx, the 'ossification' of the *form* of surplus-value is finalized in the division of profit into interest and entrepreneurial gain: 'Wherefore also the formula capital - interest, as the third to land - rent and labour - wages, is much more consistent than capital - profit, since in profit there still remains a recollection of its origin, which is not only extinguished in interest, but is also placed in a form thoroughly antithetical to this origin.' [75]

At the end of this passage, Marx makes a very important assertion, which we quote in full because we believe it has been insufficiently stressed by other commentators.

In our description of how production relations are converted into entities and rendered independent in relation to the agents of production, we leave aside the manner in which the interrelations, due to the world market prices, periods of credit, industrial and commercial cycles, alternations of prosperity and crisis, appear to them as overwhelming natural laws that irresistibly enforce their will over them, and confront them as blind necessity. We leave this aside because the actual movement of competition belongs beyond our scope, and we need present only the inner organisation of the capitalist mode of production, in its ideal average, as it were. [76]

The 'objectivization' of capital in the trinity formula thus appears only at the highest level of capitalist development foreseen by Marx. Capital's maximum socialization is in the form of finance capital. In the general expression of the capitalist model, competition is placed to one side, but the regulation of the overall production process in the sphere of circulation is only considered through the theory of production prices, which still represent a blindly operating mechanism with respect to the individual agents of production, rather than one of the system's regulating mechanisms. The entrepreneurial capitalist has become 'superfluous'; in his place one finds capital's productive functionaries while the banker incarnates the figure of the collective capitalist.

According to Marx, historically speaking, there is a growing cohesion in the system, passing through various stages; from the predominance of the individual capitalist to that of the capitalist as a simple shareholder of capital, passing through production prices up until the appearance of social capital in the financial form and division of profit into interest and entrepreneurial gain. Clearly, in each of these various stages of development, the specific forms assumed by surplus-value (i.e. the laws of movement of capital as a whole) are distinct.

When the law of surplus value functions as *planning* only at the level of the factory, the working class political struggle essentially takes the form of a struggle against anarchy in society. Since, at this level, the *internal* contradictions of capitalism in the sphere of circulation (anarchy in the

reciprocal movements of the individual capital etc.) are enhanced, the proletariat's struggle is realized in this sphere and essentially assumes the form of a 'politics of alliances'. (The history of the various Western Communist Parties illustrates this point. Ed.) The struggle in the sphere of direct production is destined to remain within the orbit of 'economic' struggle, and trade-unionism is its typical form. In this perspective, the model of socialist society is identified with planning, while the social relations in the sphere of direct production, in the factory, are left undetermined. This is the young Lenin's position we have discussed.

Marx's own analysis of the factory and direct production in capitalism is rich enough to offer components for the formulation of a socialist perspective that does not rest on the illusory and mystified basis of its identity with planning taken in itself, i.e. abstracted from the social relationships that may find expression in its various forms.

In his analysis, Marx destroys the basis for any misunderstanding regarding capitalism's incapacity for planning. He shows that, on the contrary, the system tends to react to any contradiction or limitation on its own maintenance and development by increasing its degree of planning. And, in this, it basically expresses the law of surplus value. Thus Marx explicitly recognizes that the abolition of the old division of labour is not automatically prepared by capitalist development. All that is prepared, in the capitalist plan's antagonistic form, are 'revolutionary ferments'. The capitalist caricature of the regulated labour process is not a simple wrapping, which falls away to reveal the forms of the new society ready and waiting, for the capitalist plan is not a legacy that the working class can take over from capital.

Nonetheless, in Marx, or at least in Book One of *Capital*, the dichotomy between planning in the factory and anarchy in society prevails. Whenever Marx explicitly brings out the content of this relationship, he obscures those aspects of capitalist domination that derive from the capitalist use of rationality, and instead overemphasizes the 'devastation deriving from social anarchy'. Planning seems to stop at the threshold of the factory, which remains the closed kingdom of the social process of production. Planning is not seen as being operative at the level of the overall process. Rather, the sphere of circulation is its symmetrical correlative - *anarchy* in circulation grows with the growth of *planning* at the level of direct production. The laws regulating the movement of individual capitals and determining the development of the comprehensive social capital are only known to the agents of production *a posteriori*. They therefore clash with the 'rational' laws of planning. Thus, there is one level (the factory, direct production) in which capitalism has incorporated science and technology into its mode of production, while there is another level (society as a whole) in which capitalism presents itself as an 'unconscious' and anarchical mode of production, at the mercy of the uncontrolled movements of competition. It is only at this second level that capital cannot regulate the effects of the capitalistic uses of machines. Technological unemployment, cyclical movements, and crises are phenomena that capital does not control, since

the comprehensive movement of social capital is seen as nothing more than the result of the interweaving of the individual capitals.

There is a suggested identification of socialism and planning in Book One of *Capital* that is nowadays developed both theoretically and practically over and beyond any considerations of the social relationship upon which planning operates. Therefore, the perspective of socialism that emerges is ambiguous. On the one hand, planning's growing command over labour can lead to a direct clash between capital and the working class - as Marx hints - through halting the identification of the maximum development of the productive forces (machine production, automation, the socialization of labour) with the capitalist use of technology. In this view of socialist development the parts of the labour process compatible with social regulation must be critically extricated from the capitalist nexus of technology and power. But, on the other hand, Marx's emphasis on social anarchy as the characteristic of the total process of capitalist reproduction tends to win back the plan in itself as an essential value of socialism in the clash with the capitalist system.

In *Capital*, moreover, the stress on capital movements in circulation is different in the different stages of development. The phenomena typical of this sphere (anarchy, cyclical fluctuations, etc.) are never seen as 'catastrophes', but essentially as modes of capital's development. The dynamic of the capitalist process is substantially dominated by the law of concentration and centralization. And this dynamic leads to what is, for Marx, the highest phase of development of capital's 'autonomization', i.e., the phase of finance capital. Then planning in the sphere of direct production appears as the general expression (historically permanent and increasingly dominant), while anarchistic competition is only a transitory phase of capitalist development. Thus the 'orthodox' way of looking at the relationship between planning and anarchy is ambiguous. Marx's thought, however, contains all the elements needed to overcome this ambiguity.

If anything, Marx asserts on many occasions a theory of capitalism's 'untenability' at its maximum level of development, when the 'superabundant' productive forces enter into conflict with the system's 'restricted base' and the quantitative measurement of labour becomes an obvious absurdity.[77] But this perspective immediately refers us back to another question. Capitalism's development in its advanced form shows the system's capacity for self-limitation, for the reproduction of the conditions of its survival by conscious interventions, and for planning, and the limits of this development (for example by planning the level of unemployment). In this way we return to the fundamental problem of the capitalist stage that Marx did *not* foresee, at its modern level (beyond finance capital) in its most advanced points. It is even an obvious banality to say that capitalism of the monopolies and oligopolies cannot be explained by the predominance of finance capital. Planned capitalism develops from non-oligopolistic capitalism.

In the light of these developments, the 'objectivization' manifest in the trinity formula appears as a form that is rather less perfected than it seemed

to Marx. Since with generalized planning capital extends the fundamental mystified form of the law of surplus value from the factory to the entire society, all traces of the capitalistic process' origins and roots now seem to really disappear. Industry re-integrates in itself finance capital, and then projects to the social level the form specifically assumed by the extortion of surplus value. Bourgeois science calls this projection the neutral development of the productive forces, rationality, planning. Thus, the task of apologetic economists is made somewhat easier.

As we have already noted, the more evident and massive aspects of the capitalist society in Marx's time exercised a certain tyranny over this thought, but all the contingent aspects of Marxian thought must be set aside in order to grasp some of its potent suggestions with respect to the dynamics of capitalist development. Above all, certain rigidified schemes, including undeveloped characteristics deriving from the notion of anarchy in circulation must be excluded from the picture. In Marx's thought, it remains of fundamental importance that the capitalist system has the capacity of reacting to the destructive consequences of certain 'laws' by introducing new laws that are destined to guarantee its continuity on the basis of the law of surplus value. Considered in this way, *Capital* offers a general dynamic model of the capitalistic mode of production in which in every phase, what appeared as counter-tendencies subordinate to other prevalent tendencies in the previous period, may in their turn reverse the situation and become dominant tendencies in the new situation. In this dynamic model, the only constant is the tendency for capital's domination over labour-power to increase.

Marx's viewpoint recognizes different stages in capitalism's development. These are stages that the analysis must distinguish without falling into the 'systematic' error of fixing the representation of any moment, with its particular transitory laws, as the 'fundamental model' to which the system's further development could only make more or less marginal corrections.

To be sure, in Marxist thought after Marx there was a moment when the turning point in the system marked by the emergence of monopolistic capitalism around the 1870's was recognized. (This now seems to us to be a transition period with respect to the real 'turning point' which started in the 1930's and is still continuing.) But the analysis and representation of the new, nascent phase was immediately related to the laws that it was tending to surpass, and it was therefore interpreted as the 'last stage'.

The mythology of capitalism's 'last phase' is present in both Lenin and Kautsky - though with different, and even opposed, ideological functions. In Lenin's case, it serves to legitimate the rupture of the system in the less advanced points of its development; in Kautsky's case, it serves to sanction a reformist postponement of revolutionary action till 'the fullness of times'. Since the 1917 revolution did not link up with the revolution in the more advanced countries, it fell back on those contents that were immediately realizable at the level of development of Russia. In Lenin there seems to be a lack of clarity regarding the possibility that capitalist social relations may be present in socialist planning. This lack of clarity would

later facilitate the repetition of capitalist forms in the relations of production both at the factory level and at the level of the overall social production - all this, behind the ideological screen of the identification of socialism with planning, and of the possibility of socialism in one country only.

Marxism itself thus can become an apologetic form of thought linked to a formalistic vision which moves on the surface of the economic reality and fails to grasp both the totality and the internal variability of the system's functioning.

Thus changes in capitalism are detected at the empirical level, but when an attempt is made to reach the 'scientific' level, there is a return to explanatory models that abstract from historical development (and therefore paradoxically repeat the schematicism of the eternally valid 'rational' economy). In brief, Marxist thought has failed to grasp the fundamental characteristic of modern-day capitalism,[78] which lies in its capacity for salvaging the fundamental expression of the law of surplus value, i.e. planning, both at the level of the factory and at the social level.

Notes

1. V.I. Lenin, *Collected Works* (hereafter *CW*), Foreign Languages Publishing House, Moscow, 1963, I, p. 438.
2. *Ibid.*, p. 437.
3. *Ibid.*, p. 438.
4. *CW*, II, pp. 202-3.
5. Cf., for example, "The Economic Content of Narodism," *op. cit.*, I, p. 498, where Lenin directs his polemics against "the naive view that the capitalist's purpose is only personal consumption and not the accumulation of surplus-value," and against the 'mistaken idea that the social product splits up into $v + s$ (variable capital + surplus-value) as was taught by Adam Smith and all the political economists before Marx, and not into $c + v + s$ (constant capital, means of production, and then into wages and surplus-value) as was shown by Marx.' Similarly, in *op. cit.*, II, ('A Characterization of Economic Romanticism') see the whole paragraph on accumulation in capitalist societies, and in particular his statement that 'to expand production (to "accumulate" in the categorical meaning of the term) it is first of all necessary to produce means of production, and for this it is consequently necessary to expand that department of social production which manufactures means of production, it is necessary to *draw into it* workers who immediately *present a demand for articles of consumption, too*. Hence, "consumption" develops *after* "accumulation," or *after* "production".... Hence, the rates of development of these two departments of capitalist production do not have to be proportionate, on the contrary, they must inevitably be disproportionate.' p. 155 (Lenin's italics).
6. *CW*, II, p. 167.
7. *Ibid.*, p. 167; cf. also p. 172, and in general the whole passage on 'The Crisis', *op. cit.*, pp. 166-174.
8. Cf. *op. cit.*, especially pp. 172-73; 197ff.; 204ff.; 219ff.
9. *Op. cit.*, p. 219.
10. *CW*, III, pp. 585ff.
11. *CW*, II, p. 187.
12. *CW*, II, pp. 102ff.
13. *CW*, I, p. 177.
14. Karl Marx, *Capital* (Charles H. Kerr & Company, New York, 1906), I, p. 365.
15. *Ibid.*

16. *Ibid.*
17. *Ibid.*, p. 357.
18. *Ibid.*, p. 363.
19. *Ibid.*, p. 364.
20. *Ibid.*, p. 383.
21. *Ibid.*, p. 390; cf. also pp. 395-96: 'Manufacture proper not only subjects the previously independent workman to the discipline and command of capital, but, in addition, creates a *hierarchical* gradation of the workmen themselves. While simple co-operation leaves the mode of working by the individual for the most part unchanged, manufacture thoroughly revolutionizes it, and seizes labour-power by its very roots. It converts the labourer into a crippled monstrosity, by forcing his detail dexterity at the expense of a world of productive capabilities and instincts; just as in the States of La Plata they butcher a whole beast for the sake of his hide or his tallow. Not only is the detail work *distributed* to the different individuals, but the individual himself is made the automatic motor of a fractional operation, and the absurd fable of Menenius Agrippa, which makes man a mere fragment of his own body, becomes realized. If, at first, the workman sells his labour-power to capital, because he lacks the *material means of producing a commodity*, nor *his very labour-power* refuses its services unless it has been sold to capital. Its functions can be exercised only in an environment that exists in the workshop of the capitalist *after* the sale. By nature unfit to make anything independently, the manufacturing labourer develops productive activity as a mere appendage of the capitalist's workshop.' (italics added)
22. *Ibid.*, p. 390.
23. *Ibid.*, p. 391.
24. *Ibid.*
25. *Ibid.*, p. 392.
26. *Ibid.*, pp. 403-4; cf. also p. 415, and pp. 421-1.
27. *Ibid.*, p. 440, and p. 504.
28. *Ibid.*, p. 462.
29. *Ibid.*, pp. 463-4.
30. *Ibid.*, p. 444.
31. *Ibid.*
32. *Ibid.*
33. *Ibid.*
34. *Ibid.*, p. 445.
35. *Ibid.*, p. 447.
36. *Ibid.*, p. 448; cf. also pp. 520-1, 524-26.
37. *Ibid.*, p. 450.
38. *Ibid.*, p. 533.
39. Cf., Marx's letter to Engels, April 30, 1868: 'What competition between the various masses of capital — differently composed and invested in different spheres of production — is striving to produce is *capitalist communism*, namely that the *mass of capital belonging to each sphere of production* should snatch an aliquot part of the total surplus value proportionate to the part of the total social capital which it forms.' K. Marx and F. Engels, *Selected Correspondence*, Progress Publishers, Moscow, 1965, p. 206 (Marx's italics).
40. K. Marx, F. Engels, *op. cit.*, p. 104.
41. *Ibid.* (Marx's italics)
42. *Ibid.* (Marx's italics)
43. Karl Marx, *Grundrisse* (transl. by Martin Nicolaus, Penguin Books, 1973), p. 530. (Marx's italics)
44. Karl Marx, *Capital*, I, pp. 685-86.
45. *Ibid.*, p. 686.
46. *Ibid.*, p. 687.
47. *Ibid.*, p. 688.
48. *Ibid.*
49. *Ibid.*, pp. 688-9.

50. *Ibid.*, p. 689.
51. Karl Marx, *Capital* III, p. 436.
52. *Ibid.*
53. *Ibid.*, 436-7.
54. *Ibid.*, p. 437.
55. *Ibid.*
56. *Ibid.*, p. 438.
57. *Ibid.*, p. 437.
58. This relationship between system and its laws of development has been captured very clearly by Guilio Pietranera in his introduction to Rudolf Hilferding, *Il Capitale Finanziario*, Milan 1961: 'The increase in capital's organic composition ... occurs ... through an irreversible process of concentration of production on given single productive units (hence, different from other ones); it also occurs through the abolition of competition and hence, of its own categories. The monopolistic transformation establishes itself through the very abolition of the general rate of profit, i.e., through the rise of particular, non competitive rates, which ensue from the monopolistic parcelling out of the market.... At a certain moment, the *continual* increase in the organic composition of capital leads to *such* a (tendential) decrease in the general rate of profit that the capitalist structure reacts with a "leap", i.e., with such an increase in the very organic composition that from competition one moves to "monopoly". And from that point on, you no longer have a general rate of profit.... The establishment of joint-stock companies constitutes originally one of the antagonistic causes for the fall of the general rate of profit (i.e., for the *continual* increase in capital's organic composition); but they also contribute to the centralization of the "credit system", and definitely enhance the monopolistic concentration of the market (hence, you have the "leap" to monopoly). Thus, the very rise of joint-stock companies contributes to abolishing the general rate of profit, replacing it with particular monopolistic rates.' The exceptional importance of such a "leap" in the system does not escape Pietranera: 'It must be pointed out that the given increase in capital's organic composition, which leads to the monopolistic situation, is — to be sure — a reaction to the fall in the general rate of profit; but it is a historically unique reaction in that, from that moment on, the very qualitative and conceptual terms of the problem change — and with it, also the historical course of capitalist development.' pp. liv-iv.
59. Karl Marx, *Capital*, III, p. 348.
60. *Ibid.*, p. 391.
61. *Ibid.*
62. *Ibid.*
63. *Ibid.*, p. 392.
64. *Ibid.*
65. *Ibid.*; cf. also pp. 341.
66. *Ibid.*, p. 382; cf. also pp. 382-3: 'Due to the alienated character of capital, its antithesis to labour, being relegated to a place outside the actual process of exploitation, namely to the interest-bearing capital, this process of exploitation itself appears as a simple labour-process in which the functioning capitalist merely performs a different kind of labour than the labourer. So that the labour of exploiting and the exploited labour both appear identical as labour. The labour of exploiting is just as much labour as exploited labour. The social form of capital falls to interest, but expressed in a neutral and indifferent form. The economic function of capital falls to profit of enterprise, but abstracted from the specific capitalist character of this function.'
67. *Ibid.*, p. 382.
68. *Ibid.*, p. 388.
69. Karl Marx, *Capital*, III, pp. 814ff., especially the passage III, pp. 817ff.
70. *Ibid.*, pp. 826-7.
71. *Ibid.*
72. *Ibid.*
73. *Ibid.*, p. 828.

74. *Ibid.*; this is how Marx summarizes the theory of the prices of production: 'A complicated social process intervenes here, the equalization process of capitals, which divorces the relative average prices of the commodities from their values, as well as the average profits in the various spheres of production (quite aside from the individual investments of capital in each particular sphere of production) from the actual exploitation of labour by the particular capitals. Not only does it appear so, but it is true in fact that the average price of commodities differs from their value, thus from the labour realised in them, and the average profit of a particular capital differs from the surplus-value which this capital has extracted from the labourers employed by it. The value of commodities appears, directly, solely in the influence of fluctuating productivity of labour upon the rise and fall of the prices of production, upon their movement and not upon their ultimate limits. Profit seems to be determined only secondarily by direct exploitation of labour, in so far as the latter permits the capitalist to realize a profit deviating from the average profit at the regulating market-prices, which apparently prevail independently of such exploitation under favourable, exceptional conditions, seems to determine only the deviations from average profit, not this profit itself.' pp. 828-9.
75. *Ibid.*, p. 829; here Marx acknowledges the 'great merit of classical economy to have destroyed this false appearance and illusion:' the 'enchanted, perverted, topsy-turvy world in which Monsieur le Capital and Madame la Terre do their ghost-walking as social characters and at the same time directly as mere things.' p. 830.
76. *Ibid.*, p. 831.
77. Cf. Mark Marx, *Grundrisse, op. cit.*, pp. 692-706. In these pages Marx discusses the possibility of a *direct* passage from capitalism to communism.
78. Authoritarian planning as the fundamental expression of the law of surplus value (as well as its tendency to extend to the overall social production), is intrinsic in capitalist development. In the current phase, this process appears with greater clarity as a distinct trait of capitalist societies, and in forms which are irreversible. Of course, this does not mean that *today* capitalism's 'last stage' is being realized. Among other things, the controlled proportionality between production and consumption is still effected with approximating instruments; and what counts more, it is still done in a national context or in a limited international context and by the more advanced countries, on the basis of durable consumer goods' production. In other words, it is done within limits which are insufficient.

The dual economics of transition

Alfred Sohn-Rethel

I regard as deceptive the commonly held view of the present world as divided between a 'capitalist camp' and a 'socialist camp' with the 'Third World' undecided and torn between them. I hold rather that all parts of the present world are societies in transition, the advanced capitalist ones no less than the socialist countries and the rest, although the transition is in different stages and in different forms. I shall in this paper concentrate mainly on advanced capitalism where the process of transition originated. Speaking of monopoly capitalism Lenin says in his study on imperialism: this 'new capitalism bears the obvious features of something transitory. The question naturally arises: What is this new, "transitory" capitalism leading to? But the bourgeois scholars are afraid to raise this question.' I pick up this question and shall try to pursue it beyond the point where Lenin left it.

By societies in transition I understand societies under the impact of two different and heterogeneous economic laws. I do not speak of a 'mixed economy' in which contrasting elements like competition and monopoly, private and public enterprise, planned and unplanned sectors, etc. are seen as coexistent under one law of economics. Instead I speak of dual economics, meaning thereby that capitalist society in its advanced stage stands under the simultaneous action of two contrasting and incompatible economic laws - like law and counter-law - one being the economic law of private appropriation, the other being a distinct economic law to which the increasing socialisation of labour was given birth at a certain definite point of its development.

This duality of economics marks a crucial change in the conditions of capitalism as compared with its classical system of free competition. This I define as the epoch in which the reproduction process of capital could be regarded as identical with the reproduction process of society itself. The change in question has come about as a result of capitalism surviving the Great Depression (1874-/5-1895/6) when, for the sake of society, it should have been abolished. From the turn of the century on, roughly speaking, the progressive socialisation of labour has entered into that economic conflict with the system of private appropriation which Marx and Engels had predicted and which Lenin has thrown into relief.

The particular thesis argued in this paper is that

(a) in monopoly capitalism the reproduction of capital parts company with the reproduction of society and increasingly jeopardizes the survival of society,

(b) the specific economic law of a socialist mode of production is already operating within capitalism, albeit in an adulterated and irrerecognisable form,

(c) this novel economic law can be traced to its roots in the labour process of modern mechanised mass production, and

(d) it can be defined with sufficient precision to help us to understand the dialectics of transition in which present society is convulsing.

1. *The basic importance of the labour process of production*

Marx, in his critique of political economy, views capitalist production under two distinctive aspects: the aspect of its labour process (Arbeitsprozess) representing man's practical relationship to nature as determined by the specific stage of development of the productive forces; and its aspect of profit making process for the capitalist owner (Verwertungsprozess)[1]. The second aspect concerns capitalist economy as the system of production relations necessitated by the conditions of the labour process. The economy of private appropriation through its intrinsic competitive nature itself acts back upon the conditions of production under the first aspect, enforcing their development towards an ever increasing socialisation of labour. In the course of this interaction the social production relations in turn are changed, giving way to the necessities emanating from the progressive developments in the labour process of production. Thus the basic and decisive impulses to social change must be seen as emanating, not from the economics of the profit making process, but from the developments of the labour process evolving under the impact of the profit making process; or emanating indeed from the economics of profit making, but only indirectly and by way of the changes occurring in the labour process of production. In this Marxian method of the materialistic understanding of history we learn to grasp the forcible change of the capitalist system of private appropriation in its 'transition to something else'. In other words, we learn to grasp the 'critique of political economy' being enacted as a live process in history and constituting the essential process underlying the bewildering appearances of 'the facts'.

Generally speaking, economics are met on both levels, as part of the essence and as part of the appearance. Seen as the economics of the social production relations determined by the material conditions of the labour process they constitute the 'economic basis' of society, its *economia formans*, so to speak. But as the economics operated by the profit making private appropriators acting under the necessities of the *economia formans*, economics constitutes on the contrary a mere *economia formata* and the most deceptive part of appearances. If, therefore, in studying monopoly capitalism and imperialism the underlying, empirically non-apparent, causality of changes in the labour process are neglected and overlooked so that the economics of profit making then assume the place of primary causality, we may fall victim to the appearances of the *economia formata*.

On the surface of things the two distinct economic laws whose dual operation underlies the transitional state of society, are apparent in the shape of the traditional market economy of private appropriation, on the one hand, and of so-called 'scientific management', on the other. Scientific

management affords a flagrant example of *economia formata* in that its very purpose is the subordination of the modern labour process to the requisites of private profit making so that the mere possibility of there being something essentially different involved in its subject matter does not come within its vision. In order to detect the *economia formans* contained in the modern labour process it is necessary to retrace the novel managerial disciplines to their origin and to study the work of Frederick Winslow Taylor their acknowledged founder. So as to have two convenient terms by which to speak of the dual economic systems coexisting in present-day advanced capitalism, I choose the name of 'plant economy' — 'plant' in the sense of a factory, etc., as a production unit — in contradistinction to 'market economy' as the system of private appropriation.[2]

F.W. Taylor's first writing was *A Piece Rate System, being a step towards partial solution of the labour problem*, which was read as a paper in 1895 to the American Society of Mechanical Engineers.[3] It was the first public intimation of the major work he was engaged in the results of which did not appear before 1906 under the title *The Art of Cutting Metals*, a very meticulous publication indeed divided in 1198 paragraphs and supplemented by 24 folders of charts. It has fallen into undeserved oblivion, and his only writings still referred to are the two more popular books *Shop Management* (1903) and *Principles of Scientific Management* (1911). Taylor's pioneer enquiry must be understood against the background out of which it grew, the conditions of the Great Depression, the 'hungry eighties', more than twenty years of almost uninterrupted economic deadlock and stagnation, of mass unemployment comparable to that of the 1930's, of hunger marches and mass demonstrations, of riots and strikes, of rising revolutionary agitation when socialism for the first time became the catch word of broad political movements resulting in the foundation of the first socialist and social-democratic mass parties accompanied by the organisation of the unskilled and semi-skilled workers in a new type of trade union. The most ominous features of the picture drawn by Marx of the forthcoming 'expropriation of the expropriators' seemed to come true, foremost among them the paralysing decline of the rate of profit, root cause of all the trouble, and most acutely felt in the heavy industries such as iron and steel where Taylor had his place of employment. The obvious imperative necessity was for two things: first, the expansion of markets and opening up of new territories, i.e., the way out of imperialism practicable for the rich European creditor nations, and second, a substantial increase in the rate of exploitation of labour in the production process of the industries at home, the way most urgently required in a country in the position of America, then still a debtor nation, but in the full sweep of industrialisation and landed with the world's highest wage level. In the subsequent course of events both these ways combined proved necessary to keep capitalism afloat, particularly after the first world war when the USA had turned into the foremost capitalist creditor power and the weakened European countries felt pressed to adopt the methods of mechanised mass production, foremost among them Germany who by her defeat was changed into a

debtor country. But even though pursued together and both of equally essential importance in the make-up of monopoly capitalism, the two lines of development, the external dynamic of imperialism and the internal pressure upon labour exploitation, have their distinctive economic and political significance and consequences. They have, however, attracted a very different measure of attention on the part of Marxist thinkers. While imperialism has been studied by a host of writers, beginning with Hilferding, Rosa Luxemburg and Lenin, followed by Fritz Sternberg and Henryk Grossmann, and continued to Paul Sweezy and Harry Magdoff, the study of the corresponding advance of capitalist exploitation of the labour process has been left almost entirely to the bourgeois experts and students of 'scientific management'.

2. Structural Socialisation of Labour

The cornerstone of scientific management is the time and motion study of operations, a technique first worked out and institutionalised by Taylor. He says: 'What the writer wishes particularly to emphasize is that this whole system rests upon accurate and scientific study of unit times which is by far the most important element in scientific management' (*Shop Management*, p. 58). Time and motion study brings a definite methodical principle to bear upon the practice underlying the secular trend towards growing socialisation of labour in capitalist production. Given manual operations are analysed and broken down to their component smaller and simplest elements of motion. Gilbreth, one of the assistants of Taylor, carried this principle to the limit by assuming something like an atom of manual labour, the 'therblig', an absolutely simplified fragment of labour from which he might build up elementary constructs of actual operations by way of 'synthetic timing'. This had no great practical importance but it shows the essence of the whole technique as being aimed at finding a way of direct economic quantification of human labour time. 'Economy of time, this is wherein ultimately all economy resolves itself', says Marx (in *Grundrisse*, edn. Dietz-Verlag p.89). The standards of measurement of human labour time in Taylorism are derived from the mechanical and technological part of the operations concerned. Wherever a task of time and motion study is successfully accomplished the result is an amalgamation of technology and labour in such a way that the motions of the machinery are measured in terms of labour and the motions of labour in terms of machinery. The operative principle involved in time and motion study is *the unity of measurement of labour and machinery in their productive application*. It is the principle of the structural socialisation of labour, meaning that the socialisation of labour, from merely being graded smaller or greater, has crystallised to the quality of a new economic law that has come into being. This has happened as a result of the socialisation of labour reaching the point where the reintegration of atomised labour into production processes follows economic laws of its own, not derived from the value standards of commodity exchange.

The measured atomisation of labour has given rise to the organisation of mass production on the lines of continuous-flow.[4] Different technical devices can serve this purpose and one of the simplest, the conveyorbelt, may be chosen for demonstrating the principles applying to all. A conveyorbelt operates between a multitude of machine-tools positioned in line in accordance with the sequence of the particular part-operations they perform in the manufacture of a series of products of an identical kind. The essential contribution made by the conveyorbelt is the setting of a common standard of pace for all the part-operations or rather of their manual elements is made. The different manual operations involved are thereby made commensurate but for the different standards set to their place by the machine at which they are performed. This difference is eliminated by the introduction of the conveyorbelt, enforcing the subordination to its own uniform pace of the working speed of each machine (necessitating a design permitting this subordination). As a result the conveyorbelt supplies a common denominator to the economic efficiency of the part-operations. The reason for the economic significance inherent in its function lies in the combination of machine and labour which it effectuates in linking the manual functions of the workers and the machine functions together on a basis of the unity of measurement of them both. This effect is, of course, not thought out theoretically before it is put into practice. Far from it. The place of the conveyorbelt is found in a pragmatic, purely factual way, subject to trial and error. Compared to the part-operations done separately, independently of the conveyorbelt and before it was introduced, so to speak, the pace of the best is too quick for some, too slow for others, right at random for a few. The evenness of pace which the belt enforces is imposed on them by the force of fact.

On this factualness I lay such stress because it is of the same quality as the function of the exchange process of commodities in effecting a measurement of the labour spent on making them. This labour, in contrast to the socialised labour in modern mass production, is individual labour separately performed in production processes out of touch with each other. To make society workable on a production basis such as that a system of communication in terms of property among all people as private owners has to make up for the missing links in production. Here the socially indispensable quantification and measurement of labour and labour time takes place indirectly and not in terms of labour at all but in terms of the enigmatic category of value, itself a creation of the exchange process in its socially synthetic capacity. All this in its far-reaching implications and consequences has been explained and explored by Marx. My suggestion here is that as a result of the degree of the socialisation of labour brought about by capitalist competition modern production has been given, under the mere instigation of the private profit interest, an organisation in structural conformity to socialised labour. This structure is, in a great many cases, characterised by even-flow methods of production, but it allows for *either* organisational procedures as well. Fundamental to this structure is a *direct* quantification and measurement of labour effected *within the labour*

process of production and in its own terms. It is a measurement of labour not on its own, but of labour in conjunction with and dependent on the technology with which it combines in production and answering the formula of unity of measurement of human and technological functions in their combined productive application. This formula allows for the use of automation. Provided the automated sections link up, as they needs must, with combined processes of labour and machinery within a wider scope of production, the automated sections partake in the common time measure embracing them both. This common time measure basic to the organisation of modern production by socialised labour has *the force of an economic law*. In fact, it is its economic law. The scope of this law is as yet confined to single factories or complexes of factories under one financial control. But there is no reason why it would not also serve as the basic economic regulative of the organisation of the entirety of social production on the lines of the socialisation of labour. By the very fact of its utter abstractness - implying little else than the unity of the synthesis of events in time - it could apply to the scope of a practically unlimited extension. Such application, however, presupposes the abolition of the capitalist or any other system of market economy obeying the *value* standard of labour commensuration. The two standards are mutually exclusive and cannot apply side by side to the same phenomena.

A plant organised on principles of continuous flow must follow its own rules of development. Any unevennesses, hold-ups and bottle-necks in the production flow impair its economic working. When run as a private business the production manager will tell the director that the capital invested in the plant is wastefully employed. To maximise the profits the money must be found to iron out the unevennesses. As a result the output capacity of the plant will be increased. As we are still in capitalism with this plant, the output depends for its value on being marketed. But between the increase of the output and the capacity of the markets no intrinsic correlation exists, since they are governed by economic laws of a heterogeneous nature, the one related to socialised labour, the other by origin to individual labour, the one as a law of the labour process the other as a law of property relations. If the market capacity is inadequate the capitalist owner of the plant stands in danger of losing in the *market* economy what he has gained in *production* economy. To avoid this he must lower the price, or restrict the output of his streamlined plant. Obviously the first way will not spare him the loss, but neither will the second, for, here we come up against the peculiarities of the new plant economy again. The more a modern plant is utilised below its rated capacity the higher rises the unit cost of its output, and this coincides with the need for lowering prices and decreasing cost to meet an insufficient, if not receding market demand. The modern plant economy has made production inadaptably to the postulates of market economy. This, in a nutshell, is the effect which the coexistence of the two heterogeneous economics amount to. The market economy has lost its regulating power over social production, but its continued existence prevents the modern law of production from becoming

the regulative of social economy. As a result the economics of social reproduction is without any effective regulator, or put in different words, social survival is in jeopardy. The discrepancy between the new economics of production and the old economics of the market needs to be taken care of by artificial means. It is this that lies at the root of private planning as an indispensable strategy of large-scale modern business. But it is a remedy which does not, of course, eradicate the underlying discrepancy but only allows its further growth. I am inclined to regard the duality of two economics as the root of monopoly capitalism from its very inception. Production that for structural reasons cannot, without undue economic loss, obey the rules of the market must necessarily attempt to obtain control of the markets. The inadaptability and inflexibility of the cost structure of production developed gradually, from slow beginnings perhaps, long before it reached the stage marked by Taylorism and mechanised mass production analysed above. It develops, just as Lenin described it, as a function of the growing organic composition of capital.

Looking at the transitional nature of modern capitalist society from the angle of wider historical perspective and contrasting substance of the two economics involved should be viewed in greater depth. They should be viewed as different forms of social synthesis. This is a methodological concept relating to the connection which exists between the economic basis of a given society, its *economia formans*, and the forms of consciousness to which it gives rise.[5] The word synthesis here is used free from all harmonistic implications. Even the capitalist anarchy of free competition and antagonistic class relations requires an element of functional coherence as a precondition of social survival. The working of socially synthetic functions to constitute its nexus. The concept of social synthesis simply serves to pinpoint this formative element, and it is indispensable for detecting in commodity production (simple or capitalist) the genetic and formative root of intellectual labour divided from manual labour.

Generally speaking, the socially necessary forms of thinking of any age are deducible from the functions of the social synthesis of that age. Even the blind societies based on commodity production bring about, by devious but clearly traceable means, their socially necessary modes of thinking, modes of a thinking which work correctly but with a false consciousness.[6] Since the social synthesis in commodity production comes about, not by the order of the labour process, but by dint of an activity distinct and separate from it (the activity of exchange *qua* reciprocal appropriation of the labour products of others), the socially necessary thinking has a constitution of insuperable division from physical activity. We thus arrive at the fundamental distinction between societies of appropriation and societies of production according to whether their synthesis rests upon acts of appropriation (which, in turn, can be either reciprocal or unilateral) or upon the labour process of production. Ever since the departure from primitive communism (which is a concept of problematic reality) mankind has lived in one or other of an inexhaustible variety of societies of appropriation. All of these are systems of economic

exploitation, social class antagonism, and division of intellectual and manual labour. Capitalism is the last of them, their highest form.[7] Societies of production, on the contrary, are classless societies, based on an order of communal co-operation of their members in social production, but they necessarily require undivided unity of intellectual and manual work. Such a unity can only come about as a result of manual labour reaching a degree and structure of socialisation such that it can find a common level with intellectual labour in terms of universal socialisation. If properly understood, the formula of the unity of measurement of labour and machinery in their productive application holds out exactly this promise of a community of terms with science of which all modern-style machinery is, after all, the technological construct.

This formula and the economic law emanating from the structural socialisation of labour is, however, only a necessary and not a sufficient condition for making a classless society possible. The factories and plants of socialised labour are as yet still firmly held under capitalist control and run for private profit. Viewed from a bourgeois angle, under the categories of capitalist market economy, the plant economy of socialised labour assumes the aspect of 'scientific management' or 'managerial economics'. The need, from a socialist standpoint, is for a critique of scientific management not dissimilar in intention for our epoch of transition from Marx's critique of political economy for the classical epoch of capitalism.

3. Critique of Scientific Management

Within the limits of a short article capitalist scientific management can be reviewed only in a few features of essential significance. They are nowhere more clearly exposed than in the major writings of F.W. Taylor, the founder himself. His witness may, however, be brushed aside by present-day spokesmen of the subject on the ground that Taylorism is altogether a mere thing of the past, long ago superseded by different methods and principles, that the sciences of physiology, psychology, sociology, etc. have been brought to bear upon management to make it truly scientific, especially in its regard for the 'human factor' so badly ignored and neglected by Taylor. That much is true: in its prime conception, inspired by the open and undisguised concern for the steepest possible increase of the rate of labour exploitation, Taylorism aroused the opposition and revulsion of the workers to an extent which threatened, at least in the long run, to defeat its own objectives. A great deal of considered modification and careful mitigation was called for to make Taylorism really workable. What it makes workable, however, was and remains Taylorism if we understand it as defined by the principles expounded in the following extracts from his writings, in the first place from his main work *The Art of Cutting Metals*.

'In the fall of 1880, the machinists in the small machine shop of the Midvale Steel Company, Philadelphia, most of whom were working on piecework in machining locomotive tires, car axles, and miscellaneous

forgings had combined to do only a certain number of pieces per day on each type of work. The writer, who was the newly appointed foreman of the shop, realised that it was possible for the men to do in all cases much more work per day than they were accomplishing. He found, however, that his efforts to get the men to increase their output were blocked by the fact that his knowledge of just what combination of depth of cut, feed, and cutting speed would in each case do the work in the shortest time, was much less accurate than that of the machinists who were combined against him. His conviction that the men were not doing half as much as they should do, however, was so strong that he obtained permission of the management to make a series of experiments to investigate the laws of cutting metals with a view to obtaining a knowledge at least equal to that of the combined machinists who were under him. He expected that these experiments would last not longer than six months.'

Instead of six months his investigation took him 26 years.

'A study of the recommendations made throughout this paper will illustrate the fact that we propose to take all the important decisions and planning which vitally affect the output of the shop out of the hands of the workmen, and centralise them in a few men, each of whom is especially trained in the art of making those decisions and in seeing that they are carried out, each man having his own particular function in which he is supreme, and not interfering with the functions of other men.'(section 124)

While his experiments resulted in many valuable discoveries and inventions (e.g., self-hardening steels and new designs of machine-tools) we regard as of by far the greatest value that portion of our experiments and of our mathematical work which has resulted in the development of the slide rules" which enable the shop managers, without consulting the workmen, 'to fix a daily task with a definite time allowance for each who is running a machine tool, and to pay the men a bonus for rapid work'(section 51) — a slide rule which 'serves to make out the effect which each of 12 variables has upon the choice of cutting speed and feed'(section 6) and again: 'The gain from these slide rules is far greater than that of all the other improvements combined, because it accomplishes the original object for which in 1880 the experiments were started; i.e., that of taking the control of the machine shop out of the hands of the many workmen, and placing it completely in the hands of the management, thus superseding the "rule of thumb" by scientific control'.(section 52) 'Under our system the workman is told minutely just what he is to do and how he is to do it; and any improvement which he makes upon the orders given him is fatal to success.'(section 118)

Towards the end of his paper he emphasizes that 'he did not underestimate the difficulties of and resistance to using the slide rules. He would add, however, that he looks upon task management as of such great moment, both to the workmen in raising their wages and rendering strikes and labour troubles unnecessary and to the manufacturers in

increasing and cheapening output', that he staked the remainder of his days to further assisting in the putting into practice of his conception of management(section 1197).

The crucial advantage and novelty he claimed for his system of management was that it made the rise of profits for the manufacturer compatible with rising wages for the workers. In his own words: 'High wages and low labour cost are not only compatible, but are, in the majority of cases, mutually conditional'. (*Shop Management*, p.21/22) This is why he saw in it 'a partial solution of the labour problem', and in 1895 he even expressed the hope that it would contribute to the elimination of the trade cycle, thus freeing capitalism of its two major evils. When Ford developed Taylorism further into the continuous process of mechanised mass production, these very claims resounded throughout the capitalist world in the heedless rationalisation drive of the Great Prosperity of 1921-1929. However, it would be unfair to blame these exuberances only on Taylor. His hard core argument in his paper of 1895 is in terms of the economics of overhead costs and the inflexibility resulting from a high organic composition of capital, i.e., the root cause of monopoly capitalism. 'Indirect expenses equal or exceed the wages paid directly' and 'remain approximately constant whether the output ... is great or small'; therefore, the operating economic factor is 'the effect that the volume of output has on the cost'(section 37, *A piece rate system* ..., cf. also the discussion between F.A. Halsey and Taylor). In other words, the governing consideration is focussed upon the degree of utilisation of the given plant capacity, not on the wage rates. Wages are evaluated in relation to output, that is to say, as incentive wages. Even 'extraordinarily high wages' will lower the labour cost if they stimulate high output. Taylor's examples given in *Shop Management* show increases in workers' output up to 300% and even 400% relative to a wage increase of 60%! Inflexibility of the cost structure being also the main element making for monopolism, it becomes apparent why Taylorism has its roots in monopoly capitalism. Nor does the causality stop there. Taylorism also acts on monopolism as Taylor's own case can serve to illustrate. After 3 or 4 years of work at the Midvale Steel Co. he transferred his activity to the Bethlehem Steel Co. where he totally reorganised the system of management; subsequently the latter forced a merger with the former to found the United Steel Co., the biggest of its kind in the United States. Thus Taylorism, in turn, helped to increase the stimulus entailing monopolism.

In his book *Shop Management* Taylor makes an additional point of interest in stressing that his system 'is aimed at establishing a clearcut and novel division of mental and manual labour throughout the workshops'. The unity of head and hand by which a worker formerly did his job on his own judgment and skill is broken up by the introduction of 'science' for the rule of thumb. All that the worker is now left to do is the mere physical execution of instructions worked out by the experts and arrived at on purely mental resources. 'Any improvement which he (the

workman) makes ... is fatal to success'. The knowledge of the experts is gained 'without consulting the worker'. One thread nevertheless remains by which the knowledge of the experts is linked with the workers' manual performance: the managerial instructions to the workers are 'based upon the precise time and motion study of each workman's job in isolation'. We remind the reader of the quotation made earlier on (at the opening of Section 2) where Taylor 'wishes particularly to emphasize that this system rests upon accurate and scientific study of unit times'. This link is of essential significance for reaching a critical decision as to whether the novel division of mental and manual labour which Taylor aims at establishing in the labour process of monopoly capital is of a genuine or of a spurious nature.

The 'Critique of scientific management', which these extracts from Taylor are intended to serve, is occupied with the contradictions arising from the fact that the economics of socialised labour, and potentially of socialism, originates within capitalism as the art of the most intensified and sophisticated extraction of surplus-labour from the workers ever, in fact as the extraction of surplus-labour made into a 'science'. The appearance totally belies its essence and makes it well-nigh unrecognisable. To a conception and formal analysis of what we called the structural socialisation of labour is bound to present itself as sheer metaphysics. This is only as it should be, however, as his thinking is confined to a bourgeois understanding of realities destined to supersede the bourgeois world. More interest and greater importance lies with the question why the workers in their vast majority are also blind as to the essence of these appearances. And it is to the answer of this question that the critical undertaking as conceived here is in the main devoted.

The vital contradiction is already contained in the structural formula of socialised labour, i.e., the unity of measurement of the functions of labour and machinery in production. This formula allows for the complete subjugation of labour to the technocratic rule of the machinery in its managerial manipulation, but it also allows for the control of labour over the technology and its productive application. In other words, it allows for a relationship making for communism.

This might seem an outrageous conclusion unless it is understood in the full light of the implications involved. In the first case - i.e., the technocratic subjugation of the workers under the compound machinery of modern production - we have human labour in its extreme forms of alienation, manual labour severed from every element of mental labour, even from the worker's own mental control over his very movements, a control now transferred upon the machinery operating under the command of management. The conditions of capitalism under which the economics of socialised labour have arisen and developed are, of course, the diametrically opposite of the conditions required to make these economics a basis of socialism. To achieve this reversal would be synonymous with an overthrow of capitalism resulting in workers' control over the process and organisation of production so that the existing alienation of labour could be obviated by

a gradual (and arduous) process of unification of manual and mental labour. For the purposes of our theoretical exposition the contrasting condition of socialised labour placed under socialism or placed under capitalism can be defined by the difference as to whether the workers are in possession, or whether they are dispossessed of the socialisation of their labour. If we review Taylor's system of management from the viewpoint of this alternative, it becomes clear at a glance that it contains all the essential elements making for the capitalist relationship, and in what way it does so.

Taylor proposes (in section 124) 'to take all the important decisions and planning which vitally affect the output of the shop out of the hands of the workmen'. That is to say, he proposes to dispossess the workers of the control over the sum total of the functions constituting the socialisation of their labour, 'and(to) centralize them(it) in a few men ... especially trained' etc., that is, to lodge that control firmly and indisputably with the management. By this transfer of control the socialisation of labour becomes the instrument of the domination of capital over labour. This alienation from the workers of the social character of their labour is, of course, nothing new but rooted deep in the capitalist production relations as such and forming one of the ineradicable normalcies of bourgeois society. The dispossession of the social character of his labour leaves the worker in the status of an individual labour-power. This is the necessary correlate of capital appropriating the control. Marx describes the basic relationship thus:

'The labourer is the owner of his labour-power until he had done bargaining for its sale with the capitalist; and he can sell no more than what he has - i.e., his individual, isolated labour-power. This state of things is in no way altered by the fact that the capitalist, instead of buying the labour-power of one man, buys that of 100, and enters into separate contracts with 100 unconnected men instead of with one. He is at liberty to set the 100 men to work without letting them co-operate. He pays for the combined labour-power of the hundred. Being independent of each other, the labourers are isolated persons, who enter into relations with the capitalist, but not with one another. This co-operation begins only with the labour process, but they have then ceased to belong to themselves. On entering that process, they become incorporated with capital. As co-operators, as members of a working organism, they are but special modes of existence of capital. Hence, the productive power developed by the labourer when working in co-operation, is the productive power of capital ..., it appears as a power with which capital is endowed by Nature - a productive power that is immanent in capital' (Capital I, p.323). 'The simultaneous employment of a large number of wage-labourers in one and the same process ... forms the starting point of capitalist production. This point coincides with the birth of capital itself. If then, on the one hand, the capitalist mode of production presents itself to us historically, so, on the other hand, this social form of the labour process presents itself as a method employed by capital for the more profitable exploitation of labour, by increasing that labour's productiveness'. (ib.p.326)

The relations here described by Marx have developed a step further in monopoly capitalism. The capitalist, for one thing, who in the classical epoch of capitalism was as a rule a unity of capitalist and entrepreneur has become a 'finance-capitalist', while a part of the entrepreneurial functions have undergone the transformation into management, and this is an evolution progressing in step with the socialisation of labour moving towards its structural climax. As this climax is reached management is perfected into a 'science'. It becomes 'a system', the system of 'functional management', as Taylor terms it. On transferring it out of the hands of the workmen into the control of management, the functional complex of a high-grade socialisation of labour splits up into multitude of separate functions, each one looked after by its own specialist, making up an intricate bureaucratic hierarchy of functional divisions which themselves create new divisions in charge of holding the others together and requiring that special brand of managerial genius which draws the top executive pay. It is even said that a good part of the 'science' that modern management is so full of is needed for seeing through the fog which they themselves create. While this may be true at the top, at the bottom the whole structure rests on that 'accurate and scientific study of unit times' declared by Taylor to be 'by far the most important element in scientific management'.

This also is an element a step further than the relationship described by Marx. He contrasts the labour contract between the capitalist and the worker, which is in terms of the 'dead labour' embodies in value, with the labour process where the 'live labour' is at work. In time and motion study, however, quantifying standards which are rooted in the sphere of dead labour relations come to be applied directly to live labour. Live labour is placed under the microscope, so to speak, and reduced to 'unit times', i.e., the precise amount of time absorbed by the smallest elements of which the particular kind of work under review is composed as a strictly repetitive performance of the worker, cleared from waste. All qualitatively different kinds of live labour occurring in a given labour process are thus expressed as commensurate isolates in terms of given labour process can be so recognised as to yield the mathematically calculable maximum of output per time unit, say, one hour. The calculated isolates serve to the 'rate fixer' as basis for assessing the wage rates to be paid to each worker as the necessary incentive for him to perform his task 'in the allotted time'. And to the management in general the calculation of the commensurate isolates of live labour is to serve as the 'strictly scientific basis' for organising and running production as a profit-bearing business entity. This is, of course, an idealised construction of Taylor's conception which no management could ever live up to and which by now has been superseded by more accommodating and more practicable replicas. But for our purposes it is of interest to take Taylor's system at its strictest.

It is clear that this conversion of a live labour performance into a methodological managerial isolate also converts the worker himself into a psychological isolate chasing after his maximum pay. This was one of Taylor's conscious intentions. He even dreamt of having a different rate of

pay fixed for every individual worker in a shop so as to eliminate any community of interest between them. Again this may no longer now be consumed as hot by 'any modern and enlightened' management as it came out of Taylor's kitchen. But as a regulative principle it is not altogether discarded as it constitutes the essential correlate to the alienation from the workers of the socialisation of their labour which is and certainly remains the foundation of the very institution of capitalist management. Also the economic justification for Taylor's scheme, namely, the preponderance of volume of output over wage rates in enterprises with a high inflexibility of the cost structures, more than retains its validity. It is closely connected with the trend towards steeply rising capacities of potential output resulting from the structural laws of the socialisation of labour. I speak of potential output because under the 'break-even point' calculations for present-day investments, rising production capacities are no longer left to take full effect as they were in the heydays of the twenties preceding the big slump that ended in Hitler's war economy getting monopoly capitalism off the rocks. That war economy has since become endemic, with its causes still very much alive.

Among the essential features of Taylor's conception is further the establishment of the 'novel division of mental and manual labour' which was listed above. It is aimed at driving an insuperable wedge into the labour process and isolating the live labour within its very realm from the management of production by a division in terms. If this division was an authentic one it would render impossible a possession by the workers of the socialisation of their labour. But is that division authentic? It was pointed out that the terms upon which the managerial science is founded have first to be extracted from the live labour before they become the mental possession of the management. The time-study men themselves, who do this extraction, do not descend from a sphere of the pure intellect like Platonic spirits into the nether regions of the labour process to cast it into their inconvertible measures. These time study men are mere doubles of the workers themselves and should, in order to do their job properly and not be fooled by the workers, be able to do the jobs they are to study and gain personal experience of them. But, however sufficient their experience and however competent their analysis, the people far more experienced and far more competent to do the job would be the workers themselves. There are many good reasons why the workers do not do it, the epistemological one of a division of head and hand not being among them. In the hands of the workers, if ever they did take the job into their hands, its function and its methods would be totally transformed. As done by the workers themselves the study would be of the economics of their socialised labour understood on their terms and on its proper level, and the knowledge gained would incorporate the functions now alienated and usurped by the management. Obviously, however, such a transformation presupposes the overthrow of capitalism and a successful establishment of the dictatorship of the proletariat. In fact, the mental and functional appropriation by the workers of the socialisation of their labour *describes* the dictatorship of the

proletariat as extending to production and to the social economy. It also describes the formative process of socialist man.

Within the social relations of capitalism, however, the workers need an enormous effort to combat the limitations of their wage-labour status, the status more impotent today within the production process than in any previous epoch of capitalism; for never before has the individual performance of a worker been reduced to such fragments and fractions of fragments of a job as is his contribution to the present-day high-grade socialised labour process. At the same time, the productivity of his labour has increased a thousandfold compared to the labour done in the one-man shops of the Middle Ages. But the productivity is not his in terms of his *individual* labour, and taking his individual operations as a standard of judgment the productivity is that of the capital in whose employment he works and dependent on the efficiency of the management. Hence the managerial fetishism that pervades our society, the accepted belief that modern industrial establishments or indeed large-scale establishments of any kind cannot be run without their hierarchy of managers in control of every detail of production and of organisation and in particular, of course, of the workers. This fetishism accrues to the socialisation of labour by the fact that it is in the wrong hands, wielded by management in the service of capital and for the exploitation of labour instead of being the foundation for working class power in a society of production. The reason for the fetishistic character of management is not in its 'science' and still less in that this science is beyond the workers' grasp. Not only is it all based on the study of manual labour, but all that this science serves to achieve is to make individual workers term it, nor how the workers see it, pinned down as they are to the sub-standard of their individual status. As seen from that angle the functions and conditions of their own socialised labour take on an appearance as of an object-nature extraneous to them, to be studied, elaborated, and enforced upon them by separate agents.

These few and unsystematic remarks on the subject of 'scientific management' are all that I find time and space for in this paper. General and abstract though they are, they are intended to advocate the critique of scientific management as a programmatical discipline which could be carried into the details of the class struggle on the factory floor. Some such critique as a weapon for countering every move of the management is of vital necessity for any Party leading these struggles with a long-term revolutions aim in view.

4. *Hitler-facism as a case in point*

(I must preface the following remarks by saying that I am concerned here exclusively with the economic aspects of Hitler-Fascism and its rise to power.)

In Germany 1924-1930, as in USA 1921-1929, the new economy of the labour process had been allowed to develop full tilt in an enormous investment boom where the gospel of 'rationalisation' had led to intensive

concentration of capital (by mergers and trustification) and extensive centralisation and reorganisation of production on the lines of mechanised mass production. This development had taken place without apprehension in nearly all fields of industrial production regardless of whether they were 'new industries' (electrical, chemical, motor, etc.) or 'old' (iron & steel, coal, cotton). In fact, in iron and steel the rationalisation had been, if anything, even more thoroughgoing than elsewhere. It had led to the formation of the Steeltrust in 1926 (Vereinigte Stahlwerke A.G.: 'Vestag') by a merger of 4 or 5 big companies (Thyssen, Stinnes, Otto Wolff, Phoenix), with a rated global capacity of 10 m. ton of pig iron and 9.5 mill ton of raw steel (equal to 40% of the total German production).[8] Working at full capacity the trust gave employment to close on 200,000 people. Vestag was the biggest single firm in Europe. The new labour process was of the type of 'Verbundwirtschaft' (plant combination), based on the utilisation of the blast furnace exit gas as fuel and source of energy for the whole works; it operated a timing mechanism such that practically no one section of the combine could be worked independently of the others. The whole colossus of the main Thyssen works at Hamborn, for instance was effectively controlled from one central switchboard by a chief engineer with two assistants. The financial basis was a long-term dollar loan worth RM 800m. of debentures against a share capital of RM 750m. (under the aegis of the Danatbank, the first of Germany's big five to collapse in June 1931). The main combine of the Steeltrust had an absurdly restricted margin of elasticity; it could not divide its process of output and it could not slow it down to less than 66-70% (I seem to remember the precise figure of 68%) of its rated capacity. The whole organism was the last word in 'scientific management and rationality', and the foremost plant economist (Betriebswissenschaftler) of Germany, Prof. Ernst Schmalenbach, had been engaged as consultant.[9]

In 1930/31, as the slump gradually took effect, German monopoly capital, its leading sections, split into two clearly divided camps. On the one side were the great exporting industries (Siemens & AEG, I.G. Farben, Mercedes & Opel, heavy & light engineering like M.A.N., Demag, Julius Berger, etc.), financially sound and strong enough to abide by the traditional rules of market economy (aimed at restoring the equilibrium by means of ruthless deflation), and accordingly arrayed in support of the Brüning Government. But deflation did not make for a viable policy under the circumstances then prevailing internationally and further aggravated in Germany's case by her condition as a debtor country[10]. Adherence to the principles of market economy proved a cause of political weakness and vacillation. In the other camp the opposite was the case, economic weakness combined with political strength. Here were the so-called 'autarchists', representative mainly of the heavy industries spearheaded by the Steeltrust, and advocating entirely different ways to recuperation. In October 1931 this second camp went over to the attack and grouped in the 'Harzburg Front' or 'Natopp' (Front der Nationalen Opposition, also aptly nicknamed 'Fronde der Grossbankrotteure') under the political leadership of

Hugenberg, Dr. Schacht, Hitler, and Seldte (for the 'Stahlhelm'), unmistakable partisans of rearmament and military expansion in Europe. One of their leading slogans was 'Grossraumwirtschaft', pleading the need of mechanised mass production for enlarged mass markets of the size of, say, USA or the USSR. The intended autarchy was for such a Grossraum, say, 'Mitteleuropa', not for the Reich within its extant boundaries. This oppositional camp made a vociferous appeal to the mounting mass of unemployed but more specifically to the millions of petty-traders and consorts whom the slump held mercilessly by the throat and who formed the main voting reservoir for Hitler; while these were backward and outmoded elements of the German economy, the potent spearheads of the movement were, on the contrary, some of the modern - most paradigmata of mechanised industry. In between these two main camps a very few particularly powerful firms like Krupp stood astride the gap and took an active hand in trying to work out a platform for a new concentration of German monopoly capital as a whole on the line of the Harzburg Front. And this attempt was finally successful in lifting a Hitler Government into the saddle early in 1933.

The establishment of this government signified the termination of the slump for Germany, a termination which for the first time in history did not represent and was not intended to represent a state of economic equilibrium. It was a regime politically and economically streamlined for rearmament and war, without acting in self-defence and without any possible pretence at self-defence except against the mythical 'Jewish menace'. As it worked out, this emphatic non-equilibrium economy entailing from 1936/7 onwards, the arms race heading for WW II overtook the entire world economy; and there is today a fairly unanimous consensus of opinion among economists that without this intervention of war economy the slump would in all likelihood have resettled itself upon world capitalism. There is also a widespread conviction among economists that present-day advanced capitalism could not easily dispense with the 'military-industrial sector' of its activities without courting the danger of a slump not unlike the 1930s. It is therefore of importance to focus upon the precise economic mechanism which was at the root of the developments fraught with such far-reaching consequences in Germany and for capitalism as a whole.

This mechanism amounts to nothing more complicated nor more controversial than the fact of the inflexibilities of modern industrial structures, of their inability to respond to the postulates of capitalist market economy or to put it the other way round, the fact that these structures are endowed with certain definite economic necessities of the markets. I wish to hark back to that highly significant piece of conversation with the deputy-head of the German Steeltrust, quoted in note[10]. The state of affairs in which the Steeltrust had been landed in the winter and spring of 1932 was that of an alternation of a fortnight's operation and a fortnight's stoppage of the giant works at Hamborn and elsewhere.[11] The orders, which, even at the peak of the boom had never exceeded 80% of the output

capacity, had dropped to 60% in 1930 and to less than 40% by the end of 1931 and stood now at about 20%, and of course not at equal amounts of all the hundreds of specifications produced, but a few of some, more of others, none of most. For a long time Vestag had kept producing for stock, thereby still further choking the market, until there was now only the utterly ruinous choice left of regular stoppages altogether for fortnights on end. Needless to say, the enormous overheads went on even with no output to carry it, and so did the cost for maintenance which was very considerable. When work was resumed after the stoppage, a day or two was wasted on frictional runs until the entire machinery was back in gear. This kind of regime did not only lose the profits, it piled up debts and ate relentlessly into the firm's capital. On standards of market economy the Steeltrust was bankrupt and should have been liquidated, but such a thing was politically unthinkable. There was thus only one remedy left to save the Steeltrust and all other firms similarly placed: to put the works back into full-scale production regardless of the markets. If production of marketable goods was impossible, then it had to be of non-marketable goods, non-reproducing values, in other words armaments. The economic necessity of this way out imposed itself almost coercively, but it is of course difficult if not impossible to say whether in a different nation, with a different background of tradition and ideology this way would have been embraced with a similar resolve and throughgoing consequence. It must also be said that I use the case of the German Steeltrust here only as paradigm for demonstrating purposes. There were other economic factors of a similar and similarly compelling nature pointing in the same direction, for instance, the I.G. Farben trust being caught just then (in the summer and autumn 1932) in a venture of research and development involving risks of a colossal magnitude which they sought to devolve upon the State; but a State ready to accept that risk had first to be created in agreement with the Steeltrust. This case, too, is of obvious paradigmatic significance in the light of the present-day fusion of armaments with 'R and D' under State tutelage.

My argument here in all this is concerned with the dual economics involved in this development, plant economy versus market economy. Embarking upon the Fascist course the capitalists forfeited their stake in the market economy to satisfy the exigencies of their plant economy. Their profits out of a war economy were all fictitious unless and until Germany won the war. Also they broke with the entire morality of the past in jeopardizing the aim of social reproduction as the end of the economy. And they handed over their fate and their initiative into the care of the State. The economy of this system demanded a hermetic division into two spheres, the economy of the reproducing values and the economy of the non-reproducing values, neither of them spilling over into the other. To keep the nation working it had to be fed and clad (no new residential housing and hardly any repair was permitted in all the Hitlerite years), and the rate for this was set at a wage level which hardly exceeded the unemployment benefits during the slump. Wages and prices were frozen under a 'wage-stop' and a 'price-stop' which only in 1938 and 1939 showed first

signs of yielding. No renewal whatever and only the most essential replacement and repair was allowed for the productive equipment of consumer goods industries. Conversely, no expenditure on any but the essential consumer goods was supposed to take place out of profits in the armament sector so that all money equivalents of the non-reproducing values produced could be kept in circuit spiralling up to the mounting total of armaments expenditure. This total Hitler himself in September 1939 gave as RM 90 billion. Within this totalitarian framework the economy was indeed totally *étatisée*, state-run for private account. One might liken the bisection of the economy into the two spheres and the sealing off of the civilian sphere with the rather timid and tentative efforts at an incomes policy these days although the difference in grade is such as to constitute a difference in essence perhaps. In Hitler Germany it was linked with a compulsory cartellisation of industry, banking, commerce, and even of agriculture (Under the Food Estate which, but its original industrial inventors, had been conceived as 'Agrar-Kartellierung'), the whole making for the Corporate State. The over-all relationship between the State and the Fascist Party can best be understood on the analogy of the relationship between capital and management in the modern industrial firm. The firm belongs to the capitalist, but is run by the management on behalf and for the benefit of the capitalist. Capital is dependent on the management for running the business, but the management is dependent upon capital, upon its service to and employment by capital, for its position of rulership over the workers. This mutual dependence does not make for a harmonious relationship between management and capital and between the Party and the State. Rather the contrary. Each of them labours under the illusion that it might and ought to be able to do without the other and take all the power and all the gain for itself, only to discover the self-deception in the attempt at acting on it. The entire history of the relations between the Party and the capitalist class in Hitler Germany, a history of incessant friction and tension, fits in with this analogy and for very good reasons.

Notes

1. I employ the term 'profit' instead of the correct one of 'surplus-value' for the sole purpose of a more convenient wording; in the context of this paper the inaccuracy is of no consequence.
2. The term 'political economy' is unsuited for my purposes because it is applicable only to the classical system of capitalist economy as defined above. Only by adopting the different methodological scope of the *'economia pura'* since the 1870's does bourgeois economic thinking follow suit to the historical change and relinquish the claim upon objective social validity which marked the classical system of the founders.
3. In this same year there took place that revealing conversation of Cecil Rhodes to Wickham Stead which Lenin quotes in his 'Imperialism' and which because of the significance of the parallel I wish to recall here: 'I was in the East End of London yesterday and attended a meeting of the unemployed ... the wild speeches ... were just a cry for "bread", "bread", "bread", and on my way home I pondered over the scene and I became more than ever convinced of the importance of imperialism ... If you want to avoid civil war, you must become imperialists.'

4. 'The collective machine (die kombinierte Arbeitsmaschine), now an organised system of various kinds of single machines, and of groups of single machines, becomes more and more perfect, the more the process as a whole becomes a continuous one, i.e., the less the raw material is interrupted in its passage from its first phase to its last ... (Capital I, p.376 (Moore/Aveling, 1943)). It would be interesting to find out why and where this Marxian concept of capitalist production as a continuous process differs from the continuous process of mass production initiated by Ford in 1922, for instance, and why the latter, but not the former, implies the operation of a new economic law calculated first to upset and finally to supplant the system of market economy.
5. For fuller details I must refer the reader to my book 'Geistige und körperliche Arbeit, zur Theorie der gesellschaftlichen Synthesis' Suhrkamp, 2nd. ed. 1972.
6. As rooted in the social synthesis, the necessary forms of thinking are social; in fact, they are forms of the socialisation of thinking. The measure of socialisation determines the logical independence of thinking, its relation to objective truth. But the independence is that of individual thinking! It is just because the constitution of the thinking is social (determined by the prevailing social synthesis), not individual (not determined by the part an individual contributes to the social product) that the thinking carries logical authority: vested in the *ego cogito*. From this paradox one may gauge the depth and intricacy of the false consciousness that must needs attach to the forms of thinking in a society which blinds the individual as to their origin.
7. It is essential to realise the dependence of capitalism on the division of head and hand besides the private property of the means of production. A capitalist control of production would be a complete impossibility if the mastery of the technology of production were provided by the workers. Capitalism presupposes a reliable knowledge of nature from sources other than manual labour. Kant asked the question how such knowledge was intrinsically possible and answered it in a way postulating the inalterable necessity of the division of head and hand (as a variant to the economic class division). This made him the founder of philosophical epistemology. His answer, and all epistemological ones, is however untenable also on logical grounds. Marxism alone can hold the correct answer. Actually, the materialist theory of the social synthesis is calculated critically to supplant the idealistic theory of the transcendental synthesis, thereby supplanting the epistemological fetish concept of 'knowledge' by the historical concept of the division of head and hand.
8. From 1923 to 1929, raw steel output nationally rose in Britain by 13.6%, in France by 83.2%, and in Germany by 158.1%.
9. In the autumn of 1931, when the disaster began to take shape, he issued a memorandum in which he reached the conclusion that the planned giant works of modern industrial production could be a blessing to society only if operated in the framework of a planned national economy. The memorandum aroused such indignation on the part of the German big industrialists that they asked the then Reichsminister of National Economy to suppress and destroy the paper, which he did. In the winter of 1932 the second in command of the Steeltrust in a conversation in which I dared to make a reference to science, burst out: "Don't mention that word! We have been fed on nothing but science and have heard of nothing but science — scientific planning of this, scientific calculation of the other — and where has it landed us?!"
10. Adherence to the principles of market economy proved a cause of political weakness and vacillation. In the other camp the opposite was the case, economic weakness combined with political strength. Here were the so-called "autarchists", representative mainly of the lack of foreign assets, to these industries, made for an enhanced appreciation of scientific progress so that they might at least earn the royalties for their patents if they could not secure the tenders themselves. Hence, when in 1933 the Jewish scientists were driven out of Germany and the Americans and the British made sure not only of their persons but often of their laboratories as well, the exporting firms sent Max Planck, the great old man of German science, up to Hitler to tell him what this exodus involved for Germany. Hitler turned to him with his hands in the air: "Dear Geheimrat, what is the great loss if Germany has no leading physicists for a generation; there are greater issues at stake for me! The purity of the German race ranks higher in my mind!"

The labour process: from Fordism to neo-Fordism

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Translated by John Mephram and Mike Soneuscher

Introduction

The analysis of the historical development of the labour process and of the complex forms of its current organisation, as well as any attempt to foresee possible future developments or devise alternative scenarios for the future, presuppose an initial definition of the labour process as well as an account of its position within the productive system and the movement of capital.

a) Definition:

The *labour process* may be defined as that process by which *raw materials* or other *inputs* are transformed into *products* having a use-value. This process is a combination of three elements:

- human activity, or *labour*, which is set to work as *labour power*,
- the object (raw materials, unfinished products etc.) upon which labour acts,
- the means (means in general, usually in the form of tools or of ever more complex machinery) by which labour acts.

b) Position of the Labour Process:

The history of the labour process is bound up with both the development of the productive system (or modes of organisation of production) and of the movement of capital (movement of accumulation and movement of valorisation of capital); and also with the rise of forms of division of labour whether within the collectivity of workers (simple labour/complex labour, division of labour as different kinds of activity etc.) or within social relations (mental labour/manual labour etc.).

The first thing to get clear is that we can only understand the labour process if we understand the relationship between the productive system and the movement of capital. By productive system we mean the ways in which the production of use-values and commodities is organised. This organisation takes place in the context of forces and relations of production which are considered as divided into categories in two different ways: first, into the different departments of production, and secondly into the different branches of industry. The productive system is the material translation in the labour process of the exigencies of the movement of capital.

The analysis of the movement of capital shows that this is in fact a movement which has two aspects (which correspond to the two ways of dividing up the productive system — departments/branches); this dual movement can be seen in the process of *valorisation* of capital and the process of *accumulation* of capital. Included in the notion of valorisation of

capital is the effect of the requirement of profitability both on the combination and organisation of the elements constituting each individual capital and also on the conduct of the movement of realisation of these individual capitals. Valorisation designates the conditions of productive effectiveness and of profitability of those capitals engaged in the various branches of the productive system.

The notion of the accumulation of capital refers to the requirements placed upon the conditions of production by virtue of the fact that they must issue in a surplus-product, requirements which are expressed in the fact that capital must be used to produce *new* conditions (intensive or extensive) of production of surplus. The accumulation of capital is what is involved when we are discussing the conditions of *productivity*.

The valorisation of capital corresponds to a division of the productive system into *branches of industry* producing 'commodities'. The accumulation of capital corresponds to a division of the productive system into departments of production, producing 'goods' (production goods, consumption goods), from the point of view of the formation of surplus-product.

The production of the surplus-product, like the production of commodities, combines the processes of accumulation and valorisation with the labour process. According to the emphasis — whether on accumulation or valorisation — so one or other aspect of the labour process will be emphasised. The labour process occupies a central position in relation both to the productive system and to the movement of capital, with which it is both tightly bound up and which it serves to define. The productive system and the movement of capital are deliberately directed towards the labour process, which is the real 'heart' of the economy, and hence towards the constitutive elements of this process and their particular forms of combination. All forms of surplus-product presuppose both a certain combination of elements of the labour process and their integration into the productive system and the movement of capital. For example, any production of surplus in extensive form involves a labour process characterised by a prolongation of working-time devoted to production (extension of the duration of working-time, increase in the intensity of work) which has consequences for both the structure of the productive system and the movement of capital. Similarly, production of surplus in intensive form implies a labour process characterised by increases in the productivity of labour, with ensuing important modifications in the productive system and the movement of capital. Evidence of this is apparent from any labour process founded upon the principle of automation.

As it is the 'heart' of the economy, the labour process, in its involvement with the productive system and the movement of capital, is not isolated from the totality of social relations. Its own development is a necessary corollary to the *division of labour* in the capitalist system.

Adam Smith's famous example of the manufacture of pins underlines the capitalist necessity for the principle of the division of labour and the

fragmentation of tasks within capitalist production. This principle of specialisation within the capitalist system, however, has been extended to all social activities, giving rise to a social division of labour and notably a division into branches of the productive system in which specific, concrete labour processes differ from one another. The combination of specialisation in the production of commodities and the social division of labour into industrial branches producing different commodities and involving different labour processes gives rise to a 'separation' (more social than economic) of complex labour from simple labour.[2] This separation becomes the basis of a hierarchy of *labour* within the labour process, and hence of a hierarchy of wages and also the foundation of the hierarchical principle within the enterprise, i.e. the foundation of the labour process itself.

The growing differentiation of social strata and the formation of classes is a function of the development of the division of labour; the existence of differentiated social classes presupposes a clearly defined division of labour, a division of labour articulated upon the labour process in the case of the capitalist system.

Furthermore, the integration of the labour process into the logic of the capitalist system requires not only a division of labour *in* productive activity as well as a social division, but also a division of labour in social relations, involving the separation of mental and manual labour,[3] which complements and supports the separation of simple and complex labour, with important effects on the training and dequalification of workers:

'Mental and manual labour in the technological division of labour are subject to the same general law of extraction of maximum surplus labour from the maximum number of individual labour powers, but that same law produces contradictory effects upon mental and manual labour: whereas it seeks to produce the maximum dequalification of the maximum proportion of manual labourers, it seeks to produce the maximum skill in the smallest possible proportion of mental labourers.' (Y. Maignien, p.67).

1. The historical development of the labour process

A certain number of phases, linked to specific forms of the production of surplus, have punctuated the development of the labour process: cooperation, manufacture, machinery and the factory, whose appearance led to Taylorism and Fordism, and automation,[4] which today constitutes the point of departure for possible developments of the labour process within contemporary capitalism.

But it would be misleading to describe the development of the labour process apart from its relation to the forms of production of surplus-product, in either extensive or intensive accumulation.

1.1. The labour process and the production of surplus-product

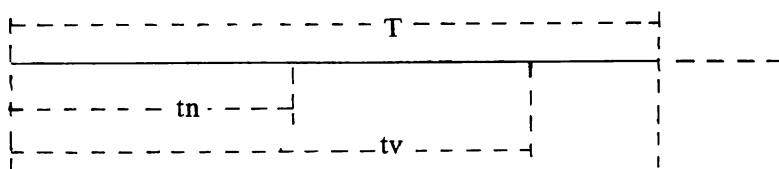
Two specific forms of surplus-product have appeared in the development of the capitalist system. These forms have existed in combination, but successive historical phases were marked by the dominance of one form and then the other: that is by extensive surplus and then by intensive surplus,[5] corresponding of course to the extensive and intensive phases of the accumulation of capital.

1.1.1. The production of extensive surplus[6]

Let us call:

T the apparant duration of work, or time of production,
 tn the time necessary for the reconstitution of labour power,
 tv abstract social labour time devoted to production.

The application of labour power in the labour process, as the process of valorisation of capital, can be schematised as follows:



Surplus labour, or surplus, is equal to $tv - tn$. The yield upon labour power would be:

$$e = \frac{tv - tn}{tn}$$

The difference between T and tv expresses a certain 'porosity' in the labour process as is explained by J  sus Ibarrola:

'The working day remained for a long time relatively porous, made up, of course, by some particularly intense periods but also of periods of inactivity (for example, at the end of a labour process, or when starting up again, or while maintenance work was going on). It is in the nature of machinery to systematically eliminate porosity.' [7]

The introduction of machinery had as its initial object the intensification of work (increase of tv) rather than the augementation of productivity by lowering tn.

The time T — tv expended by labour power without creating any surplus cannot be separated from the production of this surplus and from the organisation of the labour process. Any change in the conditions of production seeks to transform the labour process in order to expand the yield of labour power, i.e. the rate of surplus. This can be done by:

- lowering tn,
- increasing tv, either without changing the *relation* of tv to T (i.e. by prolonging T, which involves prolonging tv), or by changing the relation of tv to T (i.e. by increasing the ratio of tv to T).

Lowering tn represents the method of production of an intensive surplus,

whereas increasing tv represents the method of producing an extensive surplus.

Historically, the production of surplus as extensive surplus was achieved by extending the apparent duration of work, T , notably in the first half of the nineteenth century. Given the organisation of the working class and the result of the class struggle over time, changes in the conditions of production no longer take the form fundamentally of a prolongation of the apparent duration of work.

The dominant form of production of extensive surplus today is achieved by changes in the relation between tv and T , in the direction of an increase in tv/T . The way in which the labour process is organised to achieve such a result takes the form of an *intensification of work*, in which it is a question of subordinating labour powers to the more or less continuous *movement* of systems of machinery, either by Fordist organisation of mass production and its contemporary developments (recomposition of industrial work) or by automated mass production, although today the organisation of the labour process is evolving towards a combination of these two main forms of the organisation of production.

The intensification of work involves reducing the amount of time during which labour power produces no value.[8] It thus promotes the production of an extensive surplus. But this form of production of an extensive surplus, linked to mass production, is necessarily related to the production of an intensive surplus. Nonetheless, the limits to the production of an extensive surplus are determined by the resistance of the working class to the intensification of the rhythms of work.

1.1.2. *The production of intensive surplus*

In a fully developed capitalist mode of production, production of intensive surplus by lowering the labour time needed to reconstitute labour power (lowering tn) depends basically upon the production of commodities by the department of production of consumption goods destined for the maintenance of labour power, and hence depends upon the relationship within the process of accumulation of capital between the departments producing production goods and consumption goods. This involves, therefore, increasing the productivity of labour by developing the productive forces (mechanisation of work) with an ensuing increase in the organic composition of capital and everything which follows from that for the mechanisms of accumulation and the relations between departments I and II. In fact, economies in labour power entering production (reduction of tn) are reflected in a rise in the organic composition of capital, which is expressed in changes in technical composition. This in turn promotes the need to produce material means of production and gives rise to the predominance of department I. But the department producing consumption goods is alone directly responsible for the maintenance of labour power, and it was therefore necessary for the capitalist system to develop — albeit within an *uneven development* — the department producing consumption

goods, with ensuing contradictions arising between departments I and II. Mass consumption, paradoxically, is intimately connected to economies in the use of labour power (lowering of tn) for the production of intensive surplus. This has forced capitalism to opt in a decisive manner for this method of producing surplus, with all the consequences that have followed both for the accumulation in means of production and for the accumulation in means of consumption, and hence, today, an *exemplary crisis of accumulation* arising from the *uneven development* of the departments of production.

1.2. Different labour processes as landmarks in the history of capitalism

The first two forms — cooperation and manufacture — characterised the labour process at the time of the transition from feudalism to capitalism. Only with mechanisation and automation was the labour process fully integrated into the capitalist organisation of the productive system and into the movement of capital.

1.2.1. Cooperation (simple)

M. Freyssenet provides the following definition:

‘The bringing together by an owner of capital of artisans deprived of their means of production, but whose labour power retains its value. The worker loses control of the production process ...’[9]

The principle of cooperation lies in the *coordination* of labour processes based upon *crafts* (‘craft’ here being given both a social and a technical definition), processes coordinated[10] under the control of the owner of capital[11], who takes into his own hands the power to select and design particular use values. This coordination of labour processes based upon crafts reproduces in a modified way the hierarchical productive organisation of artisanal production, characterised by the relationship between the master craftsman and journeyman (the primary relationship) and between apprentice and adult workers (the secondary relationship).

Cooperation, a transitional labour process, existed within the framework of petty commodity production.

From the point of view of labour power, cooperation opens the way to (but only opens the way to) the formation of the collective worker, in which each individual labour is merely part of the whole and is a function of social labour time (concrete labour/abstract labour). In this form of the labour process, however, we are only at the first stage of the social existence of concrete labour, the basis of craft production.

1.2.2. Manufacture (or advanced co-operation)

The principle of manufacture amounts to an extension of the principle of simple co-operation, with an initial dissolution of the preceding labour process based upon crafts. Simple co-operation is effectively a juxtaposition

and co-ordination of labour processes based upon crafts, which do not in fact change the processes themselves. With manufacturing, the various work activities centred upon the crafts are decomposed and reorganised thus introducing a division of labour and fragmentation of tasks, even though the craft remains the foundation of the work. In this process, various kinds of work, based upon the old crafts but now reorganised, become interdependent, and from this there arises the collective worker to whom the individual worker becomes subordinated. The *artisan* becomes a *worker* with profound ensuing effects on social relationships arising from the process of technical de-qualification and hyper-qualification of labour power within manufacture as a result of the fragmentation of tasks.

This process of de-qualification/hyper-qualification within manufacture is described by M. Freyssenet as:

'1) The beginning of the "deskilling" of the work of the majority. This is bought about by:

reducing the field in which the workers skills can be used and developed:
progressively suppressing that part of the workers activity which consists of preparing and organising the work on his own way:

eliminating his understanding of the whole of the labour process and, as a result, eliminating his concrete control of the labour process.

2) The beginning of hyper-qualification of a small minority. At this stage of development, the activities appropriated from the worker (whether by reducing the scope of his work or by taking away his direct control of the organisation of his work) are transferred by the capitalist to a small number of wage earners who are themselves divided into different categories and subject to the capitalist's control.

The responsibilities of these groups of workers are:

a) to systematise the fragmentation of work,

b) to adapt each tool, which previously was used for many purposes, to new narrower uses, in such a way as to increase their efficiency.'[12]

This decomposition and recomposition of craft-based work is fundamentally aimed at increasing the surplus by creating a greater intensity of work (a first form, more mercantile than capitalist, of *extensive surplus*); this increase in the intensity of work is obtained by turning essentially craft-based labour powers into *collective labour*, thus recomposing, reorganising, 'hierarchising' individual labour processes which are henceforth fragmented, and the social yield of which is driven to the maximum, given the level of productive forces (tools, skills).

But manufacture comes up against not only the narrowness of its productive base, but also and above all, against the contradictory process of the reproduction of labour power, which remains organised around the crafts, so that it is still necessary for there to be a broad stratum of skilled workers, prolonged training (apprenticeship) and autonomy of this stratum of artisans (who have become manufacturing workers but whose social origin is that of the old crafts and trades); all this at a time when it is simultaneously necessary to devalue this labour power now that the process of fragmentation and dequalification are under way. This is ultimately

achieved by the introduction of machinery and the modern factory.

1.2.3. *The collective worker: mechanisation and the factory*

With the factory and mechanisation, the two weaknesses of manufacture, from the point of view of capital, were partially overcome by:

- enlarging the productive base,
- eroding the autonomy of the reproduction of labour power, which henceforth, was subjected to capital.

Application of the principle of mechanisation in the factory substituted the concept of the machine for that of the tool. The machine is composed of three basic elements:

- the motor (or mechanical source of power),
- the transmission,
- the operating equipment (various tools).

By mechanisation is meant the operation of several tools (now independent of the workers manual dexterity) by means of *transmission mechanisms*; in place of human energy, in other words, powered by a *mechanical source*.

The tool integrated into the system of machinery, becomes a 'machine-tool', a machine which incorporates social relations. Machinery is not neutral because the machine incorporates in its mode of operation the dexterity and the skill of the individual worker who is henceforth deprived of his skill and subordinated, from the point of view of social production, to the machine, which he can only serve, set in motion, and regulate.

'What we wish to show, on the contrary, is that the very design of machines is determined by the capitalist use to which they are put, in other words by the mode of exploitation of labour power. The separation of the mental from the manual part of work is materialised in the machines themselves, and appears to the workers as an intangible, external force.'[13]

Capitalist development of machinery in the factory contributes, on the one hand, to a massive 'deskilling' of production workers, together with a loss of autonomy in the reproduction of labour power, and on the other hand to an 'over skilling' of a small number of workers responsible for innovation, organisation, regulation and repair. This process of dequalification and hyperqualification is henceforth characteristic of the practical forms of the reproduction of labour power.

Machinery, in its capitalist use, has as its essential object the growth of surplus on an extensive basis (increase of intensity) by integrating the reproduction of labour power ever more tightly to the processes of valorisation and accumulation of capital. In relation to the forms of appearance of surplus, mechanisation leads to an important increase in the *intensity* of work by increasing the abstract social labour time devoted to production (tv) so that the collective worker becomes an ever greater obstacle to the freedom on manoeuvre of the individual worker. In this way, the production of an extensive surplus has as its corollary a drastic

fragmentation of tasks, which are co-ordinated, in an authoritarian and hierarchical manner, into collective work. This fragmentation is matched by a dequalification of labour power and by the loss of its control over its own training and reproduction. Labour power becomes exclusively a 'commodity', compelled to sell itself.

Simultaneously, mechanisation, in substituting dead labour for living labour (although still requiring the latter for setting machines in motion, supplying raw materials, and maintenance) improves the productivity of labour by lowering the value of labour power (tn). 'Deskilling' and devaluation of labour power complement each other in a mechanism of production and reproduction which is henceforth more fully subject to the production of extensive and intensive surplus, or, in other words, subjected to capital. The management of labour power becomes a capitalist imperative.

Only at the beginning of the twentieth century did mechanisation culminate — as a means of subjecting the labour process to capital — in Taylorism and Fordism, in which the elements of the labour process are completely taken apart and re-coordinated at assembly-line work, including the first forms of automation. The principal result of mechanisation, arising from the accelerated 'de-skilling' of the worker, appears in a new type of worker, the unskilled assembly line worker, who is the product of the capitalist division of labour.

1.2.4. The collective worker and automation

In mechanised production, the worker at the machine is surrounded by many other necessary operations, such as setting up the job, feeding the machine, regulating its operation and checking the product. Therefore a worker can only serve a limited number of machines. This gives rise to a certain 'porosity' in the utilisation of machines and in the degree of coordination between different machines within the whole mechanised system, which affects the rate of profit. Automation, in its capitalist use, aims to eliminate all manual intervention by the worker by means of electronic techniques, so that the worker's intervention is now limited to overall supervision and control. By integrating machinery into a machine-system which eliminates this 'porosity', automation ensures the maximum turnover of capital for the production of an intensive surplus, while carrying the 'dequalification' of productive labour to its most extreme point.

If we are to produce a precise analysis of the consequences of automation for the labour process we must distinguish between automation applied: a) *in discontinuous form*, in the production of production goods and consumer durables by mechanical means, b) *in continuous form*, in the production of intermediate goods (steel, petro-chemicals, chemicals, energy) by a physico-chemical transformation.

a) *Discontinuous*: In mechanical and electro-mechanical processes, one can discern two sorts of application of automation to the departments of

production and consumption goods, involving on the one hand generalisation of mechanical transfer machinery for mass production, and on the other, the general use of numerical control machines for production in small and medium series.

Mechanical transfer reduces a series of machine tools, carrying out a series of specialised operations, to one automated whole. The movement of the unfinished product from one machine tool to another is performed automatically, without it ever having to be taken off and remounted for each operation. The whole constitutes a *flow-line*. The flow-lines are connected to each other by automatic conveyors which thus act as a depository for the unfinished products. Transfer machinery, which was first developed in the automobile industry, has been introduced into many areas of production, linked to *mass production*.

Numerical control machines automate the different phases of production (even, in some case, setting up the work and quality control) in the production of small or medium series of mechanical components. The numerical control device is a machine tool in which the series of movements necessary to the working of the machine is directed and controlled by a pre-determined programme instead of by the operator. This type of machine tool, though it involves less use of man-power, at the same time reduces even more the technical skills of the worker to the extent that the skills themselves increasingly disappear.

The new manpower needs associated with numerical control machines include engineers trained in numerical control, programmes and multi-purpose electrical and mechanical maintenance personnel. Labour power skilled in mechanical operations is replaced by labour power concerned with programming and control, qualified in electronics.

By distinguishing conventional machine tools, transfer machines and numerical control devices it is possible to summarise the working skills required in the operations of the labour process as follows:[14]

machine tools: operations:	conventional machine tools	transfer machines (mass production)	numerical control machines (small and medium production)
supply	skilled/ unskilled	automation + unskilled	unskilled
regulation	hyper-skilled/ skilled	hyper-skilled/ skilled	computer + unskilled
setting up production	skilled/ unskilled	unskilled/ unskilled	computer + unskilled
supervision/ control	skilled	skilled/ unskilled	hyper-skilled/ skilled [15]

Machine tools already ensured the rise of the unskilled and semi-skilled worker, *i.e.* they produced the 'de-qualification' of workers: automation, using transfer machines and then numerical control machines make the unskilled worker the norm[16]; they generalise the disintegration of working activity and the fragmentation of tasks.

By the *discontinuous* character of production we mean on the one hand automatic production of large series of components, on the other, *fitting* and *assembling* these components.

Capitalist utilisation of the principle of automation in the coordination of fitting and assembly operations (technologically possible in the future, probably) by means of assembly lines grouped and integrated into each other by automatic conveyors, would make possible the realisation of *continuous* processes of mechanical transformation. At the present, however, entirely automated factories are only involved in the production of intermediary goods in which the material transformations concerned are of a physico-chemical nature.

b) *Continuous*: The application of the principle of automation to continuous processes has only been developed in the production of intermediate goods (steel,[17] petro-chemicals, cement, power stations), where a physico-chemical process of transformation, rather than a mechanical one, is predominant. The tendency is for the production unit to be simply an integrated and automated system in which the workers' functions are essentially limited to those of maintenance and overall control.

The automated factory (press-button factory) is geared in its productive activities to mass production. Here the de-qualification of workers is extreme, even to the point of the complete disappearance of points in the process at which the worker has to intervene.

2. *The complex forms of the organisation of labour processes in contemporary capitalism*

On the one hand there is a labour process directed towards mass production, *i.e.* towards the production of intensive surplus (relative surplus value) via the lowering of the exchange-value of labour-power. Alongside this there is a labour process directed towards the reproduction of the hegemony of the dominant strata, an hegemony which is based on control of commodity relations (control of innovation and design (*conception*), of the realisation of commodities, of the organisation of production, of the management of labour power etc ...).

2.1 *Labour process and mass production*

We must always keep in mind that the 'technical' methods involved in the different labour processes — or methods of manufacture — have been progressively and historically formed by the conditions in which capital has been realised (by the *mise-en-valeur* of capital), and also by the processes

whereby capital has been accumulated. These have been, and remain, the motive forces in the evolution of the labour process at this level, and can alone explain the changes that have taken place in that process in the different branches and departments of social production. It follows from this that one cannot say anything about the evolution of labour process(es) without putting forward a number of hypotheses (albeit implicit) about the changes which have taken place in the processes of valorisation and accumulation of capital. Therefore, we must summarise briefly the *general* tendencies concerning the valorisation and accumulation of capital (which it is possible to identify on the basis of a century of capitalist practice) — tendencies which thereby have also affected the evolution of the labour process. Then one can go on to formulate certain hypotheses about the factors which might act upon these *general* tendencies in such a way as to modify them.

a) For the last one hundred years the main elements characterising the conditions of the valorisation of capital have been related to the conditions of the production-reproduction of a dual labour market with:

on the one hand, a relatively skilled workforce, capable of bargaining rather high wage levels, but representing an ever-decreasing fraction of aggregate labour power;

on the other hand, an unskilled workforce (drawn at the beginning from pre-capitalist modes of production) available for low, or even very low, wages.

This dual labour market, found at first within advanced capitalist social formations (related to the conditions of valorisation and accumulation) tends increasingly to be formed only at an international level.

For example, in the US at the end of the 19th Century, the skilled workers, those with trade or craft training, together with those immigrants who had experience in trades-union and political activities, engaged in a political struggle which was widespread enough to form an obstacle to the valorisation and accumulation of capital. At the same time there was arriving from Europe a mass of peasant immigrants who could not be incorporated just as they were into the process of production. Labour processes therefore had to be modified. On the one hand they had to be adapted so as to make possible the deskilling of the 'craft' workers, and on the other hand they had to be adapted so as to allow the employment of workers who were unskilled, or who could be very easily rendered unskilled. Taylorism and Fordism provided a solution; they came up with a particular kind of labour process suitable for the employment of definite kinds of labour power.

The reconstitution of this dual labour market, necessarily going together with two labour processes in constant interaction, is a necessity for the capitalist system, a necessity which is expressed, as regards the working class, in a double movement of capital:

- tendency to equalisation
- tendency to differentiation.

The conditions for the reproduction of this dual labour market,

historically connected with *internal* precapitalist forms of production in advanced countries, rapidly became established at the international level, and this has an effect on the process of internationalisation and the international division of labour; ie. it has an effect on the differences that become established throughout the world in respect of the conditions of production and reproduction of the working class.

b) The dual labour market, together with new forms of valorisation of capital, with the employment in production of new scientific knowledge (nuclear energy, cybernetics, automation, etc.) with the large-scale use of new materials (80% produced at the 'periphery', 80% consumed at the 'centre'), all of these things taken together gave rise to a mode of valorisation of capital based on *mass production* (or, to put it another way, on the 'large-scale production of surplus value' where this is extracted via products *manufactured in very large numbers*). This mass production depends on the domination of capital. Capital no longer comes up against any technical limits to the scope and degree of its domination; the only limits are social ones.

c) In the context of this dual labour market, the two main kinds of labour process take the following forms:

as discontinuous processes; Taylorist and Fordist organisation of labour (assembly line work); repetitive and fragmented work involving a large number of unskilled workers provided either by immigration from abroad, or by internal transfers of labour (peasants, women workers, marginalised strata of the population); the automobile industry, electronics, electrical household goods, traditional textiles, etc;

as continuous processes: *automatic* mass production, involving very large investment of constant (and fixed) capital, and few, even very few, workers, some of whom are relatively skilled (petrochemicals, chemicals, synthetic textiles), in the spheres of regulation and control, the others of whom are completely unskilled.

d) It is possible to make certain observations concerning the *location of these different labour processes*.

As far as Taylorist and Fordist assembly line organised processes are concerned, there have been historically two successive tendencies:

in an earlier period, as long as *rural expropriation* continued in the central imperialist countries, the reproduction of the dual labour market was assured (although it was supplemented as the need arose by the importation of workers from the periphery); in this period the imperialist countries retained manufacture and transformation of products within their own borders, only allowing underdeveloped countries the job of *extraction* of natural products (raw materials, energy, certain agricultural products). This international division of labour has reached its culmination in the 1970s;

in a second period, the political and social preconditions for the reproduction of the labour market, in relation with the productive system, were no longer assured in the imperialist centres; the periphery begins to change in character as a result of a certain delocalisation of the labour

process and of the process of production. Certain kinds of manufacture are shifted, are located in underdeveloped social formations, with the imperialist centres reserving for themselves those processes which require some know-how, some technological knowledge, and a *skilled labour force*.

We can see, therefore, a growth in the imperialist centres, of the 'brain-power' industries (production engineering, R&D), while the peripheral countries rapidly take on a new specific character with the appearance of mass production industries (cars, domestic electrical appliances, transistor radios, cameras, textiles).

As for *automatic* mass production, this remains by and large located in the central imperialist countries, or in certain intermediate countries, although this general tendency is complicated by certain factors: by the necessity for finance (nowadays petro-dollars are involved), problems of pollution (petrochemicals, steel), the unavailability of sufficient skilled manpower (which threatens to prevent the process of redeployment on the scale envisaged in certain countries, eg France).

e) We must emphasise that Fordism, which still characterises the labour process today, is not the same as Taylorism; it is a real innovation. As B. Coriat remarks[19], Ford took over the essential aspects of Taylorism (separation of design and innovation from execution, division and sub-division of jobs, each movement allowed a specific time), but he also went further in introducing two further principles:

a new method of control of labour-power;

the introduction of the flow-line principle (conveyors) in the concrete shape of the assembly line.

As for the assembly line, the innovations of Fordism can be summed up as follows:

'The flow of parts is as much as possible achieved by machines (conveyors, transporters, moving assembly frames) and is always separated from the work of assembly itself. The assembly workers thus have no need to move about the workshop and are tied to their work positions;

a consequence of this is the fact that the speed of movement of the unfinished product (and therefore the work rate) is controlled mechanically, and not by the workers themselves, on whom it is imposed.

The principles of Fordism give rise to two contradictory propositions:

— on the one hand there is established a mechanical system based on the consistent movement and circulation of parts, tools and materials;

— on the other hand, this whole circulation is designed so as to "fix" the worker to his work position so that he never has to move a step away from it'. [20]

As for the methods of control of labour, Ford introduced the Day Wage (in place of piece-rates), thus making it possible to 'regulate' the externally-imposed control of labour power. The famous 'Five Dollar Day' (FDD) was a necessary addition to the new labour process. Without going into any detail, we can say that the FDD had the function, as a method of

control of labour power, of:

‘Assuring for capital an uninterrupted supply of labour-power; preventing the occurrence of large-scale workers’ rebellions, which had occurred regularly in 19th Century Europe, by “disinfecting” the working population, and by training inspectors to control them; thereby assuring in the best conditions the rapid advance of mass production, and of the accumulation of capital’.[21]

f) The processes of internationalisation of capital and of production, the basis for the development of the multinational firms, gave rise on an ever-increasing scale to world-wide mass automatic production. Labour processes came to be definable only on an international scale, and hence there arises a new worker, viz the *mass-worker*[22], bound to the vicissitudes of the multi-nationals, ie. to the movements of the internationalisation of capital.

2.2 *The labour process and the control of commodity relations*

The reproduction of capitalist relations of production takes the form of the production of ‘commodities’; the concept of the commodity is central to the capitalist system. The control of reproduction, from the point of view of the hegemonic strata, takes place via the *control of the commodity*, not only in relation to the conditions of *production* of commodities (organisation of the labour process in mass production), but also in relation to the reproduction of *commodity relations* (ie. the reproduction of the domination of the hegemonic strata).

Because of this necessity, the *social* process of commodity production is divided into three distinct stages (a division which is the source of growing contradiction):

- the process of ‘conception’ of commodities, limited to design engineering firms, research departments, development firms ;[23]

- the process of ‘production’ of commodities, entailing a particular organisation of the labour process for mass production;

- the process of ‘realisation’ of commodities, via the act of circulation, entailing not only the productive activity of transportation, but specialised transport firms and departments[24], commercial firms, firms specialising in marketing, etc.

It is interesting to note that the field of production design engineering is recognised in the professional literature as being an outcome of Taylorism and Fordism (ie. as the product of the capitalist development of the labour process, with ever-increasing sub-division of work).

‘Under the influence of Taylorism there began to appear, between the two world wars, the practice of selling technological know-how and the negotiation of contracts for the sale of “turn-key” factories. Production designers began by teaching factory managers how to cut down on the time taken by the various movements of the workers, and then how to lay out the machines in the workshop. From there they went on, in the search for greater efficiency, to pen and paper studies on the construction

of whole factories starting from scratch. After the Second World War countries which needed to reconstruct, and those in the process of development, began to order whole industries'.[25]

The commodity control of the reproduction of the relations of production is decisively located at the stages of *conception* and *realisation*, which has led to a development of the capitalist system towards a so-called 'tertiarisation' of the economy. But the significance of this famous 'tertiarisation' can only be grasped in relation to the demands of the class struggle from the standpoint of the hegemonic strata. In fact, confronted with an increase in the intensity of the class struggle of the proletariat *in production*, with no economic or political solution to this struggle available to the ruling capitalist strata, traditional class alliances were endangered. It was essential that the hegemony of capitalist domination could be exercised not only through *commodity* control (conception and realisation) but that also new *social strata* be brought into *class alliances*, by broadening those strata in society that could be brought to function ideologically within the ruling 'historical bloc' (cf. Gramsci *Prison Notebooks* for this concept — *Trans.*)

Tertiarisation gives rise to those famous white collar workers who have been so much misunderstood by the unfortunate S. Mallet and so many other sociologists; ie. designers, administrative staff, technologists, research staff, etc. who take part in the commodity reproduction of the capitalist system, ie. in the reproduction of the hegemonic strata of the bourgeoisie, who use them in order to *disguise* the contradictions that develop at the level of *production* and of the organisation of the labour process of mass production.

The capitalist system conducts a massive ideological offensive in order to mould these workers into the logic of *commodity reproduction*, with, for example, business schools, management institutes, the mystique of computers and so on. Nevertheless, capitalism is forced to organise the labour process of commodity production in the only way suited to it, with a hierarchical system and with fragmentation of the work of conception and realisation. The same organisation of the labour process of the mass *production* of commodities gradually takes over the labour processes of conception and realisation of commodities, even though a growing burden of ideology, together with the specific aspects of the production of the particular kinds of labour power involved in these processes, have an influence in determining class relations within the so-called tertiary spheres. The recent French bank strike against the organisation of work testifies to the *crisis* in the reproduction of capitalist relations of production, from the *central* point of view of commodity reproduction.

M. Bel and J. Perrin have noted the growing complexity of the division of labour in design and production engineering:

'We can see, therefore, that design and production engineering, inasmuch as it is an autonomous function of conception and of the realisation of investments, reflects one of the process of the division of labour which is at work in the present time. But we must emphasise that this process of

the division of labour is becoming more complex, and that it is developing in a non-linear fashion.'[26]

This is reflected in the deskilling of a large proportion of workers and the hyper-skilling of a small number.

Nevertheless, it is necessary to take note of the much advertised moves of the bourgeoisie (simultaneously political and economic) whereby they have relaxed control to some extent over the production of commodities, while *maintaining* their hegemonic strata. There is a risk that demands for *workers' control* (or self-management — *autogestion*) might prove illusory if they are limited to demands for control of production and do not confront head-on the control of commodity reproduction.

The problem of the distinct stages (conception, production, realisation) of commodity production raises the question of the analysis of productive and unproductive labour.[27]

Because they fail to grasp the existence of these two distinct labour processes, the one centred on the production of a surplus-product via mass production, the other centred on the capitalist control of the reproduction of commodity relations, certain writers (Stephen Marglin, A. Gorz, Dominique Pignon, Jean Querczola, etc.) have attempted to argue that the fragmentation and sub-division of work have nothing to do with the extraction of a surplus, but are *fully* explained by reference to class domination, to the reproduction of hegemonic strata:

'The fragmentation and specialisation of work, the separation of intellectual and manual labour, the monopolisation of science by elites, the gigantism of plant and the centralisation of power which is its result — none of this is necessary for efficient production. These things are necessary rather for the perpetuation of the domination of capital.'[28]

Perpetuation of the domination of capital of course (by means of the control of commodity relations), but this takes place via the production of a surplus-product, ie. by the development of the conditions of production, and the inevitable *revolutionising* of the labour process in the context of mass production.

A further revolutionising of the labour process appears at first sight to be involved in various 'job-enrichment' schemes, both in industrial production (recomposition of industrial work) and in the service sector (by 'job motivation').

2.3 The problem of job-enrichment: neo-Fordism

The critique of Taylorism and Fordism, a critique which often follows in the wake of practical struggles in which the present organisation of work is called into question, has developed a great deal since the pioneering works of G. Friedman[29]. The critique by and large takes the following form:

'The scientific organisation of labour leads to the introduction of flow-line work, of which assembly-line work is the most restricting form: such work involves no intelligence, responsibility, or creativity; is a source of dissatisfaction and of degradation of the personality. The price paid is

a high rate of absenteeism and of turnover, a large amount of wastage and of rejects, and an increase in stoppages and sabotage. The contradictions of fragmented work are the more acute as the workers' level of education increases.' [30]

This way for formulating the problem, however, misses both the theme of exploitation and that of the reproduction of the hegemonic strata. It calls Taylorism and Fordism into question only from a humanist standpoint (work involving no intelligence, responsibility, or creativity, source of dissatisfaction and of degradation of the personality'), and it notes their effects only on the *profitability* of capital (high rates of absenteeism and turnover/wastage/rejects/sabotage).

Hence the question: is not job-enrichment[31] an adaptation of Taylorism and Fordism to new conditions of struggle in production, with the aim of *preserving* the profitability of capital, rather than a *radical revolution* of the labour process?

By job-enrichment is meant a change in the labour process which calls Taylorism and Fordism into question in relation to the fragmentation of work. This involves both the regrouping of several work operations of the same basic kind as before, but now with greater variety at each work station (instead of the very small number of operations at each work station on a typical assembly line) so as to increase the duration of the work-unit (from one half to more than fifteen minutes); and also allowing the workers themselves to monitor their own work (they take over a limited number of the operations of regulation, quality-control and maintenance). Job enrichment would lead to the abolition of the assembly line.

Experiments along these lines have been conducted in the USA in some large multinational firms such as Texas Instruments, Polaroid, Corning Glass, IBM, Chrysler, Ford and General Motors[32]. In Europe they have been tried at, for example, Volvo, ICI, Philips, Olivetti and FIAT.

Semi-autonomous groups are only an extension of the idea of job-enrichment, in which small work-teams are free to organise and plan their own work — free, it need hardly be said, only within the limits established by the general production quotas.

In a rather subtle analysis, Maurice de Montmollin has unmasked the basis of job-enrichment: it is a neo-Taylorism rather than an anti-Taylorism, with the ideological function of enabling Taylorism and Fordism to survive in new conditions of control of labour-power (in particular, new conditions of control of a dual labour market).

'This movement must be given a new name. With the important exception of semi-autonomous groups, Anti-Taylorism is in fact Neo-Taylorism.

'Why is it only now that this movement has appeared? In fact it is not a new movement. Because neo-Taylorism is in effect the response of Taylorism to new conditions of the labour market, but it is not, in reality, such a reality. It is an interesting adaptation, but it does not do away with the older methods of organisation. Its sudden appearance is thus not as sudden as all that. It has not the profound antecedents of a revolution, preceded for a long time by submerged tensions, but it

appears on the scene as the calm and opportune development of a reform'.[33]

In fact, job recomposition never really calls the division of labour into question (intellectual and manual labour, hierarchy) because it *builds into the functioning* of the small work groups the fact that they are a subordinate part of the collective workers.

As for semi-autonomous groups, a study by P. Bernoux and J. Ruffier could only come to the conclusion that:

'It appears that we must make a distinction between those groups of workers who are aware that they sell their labour-power on condition that they show passive obedience to the firm and those who experience this simply as an exchange (the product of their labour for a price) ... While for the former, semi-autonomous groups may result in yet additional alienation (inasmuch as they require even further commitment to work which remains, when all is said and done, repetitive and monotonous), for the latter semi-autonomous groups can give more meaning to work in that they make it possible to recover some sense of conscious activity of production. However, it seems that whatever may be the case as regards feelings of alienation for either of these kinds of groups, the notion of exploitation, both as an objective reality and as the way the producers represent things to themselves, remains quite unchanged'.[34]

For example, in the car industry job recomposition is no more than an adaptation of Fordism based on new methods of organising the flow of components and unfinished products, as has been emphasised by Yves Debrost in relation to the example of Renault:

'In the 1970s the overhead track has been divided into sections; sub-lines have been built along the length of the train line so that engines and gear boxes can be disconnected from the line and held at the work stations. Thus the engines and gearboxes are carried along the line, disengaged at the sub-assembly points, where the various assembly operations are performed, and then replaced by the worker on the main line which carries them to another work point. On these sub-loops, therefore, there are several engines or gear-boxes awaiting attention, the workers himself controlling the rhythm of the various operations that he has to perform. Thus one finds a variety of line arrangements in the different department of Renault and FIAT, with a variety of techniques for transporting the work to the work points, of supplying buffer stocks, and of organising the different aspects of the work (workers divided into sub-groups have a choice as to whether each member performs all the different assembly operations on an engine or whether each of them perform specified tasks).

'Innovations such as these have been made at the Termoli engine factory; the Cléon gear box factory; the Douvrins engine factory ... At Le Mans, in a workshop for assembling suspension systems, job enlargement experiments started in 1972 resulted in the duration of the unit work cycle being increased to 15 minutes, and the experiment is to be extended to the whole workshop.'[35]

At the Volvo factory in Kalmar, the job recomposition experiment is based on the use of new types of wagon, substituting for the assembly line for the assembly of the Volvo 164:

'[The Wagons] perform three functions at the same time:

- they convey information to the factories from computers;
- they transport bodies and chassis;
- work benches are mounted on them.'

Industrial job recomposition and enrichment seem to be, then, only an adaptation of labour processes in mass production (Taylorism and Fordism) to new conditions of control of labour power, to new conditions of reproduction of the domination of capital in relation to the conditions for the production of the surplus-product, and constitute a new capitalist practice: *Neo-Fordism*.

Neo-Fordism amounts to a purely formal attempt to abolish the collective worker, taking into consideration the social tensions which necessitate the setting-up of an absolute despotism in the coordination of the labour processes based on automation, of several groups of workers, autonomous in appearance, but which are in reality forced to submit to the logic of the collective worker.

Notes

1. The author is grateful for help in preparing this text, from B. Coriat, J. Perrin, R. Tiberghien.
2. Cf Ramor Tortajada, 'La Réduction du Travail Complexe en Travail Simple', unpublished thesis, University of Grenoble, 1974.
3. Cf Yannick Maignien, 'La Division du Travail Manuel et Intellectuel', Maspero, Paris 1975.
4. Michel Freyssenet ('Le Processus de Déqualification-Surqualification de la force de travail', Paris, C. Sill., 1974) also makes this same distinction of the four important historical phases of the 'division of labour': he confuses 'labour process' and 'division of labour' (p.26).
5. Extensive surplus refers to absolute surplus value, and intensive surplus to relative surplus value.
6. I owe the notation involved here to the thesis of Michel Aglietta, 'La Régulation du Mode de Production Capitaliste dans le Longue Période. Exemple des Etats-Unis', Doctoral Thesis, Paris I, Nov 1974, 738pp.
7. Jesus Ibarrola, 'Histoire du Travail et des Mouvements sociaux', duplicated lectures, 1974-5, Grenoble University, vol.I, p120-121.
8. Cf Michel Aglietta, *op cit.*, p.23: 'Acceleration in the work speed of each worker is connected with the simplification of the precise work movements he has to perform and to a better coordination of the work of the collectivity of workers'.
9. Michel Freyssenet, *op cit.*, p.26.
10. This coordination can take two forms:
 - by bringing the work together in one workshop;
 - by 'putting out' (sub-contracting), or quasi-integration, which leaves the work scattered in the different workshops, each of which remains more or less under the control of some individual.
11. Commercial, not industrial, capital.
12. Michel Freyssenet, *op cit.*, pp.35-36.

13. Michel Freyssenet, *op cit.*, p.40. On the same theme see Stephen Marglin: 'Origines et Fonctions de la Parcellisation des Tâches', in ed. A. Gorz, 'Critique de la Division du Travail', Paris, Seuil, 1973, pp.41-81 (English translation The Division of Labour, the Labour Process and Class Struggle in Modern Capitalism', Harvester Press, in press); ('it was not the steam engine which gave us capitalism; it was capitalism which gave us the steam engine,' p.81).
14. The notation in this diagram is based on a very approximate translation from the French classification:—
 - HS Highly skilled worker (Ouvrier Hautement Qualifié)
 - S Skilled worker (Ouvrier Professionnel)
 - US Unskilled worker (Ouvrier Spécialisé)
 The OS category includes all those working directly on an assembly line including semi-skilled workers. The OP category includes those with some degree of technical, engineering or administrative training or qualification.
15. The high degree of training required for these operations of supervision and control has allowed some to argue, somewhat theologically, that: 'the prospects for small series production in the next ten years are astonishing: the shop-floor worker will become much more rare than the machine-tool minder or the trained maintenance engineer', (Ronald Indédale, 'Les Liens avec l'Usine de demain', CECIMO — Comité Européen de Coopération des Industries de la Machine-Outil — 1975, p.4).
16. Cf. *Usine Nouvelle*, June 1975, p. 135. 'For small series production numerical control also gives us a solution to the problem of highly-trained manpower, which more and more difficult to recruit in the engineering industry. One can, in fact, obtain the required degree of precision using operators with a level of training less than would be needed for conventional machine tools.'
17. In fact discontinuous processes are still involved in steel production.
18. Cf. R. J. Barnett and Ronald E. Muller, 'Global Reach, the Power of Multi-national Corporations', New York, Simon and Schuster, 1974.
19. Some of these points are taken from a duplicated paper by B. Coriat, 'Un Développement créateur du Taylorisme: le Fordisme', Jan. 1975, 21p.
20. B. Coriat, *art. cit.*, pp.5-6.
21. B. Coriat, *art. cit.*; p.20.
22. Cf. — S. Bologna, P. Carpi gnano, A. Negri, 'Crisi e Organizzazione Operaia', Milan, Feltrinelli, 1974, 199p.
 - A. Serafini, 'L'Operaio Multinazionale in Europa', Milan, Feltrinelli, 1974, 244p.
 - S. Bologna, C.P. Rawick, M. Gobini, A. Negri, L. Ferrari-Bravo, F. Gambino 'Operai e Stato', Milan, Feltrinelli, 1973, 236p.
 - L. Ferrari-Bravo, 'Imperialismo e Classe Operaia Multinazionale', Milan, Feltrinelli, 1975, 362p.
23. Cf. research conducted by the Industrialisation and Development Department IREP, in particular to the studies directed by Jacques Perrin;
 - 'Place et Fonction de l'Ingénierie dans le Système Industriel Français' Grenoble, 1973, 2 vols.
 - 'Les Entreprises d'Ingénierie. Les Besoins en Formation Supérieure', Grenoble, Feb. 1974.
24. Research in progress by the Industrialisation and Development Department: 'Sur l'Evolution du Systeme de Transport, les Transitaires, auxiliaires ...'
25. 'Transfert des Techniques et Usines Clefs en Mains', *Telonde*, No. 1., 1975, p.42. For a critical analysis cf. P. Judet and J. Perrin, 'Du "Clef en Main" au "Produit en Main"', Grenoble, IREP, May 1975, 12p.
26. Cf. M. Bel and J. Perrin, 'Les Entreprises d'Ingénierie, les Besoins en Formations Supérieures', Grenoble, IREP, Feb. 1974, p.83.
27. Cf. — Michel Freyssenet, 'Les Rapports de Production: Travail Productif et Travail Improductif', Paris, CSU, 1971, 50p.
 - J. Nagels, 'Travail Collectif et Travail Production', Editions de l'Université de Bruxelles, 1974, 324p.

- A. Berthoud, 'Travail Productif et Productivité du Travail chez Marx', Paris, Maspero, 1974.
- Jacques Gouverneur, 'Le travail "Productif" en Regime Capitaliste', Louvain, Université Catholique de Louvain, Institut des Sciences Economiques, Jan. 1975, 68p.
- 28. André Gorz, 'Critique de la Division du Travail', Paris, Seuil, 1973, p.112 (English translation: 'The Division of Labour: the Labour Process and Class Struggle in Modern Capitalism', Harvester Press, in press; this book also contains the essays by Marglin, and Pignon and Querzola mentioned above). Gorz also says (ibid. p.254): 'technical and scientific workers have, at the very centre of their technical role, the role also of reproducing the conditions and forms of the domination of capital over labour'.
- 29. — Georges Friedman, 'Problèmes Humains du Machinisme Industriel', Paris, Gallimard, 1956, 419p.
 - Alain touraine, 'L'Evolution du Travail Ouvrier aux Usines Renault', Paris, CNRS, 1955, 202p.
 - Ph. Bernoux, D. Motte, J. Saglio, 'Trois Ateliers d'OS', Paris, Les Editions Ouvrieres, 1973, 215p.
 - 'Conditions du Travail, le taylorisme en Question', *Sociologie du Travail*, Oct-Dec, No 4, 1974.
 - A. Wisner, A. Laville, E. Richard, 'Les conditions de Travail des Femmes OS de la Construction Électronique', Paris, CNAM, 1973.
- 30. Claude Duran, 'Les Politiques Patronales d'Enrichissement des Tâches', *Sociologie du Travail*, No.4, 1974, p.366.
- 31. On the problem of job-enrichment, see *Sociologie du Travail* No 4, 1974, and also:
 - Rapport Delamotte, 'Recherches en Vue d'une Organisation plus Luminaire du Travail Industriel', La Documentation Francaise, March 1972.
 - John R. Maher, 'New Perspectives in Job Enrichment', New York, van Nostrand Reinhold, 1971.
 A critique of job enrichment is developed by Dominique Pignon and Jean querzola in 'Dictature et Democratie dans la Production', in ed. A. Gorz, *op.cit.*, pp 103-159.
- 32. Cf. D. Pignon and J. Querzola in A. Gorz, *op.cit.*, p.127.
- 33. Maurice de Montmollin, 'Taylorisme et Anti-Taylorisme', in *Sociologie du Travail*, No 4. 1974, p.382.
- 34. Ph. Bernoux and J. Ruffier: 'Les Groupes Semi-autonomes de Production', *Sociologie du Travail*, No 4, 1974, pp.400-401.
- 35. Yves Debost, 'L'Évolution de la Manutention dans l'Industrie Automobile', in Yves Debost and Bernard Real, 'Les Rapports des Industries de la Manutention avec l'Évolution des Processus de Production at des Moyens de Transport dans le Cours de l'Internationalisation du Capital' Grenoble, IREP, March 1975, p.130.
- 36. Le Monde, June 19th 1974.

Class composition and the theory of the party at the origin of the workers councils movement

Sergio Bologna

Highly specialized workers in the machine industry constituted a substantial part of the factory leaders in the German workers-councils movement. Since this professional figure took on a social and political dimension in 1918, it is legitimate to ask whether the structure of pre-war German industry generated this type of work-force, and whether these workers' position in production was directly linked to their political adherence to the workers-councils system.

Pre-war German machine industry had not reached yet a level of concentration and rationalization similar to that of mining, steel, and electric sectors. It consisted mainly of middle-size establishments employing between 1,000 and 5,000 workers distributed in the traditional centers of German industrialism: Rhineland-Westphalia, Wuerttemberg, Saxony, the Berlin region, the Hamburg region, Oldenburg and Bavaria. It was the newest German industrial sector. Its most important products were bikes, motorcycles, machine tools, office machines, sewing machines, tools, and automobiles. Specialization was not very advanced. In fact, almost all major manufacturers of bikes and later motorcycles also produced office machines and sewing machines. Only the German branch of Singer in Hamburg later became just a producer of sewing machines – and this came about because it was a subsidiary of a U.S. corporation which had already achieved a monopoly position. The auto industry had not yet attained its subsequent importance. (In the United States this happened around 1910-12 but, in Germany, it only came about in 1924 with Opel.) Auto production was carried out on a limited scale in small to middle size establishments. The auxiliary industry to the manufacturing of engines experienced a remarkable development and became autonomous by becoming rapidly concentrated and rationalized. It was in this sector, and specifically in the production of ignition devices, that Robert Bosch made his fortune. In 1913, he already employed 4,700 workers in Stuttgart and in other minor establishments. This sector, which allowed pre-war German machine industry to achieve a leading world position, had an exceptionally skilled labor force. It employed many specialized technicians, it had research and development expenditures higher than elsewhere, and developed an extremely dynamic marketing apparatus. Consequently, wages were higher. Bosch was the first German company to introduce the eight-hour work day in 1906 and the free Saturday in 1910 as employer's concessions. It was at this time that Germany witnessed the development of industrial sectors such as light machinery, precision tools, optics, and electro-mechanics. If we follow the history of the firms engaged in these sectors we see

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them making remarkable leaps forward: these are the same firms which built the international reputation for the extremely high quality of German products, and thus succeeded in meeting the financially stronger British and American competition. This was not necessarily due to the entrepreneurial ability of individual German capitalists. Rather, it was a result of the remarkable professional ability of a skilled labor force working with the most advanced technology and special tools, and directly concerned with the modification of work systems. *In this sector* the predominant figure was that of the worker-inventor, or even of the worker collaborating very closely with technicians and planning engineers. The result of this situation in Germany was the success of the tool and machine industry. Thus, whereas German agriculture and the textile industry were going through recession and crisis, Germany was producing the best agricultural and textile machinery in the world.

Let us examine the workers employed in these highly dynamic sectors: their metal work demanded utmost precision, they directly participated in changing the structure of the product and transforming their own techniques. This is what produced the success of sectors such as the German aircraft industry which in 1913 was considered the world's leader. Thus, it seems natural to find in those sectors a whole series of paternalistic initiatives and company policies such as higher wages, shorter working hours, and even profit-sharing (workers' claims Western German employers were to reintroduce between 1950 and 1965). Individual capitalists were forced to pay in order to maintain stable skilled and specialized work forces. They favored the crystallization of professional aristocracies and sought to reduce as much as possible the mobility of their labor force, especially within the same sector. Later, some of these industries were greatly stimulated by the war. Thus, e.g., Zeiss of Jena and the other great optic company, Leitz, grew as a result of government contracts for the production of all aiming instruments, while Bosch did the same in the production of generators and electromagnetic equipment needed by modern military gadgetry. Optical industries were mainly located in Wuerttemberg and in Saxony, while light machine tool and electromechanic industries concentrated gradually around Berlin.

It is no mere coincidence that the workers-councils movement acquired the most marked political and managerial characteristics precisely in those three regions where the machine tool, electromechanic and optical industries, were more concentrated, i.e., where highly specialized workers were predominant within the overall labor force.¹ These highly specialized workers of the machine and tool industry with a high level of professional ability, engaged in precision work, perfectly familiar with tools (both manual and mechanic) and working alongside technicians and engineers in modifying the working process, were *materially* most susceptible to a political-organizational project such as the workers-councils, i.e., workers' self-management of production. The concept of workers' self-management could not have had such a wide appeal in the German

1. We must not forget the Hamburg region, the other focal center of the workers-councils movement, where the same type of worker predominated in the ship-building industry which later became a war industry.

workers-councils movement without the presence of a labor force inextricably linked to the technology of the working process, with high professional values and naturally inclined to stress their function as "producers". The concept of self-management pictured the worker as an autonomous producer, and the factory's labor-power as self-sufficient. It only saw the relation between the workers and individual employers or companies, and it distrusted "politics" in its broad sense, i.e., the relationship between organization and power, party and revolution. This relation between occupational structures and determining political-ideological attitudes is well-known. It has to be emphasized both because Germany provides the most substantial illustration, and as a reminder to those who love confused and inconclusive discussions of "class consciousness", as if the latter were a spiritual or cultural fact. Also, although the self-managerial element was the most significant one, it does not exhaust the phenomenon of the German councils as revolutionary praxis and planning. It only constitutes its most typical feature.

Another feature of the German movement, directly linked to the first, was the nearly total adherence of technicians to it. In this case also the material position of the labor force within the machine industry led to a specific political choice. At that time, technicians and engineers were not yet the functionaries of the scientific organization of exploitation, since Taylorism was adopted in Germany only in the post-war period. Yet, German companies in general had a high-level administrative-bureaucratic form of organization. The German industrial boom preceeding World War I was due primarily to two objective conditions: the employment of the most advanced technology and research (the number of patents accumulated was enormous), and the extreme efficiency of the bureaucratic-administrative apparatus. This was made possible by the existence of basic infrastructures such as the organization of professional education much more advanced and well-articulated than that of other countries, a close connection between university research and industrial applications, a tradition of administrative efficiency typical of Prussian bureaucracy — both before and after Bismarck — which during the pre-World War I period of the industrial boom spread to the company level. On the basis of reports written by engineers for the workers-councils movement and published in its press, we know that the administrative-bureaucratic organization of German companies was very efficient. During the same period there occurred a higher increase in the employment of white collar than blue collar workers.

Traditionally, German bureaucracy had always been a faithful executor of orders from above. This remained true in the executive position of the technically conditioned technico-clerical labor force. In addition to its material position, the machine industry of that time produced a kind of homogeneity of the whole labor force in the company which at the proper moment (and for a short time) transformed itself into a political unity. Within the described type of enterprise it is absurd to look for a managerial class with decision-making powers located between the owners and the working class. Although extremely dynamic, from this viewpoint German machine industry had a "backward" structure with respect to the stage of industrial and technological development represented by Fordism, i.e., by the mass-production industry of consumer

goods. That labor force characterized by high professional values and that advanced enterprise with its technical structure, did not constitute at all the vanguard of capitalist industrial organization. A remarkably authoritative testimony of this comes from Henry Ford himself, who, in his autobiography, scorns that type of machine enterprise claiming that, when he was about to introduce the conveyer-belt and the assembly line, the machine industry represented the sector most static, backward, and unresponsive to the changes taking place in the organization of productive process and in the organic composition of capital. By resisting Ford's innovations, the German machine industry expressed an all-out defense of a particular kind of labor force, and therefore of a particular kind of "labor aristocracy". This resistance was equally put up by individual employers, technicians as well as workers. This middle-size machine enterprise which kept coming up with new products and, after more or less long periods of experimentation and planning, was beginning to embark in serial production (but not mass production), was to be swept away by Fordism precisely in its fundamental labor-component. Ford's innovations did not amount to mere qualitative changes of machinery but, in the long run, they meant the progressive extinction of the type of worker bound to the machine, to the factory and to the craft. The highly skilled worker of the machine industry was to give way to the unskilled, uprooted, highly mobile and interchangeable modern assembly-line worker. Thus, it is important to keep in mind that before the German "labor aristocracy" became the "revolutionary vanguard", before it underwent the acid-test, it had already been objectively doomed to extinction by the capitalist vanguards.

Fordism not only replaced the craftsman, or the "labor aristocracy", with the mass-production worker by profoundly transforming the internal structure of the labor force: it has also considerably altered both the structure and the labor (and capitalist) conception of wages. Whereas for Taylor wages were incentives directly linked to the position of the single worker in the enterprise according to the individualistic and atomistic approach typical of Taylorian philosophy, for Ford wages became the general rate of income to be used in conjunction with the dynamics of the system. It became the general rate of capital to be injected within a framework of planned development. In 1911, Ford's ideas were the bright innovations of a single entrepreneur. It took the threat of a general overthrow of factory power relations, i.e., the threat of the workers-councils to collective capital, for them to become the strategy of collective capital, or the Keynesian "income revolution". This threat was not a result of the fact that the concrete projects of a new industrial order were particularly advanced, or that the workers-council movement was based primarily on the labor aristocracy, i.e., provoked the failure of planned class integration into the system. The threat was due to the fact that it was an international class movement. It was due to the fact that the working class as a whole attempted for the first time in history to reverse the trend in the process of capitalist development in the backward as well as in the advanced sectors, at the plant as well as the social level. It was not its organizational, political-ideological, or sociological character, but its international nature that constituted the revolutionary feature of the workers-councils movement. It was a world-wide 1905 in which only the weakest link

broke.

In order to politically reconstruct the workers-councils movement, we must follow the cycles of international labor struggles as well as the class composition within capitalism. Let us return to the German illustration. The discussion concerning the structure of the technically skilled work force and its geographical distribution is absolutely inadequate and runs the risk of becoming incorrect and misleading unless we first investigate the political class composition in Germany. Capital backwardness does not necessarily mean backwardness in the working class. If in analyzing political struggles we retain the usual distinction between advanced (U.S., England, Germany) and backward capitalist countries (Russia, Italy), we run the risk of generating confusion and schematism. From the viewpoint of subjective organization, the nature of the struggles in Russia are as advanced as elsewhere — if not more. While in the periods 1904-06, 1911-13, and 1917-20, we face a highly unbalanced capital in advanced and backward areas, we witness an extremely homogeneous political class activity in all countries. Thus, we can speak of a series of international *cycles of struggle* beginning in the 1904-06 period. The specific traits of this first cycle are very clear, even if it is difficult to chronologically locate it. It is the mass strike resulting in violent and insurrectional actions. This is best exemplified in the U.S. Starting in 1901, a series of violent mass strikes shakes the whole U.S. industrial structure. With its center, its class pole, located with the Rocky Mountain miners, these struggles spread primarily among steel, textile, and transportation workers, but, above all, construction workers. In 1905, at the peak of the cycle, while the Soviets were coming into being in Russia, in the U.S. the International Workers of the World (IWW) was formed: the most radical proletarian organization ever in the U.S., the only revolutionary class organization before the rise of the Afro-American movement. Today, there is much to be said and learned from the IWW. Although many of its militants were anarchists and anarcho-syndicalists who had migrated from Eastern and Western Europe, the IWW cannot be liquidated as the American parallel of French anarcho-syndicalism.

What was so extraordinarily modern in the IWW? Although it was based on an old class nucleus, the Western Federation of Miners, the merit of the IWW was that it attempted to organize the American proletariat in terms of its intrinsic characteristics. It was primarily an immigrant proletariat and, therefore, a mixture of ethnic groups which could only be organized in a certain way. Secondly, it was a mobile proletariat: thus, it was not only completely against identification with any specific task or skill but it was also against any link with individual factories (even if only to take them over). The IWW succeeded in concretely individuating the concept of social factory, and thus it sought to exploit the extraordinary level of communication and coordination allowed by a mobility-based struggle. The IWW succeeded in creating an absolutely original type of agitator: not the mole digging for decades within the single establishment or proletarian neighborhood, but a type of agitator who swims within the stream of proletarian struggles, moves from one end to the other of the enormous American continent and calculates the seismic wave of the struggle, thus succeeding in overcoming state boundaries and sailing the oceans before

organizing conventions to found sister organizations. The Wobblies' concern with transportation workers and longshoremen, their constant determination to strike at capital as an international market, their perceiving of the mobile proletariat — today employed, tomorrow unemployed — as a virus of social insubordination, as the agent of the "social wildcat": all these things make the IWW a class organization anticipating present forms of struggle, and yet completely independent from the traditions of both the Second and the Third International. The IWW is the direct link from Marx's First International to the post-communist era.

The violence and continuity of the American strikes during the first two decades of the century show how politically correct Marx's intuition was thirty years earlier to move the headquarters of 'his' International to New York. It is difficult to locate the culmination point of these struggles. Yet, the trajectory of this cycle is roughly analogous to the European one and to that of the Russian proletariat. Memorable remains the 1905 struggle of 5,000 teamsters in Chicago resulting in clashes with the police and the cost of 20 deaths and 400 wounded. In 1904, Italy's first general strike also took place.² On January 3, 1905, the Putilov factory workers struck and the Russian revolution of 1905 began.³ During the first months of that year the great strike of the German miners broke out in the Bruchstrasse mine and spread throughout the Ruhr. Prior to this struggle in Germany there had been the strikes of textile and paper workers during 1903 and 1904. These involved workers laboring under the worst conditions and receiving the worst wages. In the paper industry there had been the highest percentage of disability owing to work accidents and the famous German labor unions were nearly absent from among paper and textile workers: these workers obtained their first contract only in 1919, after the overthrow of the monarchy. The strike had broken out spontaneously, in the same way as with the miners' strike of 1905.

In the class composition of pre-war Germany the Ruhr miners represented the most advanced sector. This working class nucleus was perhaps the only one able to set in motion the whole social fabric when it entered into struggle. Typical, in this respect, had been the spontaneous and sudden 1889 strike which immediately turned into a mass strike. Already then the unions had moved in at the last moment. The Kaiser and Bismarck had to intervene directly in order to put an end to the struggle in the face of the unions' contractual and organizational inability, and the stubborn resistance put up by the coal barons. The miners had forced the employers to accept all of their demands, except the most important one, i.e., the eight-hour day including the time to and from the

2. For an excellent account of this, see Giuliano Procacci's article in *Rivista Storica del Socialismo*, n. 17.

3. For a masterful analysis of this struggle, see Rosa Luxemburg, "The Mass Strike, the Political Party, and the Trade Unions", in Mary Alice Waters, ed., *Rosa Luxemburg Speaks* (New York, 1970), pp. 155-218; and Lenin's 1917 Zurich commemorative address, "Lecture on the Russian Revolution of 1905", in *Collected Works* (Moscow, 1964), vol. 23, pp. 236-253, in addition to contemporary writings and those immediately following the events, with the first notes concerning urban guerilla warfare.

tunnels. In fact, the 1905 struggle started precisely with this demand. As a result of constant extraction, the mines had become deeper and the time needed to go down and come up had doubled.

The mining crisis had forced about 9,000 miners to leave the district, mining illness had greatly increased but, most of all, the miners did not tolerate the presence of bosses. After the great blows of 1889 which had been especially costly at the organizational level (only 40% of the miners were union members), the union initially sought to localize the struggle. But the strike spread rapidly: after 10 days 220,000 miners were striking, out of a total of 270,000 in that district. The demands had been rejected by the barons with their usual arrogance. What was not tolerated was the questioning of the principle "here I am the boss" (*Herr-im-Hause Standpunkt*). The German miners' strike set the pace for the great struggles of the workers-councils' period. Two things stand out: the non-violence of the struggle (even the bourgeois press praised the orderly behavior of the workers), and the demands regarding power relations in the work place. The extreme sociality of the struggle in Russia, Italy, and the U.S. corresponded to demands still directed to individual capitalists or groups of capitalists in a given sector. What this meant was that the German miners had to challenge class power first and foremost at the place of production, i.e., even in the most advanced class-pole we encounter the same characteristic of anchoring subversive activity to the place of production. It is interesting to notice that, once again, the real counterpart was the government represented by the secretary of state Count von Posadowsky. A faithful follower of Bismarck and of his 'state socialism', the Count immediately enacted legislative measures which substantially met the miners' demands concerning working hours, and instituted "Labor Committees" in mines employing more than 100 people. This institution preceded by a very short time similar "Internal Committees" in Italy. In the Government's whole behavior it is easy to discern characteristics which reappear later. In Germany the interests of collective capital were protected by the state or, in 1918, by social-democracy. In 1905 the initiative of introducing labor representation in the factory came from capital. It was a far cry from anything like co-management: they were merely organisms meant to deal with local disputes to prevent them from erupting in overt struggles which may have eventually led to a general struggle. Similarly under revolutionary pressures, the social-democratic coalition government in 1920 was to intervene against projects of socialization meant to yield all power in the factories to the workers-councils with the law of the *Betriebsräte*.⁴

The Ruhr strike did not close the period of the mass strikes in Germany: in January 1906 a general political strike paralyzed Hamburg's factories and harbor—a strike which Luxemburg defined as the "general test of the insurrection".⁵ In the years following 1905, however, a whole series of sectors

4. The prerogatives of the *Betriebsräte* can be compared to the *comitati paritetici* introduced in the Italian machine industry after the 1966 contracts.

5. We have dealt at some length with the miners' strike to indicate the most advanced class pole in pre-war Germany. Unfortunately, we have not been able to use statistics dealing with specific industrial sectors in order to reconstruct the whole German class composition in relation to the movements in struggle. Some

underwent expansion and the overwhelming presence of the 200,000 miners from the Ruhr was balanced primarily through the creation of massive industrial centers in the Berlin region, in the Leipzig-Dresden-Chemnitz triangle, in Wuerttemberg, as well as in the proximity of the ports of Hamburg, Kiel, and Bremen. Thus, in the third crucial cycle of struggles of the 1917-20 period, these other class-poles would begin the struggle, first Berlin and the ports, then Saxony, and finally the Ruhr.

Turning again from the political class composition to the structure of the labor force, it must be emphasized that the Ruhr miners and the skilled machine workers shared a very important common element, especially in terms of the problems of the modification of the organic composition of capital and in the innovative process necessary to capitalist development. Mine labor was not easily mechanizable. It was unthinkable that in a brief period a technical solution such as mechanization could drastically transform the occupational structure of mining both in the short and in the long run. In other words, the coal-steel barons realized that they *had* to live with those workers for, given the situation of full employment, they could not replace them with workers of a different type: thus, a Fordist solution in the mine and in the steel industry was not easily applicable. Similarly, the machine industry employers *wanted* to keep their own workers and were inclined towards paternalistic solutions, in order to create islands of privilege, both from normative and a wage viewpoint. Both the authoritarian and arrogant barons of the coal-steel sector, and the enlightened and paternalistic employers of the machine sector, could not plan on a short or long run labor policy different from the one they were following. In other words, the particular level of development of the two sectors posed very rigid

absolute figures on the strikes can at least confirm the statement that the 1904-06 period represents a distinct cycle of struggles: in 1903 there were 1,347 strikes, 86,000 strikers, with 7,000 factories involved; in 1904 there were 1,870 strikes, with 113,000 strikers, and 10,000 factories involved. In 1905 there were 2,400 strikes, with 400,000 strikers, affecting 14,000 factories; in 1906 the number of strikes was 3,000, the number of strikers was 270,000, and the factories involved 16,000; in 1907 there were 2,200 strikes, with 190,000 strikers, and with 13,000 factories involved. The following year all these figures are reduced by two thirds. It is interesting to note how things went in the 1905-06 years: compared to 1905, 1906 does not include the solid mass of 200,000 strikers from the Ruhr; yet, the number of strikes increases by 30% and the number of factories involved by approximately 13%. Similarly, in 1907: while compared to 1905 the number of strikers has decreased by approximately 52%, the number of strikes decreased only 8% and the number of factories involved also decreased by 8-9%. What this means is that the struggle had spread from the great class pole represented by the Ruhr miners into middle-size factories, thus affecting the whole social fabric of German capital. It was the initial thrust generated by the miners which put in motion the mechanism of struggle even in the machine factories of the labor aristocracy and of golden paternalism. The overwhelming presence of 200,000 Ruhr miners in the German political class-composition and the overwhelming presence of the coal-steel sector within Germany's industrial geography can be compared to FIAT's position in Italy.

limitations which severely conditioned the capitalists' freedom to maneuver. These employers could have modified all other aspects of capitalist politics such as improve the financial structure of their enterprises, accelerate concentration, improve the technical structure and the technologies used, find new markets, create new products, cooperate with unions and the government, show more entrepreneurial dynamism, favor or oppose an external social-democratic collaboration with the government, etc. Even if they had done all of this, however, they could not have made any substantial alterations in the structural nature of the labor power. This is very important because it shows how the rigidity of the German industrial system was one of the elements which rendered the overall labor power an independent variable such as to constitute, through its mere objective permanence, serious threat to further capitalist development in Germany.

The above is meant to correct the interpretation which, starting from the reformist character of the self-management project of the councils, seeks to deny the struggles' real revolutionary import, except in terms of a revival of capitalist development. If the argument is theoretically correct, and it is possible to draw conclusions from it concerning workers' struggles, the historical corrections or, better, the historical determination of that argument leads us to conclude that the post-war movement was of a subversive character. A labor organization which merely reiterated the structure of the collective labor force in the factory, dealt with workers only in their position and function as producers, merely sought to keep workers as they were within the factory in its global demands, would have turned out to be a deadly organization for German capital: ultimately it would have blocked its possibility of maneuver by taking away from the system the element of flexibility so crucially needed for rescuing capitalist development through a modification of the organic composition of capital. This type of bottle-neck was precisely what confronted Italian capitalism before fascism in almost the same terms. Thus, the revolutionary import of a movement must be calculated on the basis of the historically determined stage of development in a specific situation. German capital's impossibility to change in a short period of ten or twenty years the structure of the labor-force, the wage structure and the organic composition of capital, confronted it with a lack of choices and alternatives which translated into an inability to find alternative political solutions even before the 1918 revolutionary wave or, better, of solutions obtained through mere economic means of development, or through a reformist outcome of the labor struggle. Why did even a social-democratic organizational outcome such as the workers-councils turn out to be impossible in Germany? Why was German social-democracy unable to find a reformist solution to the political crisis of the system and had to present itself as a mere tool of repression of the struggles and of the workers-councils organizations? Why in 1918 did German social-democracy have to abandon Kautsky and choose Noske? The pair of social-democracy and repression, i.e., the social-Fascist solution, was the adequate answer to such a high level of subversive struggle. To clarify things, let us examine the solutions adopted by the American ruling class after the crisis generated by the 1904-05 struggles. One of the elements which greatly favored the victorious capitalist answer in the U.S. was the radical transformation in the occupational and labor-force structure. From 1905 to

1914 the U.S. received no less than 10 million immigrants. It is easy to imagine what this mass of subproletarians meant in terms of labor reserves and occupational structures. The half-million foreign workers present in Germany (mostly Italian and Polish) is very little compared to this amount. Here, we can see the import of Ford's genius as well as the strategic result of his projects on advanced mechanization and on the organization of wages in relation to consumption. But the Fordist solution merely rendered violent counter-revolution unnecessary in the U.S. as the only way out. Through a massive modification in the organic composition of capital, Fordism was also able to bring about a major change in the occupational structure of the labor-power. The assembly-line worker at Ford was very different from the skilled worker in the German machine industry. His very interchangeability (he could have been an Italian just landed and still unable to say "wage" in English) led him to despise that attachment to the individual factory still typical of the social figure that in Germany gave life to the workers-councils movement under the assumption that self-management was sufficient to create the socialist society. Thus, in Germany the situation was different. The rigidity of the system reduced the margins of maneuver and even Bernsteinian social-democracy represented an objective danger before the war. The latter, rather than the Kaiser's "authoritarianism", was the reason why it was not coopted by the government before the war. These bottle-necks within the system forced German capital to intensify the already inherent tendency toward aggressive expansion in foreign markets in order to overcome the crisis, thus giving rise to those intercapitalist conflicts so well described by Lenin in his pamphlet on imperialism. If the SPD wanted to join the government it had to reject any intermediate solution and totally accept social-imperialism. This occurred in 1914, with the approval of the war credits by the social-democratic group. But even in this, things are not as simple as they are made out by the official historiography of the labor movement with its theme on the social-democratic "betrayal".⁶

6 After this summary analysis of 1905 with reference to the key aspects of the international working class, little remains to be said about the cycle of struggles of the 1911-13 period. The same nuclei initiate the struggle and put into motion the working class in the various countries. Just to recall a few dates: 1911, strike of the coal miners in West Virginia, and the memorable struggle of the textile workers in Lawrence (even then there was a repressive wave against IWW militants); April 4, 1912, massacre of the precious metal miners of Lena, in Russia; in June of that year, Lenin wrote his article on the Russian "revolutionary renewal"; in 1912, the third mass strike of the Ruhr miners in Germany.

This time the struggle took place in a moment of great activity and after the steel and coal barons had signed an agreement committing the individual capitalist to refuse employment for four years to any worker who had been fired for politico-disciplinary reasons by other employers in the same sector. In Germany, from 155,000 strikers in 1910, we have 400,000 in 1912, and 250,000 in 1913. This is the period when workers make the utmost use of labor unions. Trade union membership jumps from 1,800,000 in 1910 to 2,300,000 in 1912. It was the highest figure since the turn of the century. But the workers

The Theoretical Discussion in the International Labor Movement

The decade at the turn of the century was a period of intense and passionate theoretical debate within the international labor movement. Obviously, it is impossible here to deal with every central theme. We will only isolate a few, and particularly those connected with the discussion and political planning of the workers-council movement: the relationship between spontaneity and leadership, between tactics and strategy, and the relationship between labor unions and the party. These are the themes around which the battle raged among the three great currents of the labor movement: the revisionist, the revolutionary, and the anarcho-syndicalist. Having dealt mainly with the struggles in Russia, Germany, and the U.S., we will only touch upon the thought of Bernstein, Rosa Luxemburg, Daniel DeLeon and Lenin. It is to be remembered that almost all the fundamental works on these problems were written *before* the Russian revolution of 1905.

In a series of articles in *Neue Zeit* and in his main work *Evolutionary Socialism*, Bernstein touched upon a very important point. He maintained that the clash between capital and labor had to be seen in terms of relationship between wages and profits. From this correct observation he drew a series of consequences which led the labor movement to lose the class perspective concerning the seizure of power. It is impossible to understand why his works generated so much turmoil unless we recall that his starting point was correct. From it Bernstein drew two consequences: 1) that labor struggles, conceived as economic struggles, dominated political struggles so that unions were above the party and the forms of struggle had to exclude mass demonstration in order to operate within the domain of concrete bargaining disputes; and 2) that the political struggle had to deal exclusively with the growth of the economic power of the labor-force and was to be restricted to creating an institutional framework for this growth. Bernstein's position lost sight of the final goal of socialism and left untouched existing power structures. Yet, it went beyond the fatalism, determinism and mechanism typical of previous Second International positions. Bernstein's position was "economism" as a general theory of the class movement. Precisely because of this, however, it entailed a dynamism and a possibility for immediate application which were immediately seen by the leaders of the large German labor organizations who appropriated them by side-stepping the hesitations of the party's high priests (Kautsky) and their

used the union without making any fetish out of the organization. By way of illustration, in 1911, the number of steel workers that were members of the socialist union was 133,000; an increase of 40,000 from 1910. But the number of members who in 1912 left the union was as high as 67,000, i.e., a negative mobility of 75%. Three fourths of the members were new members. These figures must be quoted in order to demystify the legend of the fetishism of the German workers toward organization: for each member who remained, three left. Moreover, with 133,000 members, the steel-workers' union organized only 25% of the labor force employed in that sector, while in 1905, it organized 7%. If we look at the large number of strikes in those same years, we soon realize that the great majority of these struggles were spontaneous.

reservations with departures from the orthodoxy. Because of the weight that German organizations carried within the Second International, this immediate acceptance by trade unionists gave Bernstein's doctrines an immediate popularity and diffusion, even if in some countries the unions were strongly influenced by anarcho-syndicalist theories which, at any rate, shared with Bernsteinism the rejection of "party" organization, or its overcoming. The official separation of the German unions from social-democracy occurred in 1903. Actually, it was nothing but a matter of the unions declaring themselves autonomous from the party. Clearly, for the revolutionaries, the political element or the importance of the "politicizing" factor in labor struggles became fundamental in challenging Bernstein. It was necessary to reintroduce a strategic vision and at the same time formulate a type of organization or a center of decision which could firmly hold together tactics and strategy. This, however, had to emphasize spontaneity as a challenge to the trade unions' institutional possibilities of controlling the struggling process in individual actions (daily tactics) and in its overall line. But to mention spontaneity was tantamount to appeal to a term which had been the battle-cry of anarcho-syndicalism. It was necessary to free the term "spontaneity" of its anarchic content, and the term "politics" of its bureaucratic and unmilitant connotation. By then, not only union leaders but also social-democratic party leaders were beginning to accept Bernstein's perspective. Above all, it was necessary to talk about the workers not as labor power, but as an autonomous political class. It was difficult to win this theoretical-political debate in terms of majorities in party organizations or in terms of better polemical argumentations. What was needed was a crucial political event (*Fatto di classe*) to throw on the scale, and for all revolutionaries 1905 was precisely that: the perspective of victory over revisionism.

The first revolutionary answers to Bernstein come before 1905. They begin with Luxemburg and her 1898 pamphlet "Reform or Revolution?" which defines once and for all the unions' specific field of activity and its institutional domain. According to Rosa Luxemburg, such activity "is limited essentially to efforts [aiming] at regulating capitalist exploitation" according to market conditions and "can in no way influence the process of production itself".⁷ Yet, she emphasizes how the unions' economic activity could lead to a choking of capitalist development, thus laying the premises for a crisis of the system. It is at this point that political and socialist class-struggle must be undertaken anew with fresh vigor. Concerning the relationship between wages and profits, this is what Luxemburg says: "The fact is that trade unions are least able to create an economic offensive against profit. Trade unions are nothing more than the organized *defense* of labor power against the attacks of profit. They express resistance offered by the working class to the oppression of capitalist economy."⁸ The struggle between wages and profits "does not take place in the blue of the sky. It takes place within the well-defined framework of the law of wages. The law of wages is not shattered but applied by trade-union activity."⁹

7. Mary Alice Waters, ed., *Rosa Luxemburg Speaks*, *op.cit.*, p. 50.

8. *Ibid.*, p. 71.

9. *Ibid.*, p. 71. The other important point touched upon by Luxemburg

As important as Luxemburg's argument was in demystifying and unmasking Bernstein's theories, like all purely demystificatory arguments, it left out too much: it was essentially negative and not reconstructive. Rosa understood that Bernsteinism had precipitated into a crisis both the revolutionary line as well as the theory of the party. One of Bernstein's most successful slogans was that "the party is nothing, the movement is everything". In the context in which it had been developed, this slogan meant the abandonment of a rigidly structured party to a party of opinions. Yet, this slogan had the merit of forcing the organization to face the problem of re-examining its relation to mass movements by abandoning fetishist deviations caused by internal party life. Bernstein introduced a dynamic element in party life and in the bureaucratic planning of a self-sufficient organizational growth. Another one of his favored slogans was "long live economics, down with politics", very reminiscent of the French anarcho-syndicalist slogan "*méfiez-vous des politiciens!*" Rosa Luxemburg felt that her criticism of the SPD line and of unions could lend support to theories aiming at eliminating the party, or any party, old or new. Although well masked, this would have added a revisionist version of the anarcho-syndicalist notion of spontaneism. On the other hand, she was unwilling to renounce either her critique of bureaucracy or her positive evaluation of spontaneity. But, wasn't it the case that her anti-bureaucratic polemics seemed to support those who criticized party organization and politics as such? Wasn't it the case that her positive evaluation of spontaneity seemed to support anarchic spontaneism?

Consideration of this type led Luxemburg to propose an intermediate solution, which led her to what Lenin defined as the theory of the "organization-as-a-process" and of "tactics-as-a-process". In fact, in her 1904 article "Organizational Problems of Russian Social-democracy", she reiterated the idea that the masses go beyond the party¹⁰ while at the same time emphasizing how not everything of the old organization was to be thrown out.¹¹ In elaborating her politico-organizational line Luxemburg had to take into account the conditions within which a revolutionary current would have

concerns the relationship between political struggle and the struggle for democracy: "the socialist labor movement is the *only* support for that which is not the goal of the socialist movement — democracy . . . The socialist movement is not bound to bourgeois democracy, but on the contrary, the fate of democracy is bound with the socialist movement." *Ibid.*, p. 76.

10. *Ibid.*, p. 121: "the insignificant role played by the initiative of central party organs in the elaboration of actual tactical policy can be observed today in Germany and other countries. In general, the tactical policy of the social democracy is not something that may be 'invented'. It is the product of a series of great creative acts of the often spontaneous class struggle seeking its way forward. The unconscious comes before the conscious. The logic of the historical process comes before the subjective logic of the human being who participate in the historic process. The tendency is for the directing organs of the socialist party to play a conservative role."

11. *Ibid.*, p. 128: "social democracy already contains a strong, politically educated proletarian nucleus class conscious enough to be able, as up to now in Germany, to pull along in its path the declassed and petty bourgeois elements that join the party."

had to move in Germany, i.e., a “boring-from-within” approach inside the SPD. Thus, her sociological efforts aim at locating that stratum of grass-roots cadres in the party which, owing to their origin and their preparation, could better learn the lesson of spontaneity and understand trends and directions of the struggles taking place outside or independently of the organization. Only a new revolutionary explosion would have cleared the situation within the party. In fact, it is not accidental that some of the reservations in her 1904 position are dropped in 1906, the year in which she wrote “The Mass Strike, the Political Party and the Trade Unions” giving her analysis of the 1905 Russian-Polish mass strikes. There, she poses the most important problem concerning their direction and organization. Her proposals, however, are still too general.¹² They are essentially norms for the maintenance of a correct relation with spontaneity. They include no precise indications on how to organize and direct spontaneity. Once again, Rosa finds herself caught between the sociology of organization and the theory of the party.¹³ The direction still remains with the factory-based party cadres. In fact, in her analysis of the Russian strikes, she quotes with emphasis the report of the Petersburg unions as a model of organization-direction. These limitations in Luxemburg’s thought must not obscure the fact that almost all the workers and youth cadres which gave life to the workers-councils movement had found their fundamental practical-theoretical orientation in her works. For the workers and intellectuals of the new generation who had just joined the party, the 1905 Russian experience was crucial. The SPD’s “left” exerted a strong influence on them, both through the leadership role played by Karl Liebknecht in the youth organization – which later became such a center of dissention that it had to be dissolved – and through Rosa’s prominent position in the central school for cadres.

Another important point in Luxemburg’s 1906 essays is the final analysis she gave of German class composition which, not accidentally, started with the miners, i.e., with what she calls *the misery of the miners*. In emphasizing the sociality of the struggle in the mass strikes, she points out the importance of the political unification between working class, poor proletariat, and sub-proletariat. Since for Lenin spontaneity was the lowest and not, as in Luxemburg’s case, the highest level of struggle from which to begin a discussion concerning political organization, the author of *What is to be Done?* found himself already beyond a whole series of problems in which Rosa had remained entangled. Without undertaking here a detailed analysis of Lenin’s pamphlet, we will merely outline some essential points necessary to understand the profound diversity between Bolshevism and the workers-councils movement.

12. Thus, she writes: “the social democrats are called upon to assume *political* leadership in the midst of the revolutionary period.” In *Rosa Luxemburg Speaks, op.cit.*, p. 189. And: “the tactics of the social democrats are decided according to their resoluteness and acuteness and they never fall below the level demanded by the actual relations of forces, but rather rise above it – that is the most important task of the directing body in a period of mass strikes.”

13. Thus she writes: “the resolution and determination of the workers also play a part and indeed the initiative and the wider direction naturally fall to the share of the organized and most enlightened kernel of the proletariat.” *Ibid.*, p. 188.

A) Since every organizational discussion is subordinated to the political line, Lenin begins by requesting a re-evaluation of theory in order to sidestep the pitfalls of "empiricist activism". Thus, he underlines as precisely as possible the line of demarcation between Bernsteinism or economism and the revolutionary hypothesis. Finally, he tackles the problem of the relationship between leadership and spontaneity and accuses economism of submitting to spontaneous struggles.

B) Following Kautsky's formulation, he sees bourgeois intellectuals as having the task of bringing social-democratic consciousness from the outside since it does not arise spontaneously among the working masses, whose natural tendency is toward trade-unionism.¹⁴

Starting with Engels' definition of the economic and trade-union struggles as "resistance against capitalism", Lenin outlines the institutional boundaries between the union and the party. The union is to struggle against the individual capitalist in a given sector, while "Social-Democracy represents the working class not in its relation to a given group of employers, but in its relation to all classes in modern society, to the state as an organized political force."¹⁵ Thus, the tasks of political agitation and denunciation must not only be extended to workers' economic struggle, but to all possible domains.

D) Terrorism is also a mistake since it does not contribute in any way to the political organization and direction of spontaneity but, rather, it explicitly renounces them.

E) Lenin seems to deal most extensively with the technical aspects of clandestine organization and with the "primitivism" of Russian Social-Democracy. He stresses primarily what he considers the specifically political aspect, in contraposition to agitation and intervention in labor struggles which are only parts of it – even if the most "essential" ones, and suggests a kind of articulated and multi-faceted party activity similar to that of German social-democracy.

F) The relevance of *What Is To Be Done?* resides in the extreme frankness with which Lenin tackled problems such as the function of intellectuals and workers.¹⁶ Although Lenin does not explicitly state it in this

14. Thus, he writes: "we have become convinced that the fundamental error committed by the 'new tendency' in Russian Social-Democracy lies in its subservience to spontaneity . . . The spontaneous rise of the masses in Russia proceeded . . . with such rapidity that the young untrained Social-Democrats proved unfitted for the gigantic tasks that confronted them . . . Revolutionaries, however, lagged behind this rise of the masses in both their 'theories' and their practical activity; they failed to establish an uninterrupted organization having continuity with the past, and capable of leading the whole movement." Cf. Lenin, *What is to be Done?* (New York, 1943), p.52.

15. V.I. Lenin, *op.cit.*, p. 56.

16. Cf. V.I. Lenin, *op.cit.*, pp. 122 and 124: "Not only revolutionists, in general, but even working-class revolutionists lag behind the spontaneous awakening of the working masses . . . Our very first and most imperative duty is to help to train working-class revolutionists who will be on the same level *in regard to party activity* as intellectual revolutionists . . . A workingman who is

work, what is most striking is the great theoretical gap and historical backwardness of the middle-European revolutionary currents in relation to the Russian experience. In the brief outline of the history of the Bolshevik party which Lenin wrote in 1920 in *Left-Wing Communism: An Infantile Disorder*, he indicates how already in 1902 both he and his friends watched with a certain detachment the first formulations of a new European left still entangled in questions which the Russian experience had already overcome. The tactical support given to Luxemburg cannot conceal the serious differences concerning primarily the conception of the party and the relationship between leadership and spontaneity. Up to 1918, Lenin restricted himself to reckoning with Bernsteinian opportunism. Later on, after the consolidation of Soviet power, he was able to deal with Pannekoek, Daeumig and, indirectly, with Rosa's theory of organization-as-a-process, which he once again regarded as a submission to spontaneity; as the identification of the party with spontaneous movements, and as the confusion between politicized workers, struggling workers, and professional revolutionary cadres.

G) One thing was particularly clear, i.e., that it was not sufficient for, e.g., a worker to have a correct view of the factory struggle or of the struggle that he materially organized, in order to make a professional revolutionary. It was not sufficient to reverse the social function the system assigns to the individual in production by becoming an acting minority and produce a Bolshevik cadre. On the other hand, the Luxemburgian organization represented a coordinated network of acting minorities eventually able to overthrow the reformist leadership in class organizations.

But is this all the difference between Lenin and Rosa? So far, we have reduced it to the most skeletal formal terms and we have not been able to grasp another key element of Lenin's position: i.e., that the distinction between a network of acting minorities and a network of professional revolutionaries is simply a question regarding *the historical stages of the class struggle* and therefore the different levels of development of spontaneity. It is not a question of denying the function of the acting minorities in order to favor that of the professional cadres. Rather, both must be seen as expressions of the movement's level of growth: the former as being more backward than the latter. If so, are there laws determining the movement's growth? Is it possible to formulate a scientific theory of the party? Lenin's answer to these questions was that the scientific nature of this theory is wholly a function of the degree of correctness in analyzing power relations between classes in a given historical moment. The point is not to prefer one organizational crystallization to another but of evaluating the exact level attained by the struggle and the stage of development of the party. The very distinction between mass strike, political strike, and

at all talented and 'promising' *must not be left* to work eleven hours a day in a factory. We must arrange that he be maintained by the party . . . The *sin* we commit is that we do not sufficiently stimulate the workers to take this path 'common' to them and to the 'intellectuals' of professional revolutionary training, and that we too frequently drag them back by our silly speeches about what 'can be understood' by the masses of the workers, by the 'average worker', etc."

insurrectional strike is a practical example of three different levels of spontaneity, of organization of the struggle, and of power relations among classes. And if there are any laws, they are to be found in the historical experience of the proletariat: in unsuccessful revolutions. Like the construction of dikes which is always based on the highest levels reached by the tide, the science of the party must theoretically grasp all the levels of struggle and organization attained so far, in order to both regain and overcome them at the same time. Every new and more advanced level of struggle is matched by a re-organization of the capitalist system as a dialectical response to the class confrontation. Thus, the science of the party is always to be measured by means of the historical levels reached by capitalist organization. The revolutionary hypothesis seeks to theoretically anticipate those stages of the struggle which must be practically brought about. Yet, even the best hypotheses are surpassed by unforeseen levels of struggle. Such was the situation in which Lenin found himself in 1905 with the rise of the Soviets during *the soviet stage of party development* where the working class presented itself as "power". Much has been said about the polemics between Lenin and Luxemburg concerning the problem of centralization and the minority's right to dissent: in the historiography of the labor movement Luxemburg is accused of regressive democratism, or she is exalted by anti-Stalinist groups for having anticipated the struggle against repressive and opportunistic bureaucracies. This polemic has been primarily used in a counterrevolutionary way by left-wing socialists. Perhaps, all this historiography should be thrown out in order to better grasp the meaning of Luxemburg's positions. Although strongly bound to the Russian-Polish experience, she found herself confronted with the problem of creating a revolutionary faction within a mass-based party full of possibilities such as the SPD. Rosa realized that it was impossible to wrestle the direction of labor struggles away from the opportunist politics of the SPD by merely relying on political and minority means without reversing the relationship between class and unions. She realized that within a conflictual society such as Kaiser Wilhelm's Germany, this could not be done with Lenin's means. Furthermore, she was perfectly aware of the increasingly wider gap developing between "workers and politics": between the struggling proletariat and professional politicians. This was not merely a phenomenon limited to French anarcho-syndicalism. In the IWW founding convention Heywood had shouted "Everyone in the IWW! Out with the politicians!". Rosa Luxemburg realized that political organization within the working class was brought about only by the party's workers' cadres and that, in the subversive struggle, only they could have prevented a total break between complete workers' control (*operaismo tout court*) and a political direction. Only those cadres could have defeated trade-union gradualism and the opportunism of parliamentarians and salaried functionaries. But probably she did not realize that, at that point, the problem would have been to break the trade-unions rather than the party.

Like Lenin and all European politicians at the time of the Second International, Rosa considered unions sacred and repeated *ad nauseam* that even the most opportunist European unions were nevertheless "working-class" organizations and not a bunch of gangsters as Gompers' union in the U.S. Thus,

the faction that Rosa wanted to create was essentially a network of political workers' cadres closely linked to factory struggles and related in an ambiguous way to the unions. To Lenin's motto "first the party and then the revolution", she answered "first the workers' control of the party, and then the revolution". What for Luxemburg was a problem of the social composition of the party, for Lenin was a problem of program or of the party's policy. For Lenin the workers' revolutionary direction was to be attained by tying militants to this program and thus disciplining them to centralization. Rosa and Lenin spoke to two different types of working class: they spoke against two different types of reformism.

The conditions for the organization of a political labor movement in the U.S. were markedly different. It is in this light that we must evaluate DeLeon's position and the practice of the IWW. The relation between DeLeon and the IWW, however, must be preliminarily clarified. Although he was considered the ideologist of the movement and to a certain extent the one who anticipated the workers-councils organization, DeLeon actually occupied a minority position within the IWW. In fact, three years after its foundation, he was expelled from the IWW as a leader of a political party. In Detroit he founded another IWW increasingly yielding to the realities of the movement – above all in regard to the problems of the political struggle – and gradually moving away from any type of electoral approach. His fame among European revolutionary leaders, which earned him Lenin's homage after the revolution, was probably due to his approach's greater affinity with the European situation. Yet, his major "theoretical" contributions were made precisely when he rejected the approach and traditions of the Second International in order to deal with the formidable reality of the class struggle in the U.S.

It is impossible to compare the maturity of the American entrepreneurial class and its stage of productive organization with the corresponding European ones. The U.S. was faced with a gigantic input of labor power into directly productive labor. The greatest efforts were concentrated on the organization of work: all the technical tools for an efficient apparatus were already available. Humanitarian pretenses and authoritarian arrogance were altogether alien to the American capitalist class. It was a mass process not merely limited to a few industrial islands. Such a society seemed to be free of any residue of either productive or institutional backwardness. Unlike the European situation, the struggle between workers and owners, between working class and social owners, was not separated by a barrier of political institutions. An extremely high level of social cooperation, a global approach to the social division of labor, an inexhaustible ability to turn conflict into rationalization and development, a control over the labor force exerted directly by the productive apparatus free from the mediation of unionism, a political use of mass mobility: all of these things conferred upon the American system striking characteristics such as to relegate Europe to the role of an annoying province. All political and civil liberties having been reduced to the one and only capitalist freedom – the freedom to work – led to a total identification between factory and society. Consequently, there was a major reduction of the political space understood in the traditional sense of representation and mediation. And all this took place under the pressure of a frontal workers' struggle.

The primitivism, superficiality, or obviousness of DeLeon's writings, so different from the pretentious chatter of so many European leaders, is a European distortion. DeLeon, and, before him, the 'labor' agitators who led the IWW, understood very well how in that situation a revolutionary political line and organization must take on specific mass characteristics and that therefore, the institutionalization of a vanguard was something altogether questionable. Even less practical was a centralized direction understood as a military organization issuing orders through hierarchical channels. In fact, the relationship between direction and spontaneity was reversed since it was a question of enabling the collective worker to act automatically or, rather, autonomously. This explains the great stress on the struggle, and the contempt for ideology. This explains the program concerning the struggle as the only collective organizer engaged in a gigantic cultural revolution based on a few principles: wage and working hours, wildcat strikes, no bargaining, direct violent mass action, no tie to agitation or to the mobility of the agitators and egalitarianism.

Perhaps the difference between DeLeon's Europeanism and the IWW leaders lies entirely in his desperate search for a "political" level above and beyond the pure mass struggle. This was probably where he was beyond the others. Along with all socialist intellectuals, he had begun by conceiving of that level in terms of elections. But the bum or Wobbly answered him that that was bourgeois stuff for people with glasses and goatees. For him, who was nothing but a proletarian, politics was a power relation with the boss. No Wobbly ever bothered to think about what the future society would be like. This, however, was of great interest to DeLeon — an intellectual who wanted to know what his office would look like after taking power: this is why he fantasized so much about the future society based on the unions. This is why Gramsci mistook him for a forerunner of the workers-councils.

Terms such as party, ideology, and utopia, which were the pass-words of the Second and later the Third International, are entirely foreign to the American class struggle. They surface in DeLeon only as secondary elements, squashed by a reality of social struggle, imposed and willed by the innumerable nameless agitators who set into motion all strata of the American proletariat. In DeLeon one witnesses this gradual loss of the autonomy of theory: the extinction of a certain political level. This is an instance where the analysis of a theoretician's writings gives us less than the description of the IWW struggles.

In addition to the refusal to bargain, what is most striking in the IWW experience is the rejection of any institutionalization of the conflict, the refusal to sign contracts so to periodicize the struggle, and the refusal to consider the struggle as a factory affair seeking primarily to develop the struggle's possibilities of social communication. What it resulted in was an organization which, similar to the Italian *Camere del Lavoro*, was based on territorial principles. Yet, all this is fundamentally similar to European struggles and the workers-councils approach. This common principle is in the fact that the struggle and the organization find their base by overturning the material condition in which capital places the proletariat: in Europe by overturning workers' aristocracies into political vanguards, and in the U.S. by overturning mobility into a vector of workers' organization. Why was vagrancy the main charge through which IWW

cadres were thrown in jail? Why was the Wobbly agitator's work-style modelled on the existence of a mobile proletariat, today working in construction, tomorrow unemployed, the day after a seasonal picker, then a textile worker, or a waiter on trains? The organizers of the seasonal workers followed them in their migrations from the Mexican border to Canada. Thus, Ford's notion of a social wage originates from this proletarian approach to income which does not crystallize sectorial divisions, but has an egalitarian approach to income.

Therefore, the two pillars of the IWW organization are internationalism and egalitarianism. What is completely foreign is what we call factory-power precisely because a factory which was not the social factory was foreign to the Wobblies' world. Also foreign is any relation to skills. Thus, *before* the massification of labor was introduced by the assembly line, the mass worker was subjective reality shaped by Wobbly agitators. It was a program of total confrontation with the social factory and social capital. Unlike all European examples, the history of American struggles is probably the only one in which the workers' movement does not seek either a remodernization of productive structures nor an organization of the productive forces more backward than that of capital itself in a given stage of development. Probably, the workers' power projected by the Wobblies sought to leave the management of business to the bosses and let the working class determine socially necessary labor and income. This is why, rather than laying down a list of grievances to be dealt with at the bargaining table, they onesidedly fixed wages and working hours, write them down on a piece of paper at the factory gates, and left it to the bosses to come down and take note in order to respect it, thereby executing workers' orders. How many European workers, advised by intellectuals who claimed to be their friends and enticed by the idea of sitting behind a desk and of sending clerical workers (*impiegati*) to the benches, afterwards found themselves sitting in night-school desks after eight hours in the factory regretful for not having picked up a gun or for letting it be taken away from their hands by those very intellectuals? Besides the antiegalitarian ideology of labor, the main differences between the Wobbly's world and that of the European Bolshevik cadres lie precisely in the relationship between struggle, revolution, and power. What was missing in the IWW is precisely the conception of the revolution as an act of management of power: the substitution of a state machine by another one. In other words, it is the dictatorship of the proletariat and of the proletarian party over society.

When did the communist model gain the upper hand over the Wobbly organization? It should be pointed out that men like Foster, future secretary of the American Communist Party, came out of the IWW and that there he began his factional struggle in connection with the discussion over centralization. But this was not yet the key point: the essential question was whether the IWW should have continued its anti-institutional practice, or whether it should have accepted the specific ground of bargaining, contractual norms, and, therefore, a more static and stable organization. In other words, the issue was whether the IWW should have become a traditional union as the first step toward a convergence with the AFL, thus creating the premise for a unified labor organization in the U.S., and leaving the door open for a specific party

organization. As the cycle of struggles weakened, there arose problems of defense from repression so that resistance took priority over attack and the communist model appeared as the only possible alternative. The American Communist Party succeeded in taking over a good part of the Wobblies' legacy and to integrate it in the great CIO operation of Roosevelt's period.

A final but extremely important problem is that of the relationship between the IWW and American blacks. Probably it is necessary here to go back to the period between the plantation era and the end of the Civil War in search of the vanguard which brought about the first struggles in the U.S. The social figure at the center of this first cycle of insubordination is the black run-away and later the southern black miner and the black worker in the first large steel mills in Birmingham, along with the white convict laborers. Neither the Knights of Labor nor the AFL approached these proletarian strata, much less the black masses reduced to peonage by the crisis of the plantation. Capitalist repression at the turn of the century unleashed precisely against these strata. The IWW never contacted these masses precisely because the black labor power had never been free social labor power. It remained trapped in the poverty of the South and until WWII it was not allowed to flow into the great northern and eastern industrial arteries. If a black worked in a coal mine in Pennsylvania, Alabama, or Kentucky he joined the United Mine Workers. The Western Federation of Labor, from which the IWW grew, was made out of the copper and iron miners of Utah, Arizona, and Montana. Therefore, the ten million immigrants the IWW attempted to successfully organize represent for American capital the river of human flesh which separated, and had to keep separated, the Southern blacks from the northern factories. A dike of ten million white proletarians prevented the Blacks from assaulting metropolitan exploitation. The IWW is historically bound to this colossal defense effort on the part of white capital. This explains the function of the IWW revolutionary initiative within this tactical-strategic plan of U.S. capital.

War and Revolution

In August 1914, the imperialist war broke the workers' movement into three large currents: the social-democrats who advocated patriotism and class collaboration as a tactical passage towards the eventual management of society in the period of reconstruction; the revolutionary pacifist including the whole Zimmerwald movement who closed ranks on the issues of class resistance to war and superexploitation; and the Bolsheviks or, rather, Lenin and a few others, who foresaw the possibility of turning the imperialist war into a civil war. Here the Bolshevik militant took on his specific military role in the insurrection. There has always been talk about the social-democratic betrayal. Actually, it was a lucid and cynical plan of co-management between capital and unions, between the bourgeois state and the social-democratic party. Soon after having voted for war credits, the "workers representatives" in Germany created a series of joint organs, both at the plant as well as at more general levels as a first link of that chain which with the *Arbeitsgemeinschaft* of 1918, was to reach for the throat of the working class in order to choke the workers-councils movement. The war

needed the workers' collaboration and the social-democrats became all the more patriotic and insistent in order to present themselves as an alternative political group (*ceto*). Otherwise, it is impossible to explain the rush and the determination with which employers and the social-democratic party acted after 1918, nor the violent anti-union resentment of the working-councils cadres: during the war the unions had managed and guaranteed superexploitation in the factories and had reported insubordinate workers to the police. In the post-war period, the traditional organization is assailed by a violent workers' revenge precisely in its role of political group of functionaries. The ideology of the workers-councils movement, its generic accusation of the "professional political", the juxtaposition of the social figure of those on salaries and of the party functionary, i.e., of the intellectual in politics, ended up by engulfing both the right as well as the left, Rosa Luxemburg was not even able to participate in the first workers' councils convention: only after long battle was she allowed in as an observer. Workers' autonomy has posed the problem of the relationship between them and the committed group of professional revolutionaries. We do not know whether the destiny of Luxemburg — expelled from the convention of those workers' cadres which her writings had to a great extent helped bring about — and Lenin was to be tied to the question of the relation between direction and spontaneity, or how much it was tied to the fact that Lenin and his group had armed the workers, while the Spartachist group had continued to view the organization as coordination and resistance, and the refusal to work as the only adequate workers' weapon. The essence of Leninism shifts from the relationship between spontaneity and the party to the relationship between the party and insurrection.

In Germany the key point is constituted by the presence of that ambiguous and contradictory formation which was the USPD: the independent social-democratic party which included Kautskians and workers-councils leaders, both Centrists and Spartachists. Unlike Liebknecht claimed, the ambiguity of the USPD did not lie in its participation in parliament (already in 1915 the Spartachist leader had insisted on the need for "extraparlimentary mass action" in the *Spartakusbrieife*), but in its mystification of workers' autonomy. The union cadres of the metal workers who organized the first strikes against the war in January 1918 were under the USPD umbrella, and it was within the USPD that the ideological battle concerning the councils movement took place.

The program is well known: the transformation of workers' autonomy into counterpower, i.e., into the democratic organization of wage workers, and the conception of the workers-councils as organs of workers democratic power founded on direct representation. This was precisely the meaning of Kautsky's socialization: the formal scheme of bourgeois democracy applied to workers' autonomy. It was essentially Daeumig's conception: workers' control of production, self-management, the building of alternate power which would *de facto* deprive the state of its power, a conception of working class power only in terms of acceptance or refusal to labor, i.e., only in terms of workers' blackmail. Lenin attacked Daeumig very harshly precisely as the theorist of mere workers' autonomy. Actually, Daeumig was the only one among the councils' leaders who wanted to reintroduce a political perspective, i.e., a tactic aiming at determining the specific passage of power relations.

It is a mistake to view the workers-councils movement as a workers' critique of the forms of bourgeois institutional power. This may have been its form or its ideological aspect. The true revolutionary character of the workers-councils phase in Germany lies in the workers' power to provoke the crisis and to freeze capitalist development. This was understood very well by the old foxes in Versailles. The imposition of "that" treaty on Germany was practically dictated by the need to deprive the working class of the material bases of its very existence. Those who drafted the punitive clauses toward Germany operated precisely within the domain of the dual existence of the working class, i.e., as labor power inextricably bound to the material process of accumulation and as a class irreducibly antagonistic to that development. At that time Keynes, with his "grieved" appeals, was the strategist who looked much farther and not the tactical politician who wanted above all to settle the score with the working class in the offensive. In Versailles, international capital ran on a razor's edge, and risked halting the process of accumulation in its weakest zone: Germany. It blocked the process of development of its organic composition in order to halt the growth of the labor component: it accepted the challenge of the dual character of the labor power commodity. It is in this sense that it entered the battlefield of the workers' struggle that the workers-councils movement had helped to bring about.

Capital itself destroyed the monetary form of exchange-relations: German inflation took away power in the form of wages from the hands of the class. It was the first time in history that the capitalist crisis did not take on the cyclic character but froze general development. This was the first capitalist crisis determined by the workers' impact on the process of value-creation (*valorizzazione*). The future possibilities (*futuribili*) of the workers-councils movement were all here. Versailles and the NEP were ultimately two parallel movements: the first was a decision of the capitalist brain meant to halt development in order to choke the growth of the class; the second was a decision of the workers' brain to stimulate development in order to reconstitute the material bases for class-growth.

Hence the defense of the institution of workers-councils was the veil that covered this deadly struggle between capital and labor. It was not difficult for the union bureaucracy to manage this defense in terms of democratization of unions. Union democracy was as much against workers' autonomy as it was a part of it. The social-democratic professional politicians' ability to "manage" was impressive. Thus, Noske, for instance, first headed Kiel's military-worker insubordination movement by accepting the workers-councils ideology, and then he went to Berlin to organize the White Guards. The councils movement immediately found itself on the defensive from December 1918 on. No sooner were they created than the councils had to be "defended": the workers' power thrust (*carica operaistica*) and the mass critique against "politics" were essentially defensive attitudes. The SPD threw into the councils movement — the movement of new representations — all its union and party functionaries, expert in motions, conventions, and the parliamentary game. The councils picked up once again the theme of direct action after they lost the battle of majorities. Reformist politics won over the refusal to work. Old theoretical party brains such as Kautsky, Hilferding and Bernstein, were left in the USPD to sow

confusion in the field of workers' autonomy. They were quietly left to construct the utopia of labor democracy in the same way that capital let Rathenau fantasize about similar utopias. What was missing throughout the councils period was the armed power of the working class which was not merely self-defense since during the war the revolutionary cadres in the army had simply preached resistance to the war or pacifism against militarism, and at the end of the war had merely demanded the abolition of hierarchies. In Russia, on the other hand, the Bolsheviks had undertaken the task of forming a Red Army.

When union leaders and large employers formed an alliance at the end of 1918, they already had before them the complete picture of the mechanics of revolution in Russia. Thus, their first concern was organizing and managing demobilization. The worker had to leave the guns — they said — and return as soon as possible to his job. A specific program of counterrevolutionary disarmament was managed with the same pacifist ideology, on the same anti-militarist ground of the Second International and to a great extent by the Zimmerwald participants. Mass strikes were admitted but insurrection was not.

Thus, the workers-councils movement failed not on the ground of workers' management of productive labor, but on that of the relation between mass strikes and insurrection, or between refusal to work and insurrection. We keep hearing that the workers' determination of the crisis from 1918 to 1923 prolonged the refusal to work as an ongoing crawling movement, without creating the party. Yet, without its determination of the crisis and its struggle against development, the party is not revolutionary. Thus, the failure of the workers-councils movements did not postpone the problem of the relationship between autonomy and the party of professionals, but rather that of the relationship between struggle against development and insurrection, on the one hand, and armed workers' power on the other. We have seen in more recent history how many times insurrection has been, instead, the premise for a resumption of development. Leninism is perhaps the extreme limit reached by the insurrectional level and by the class as autonomy where the party is still an acting minority.

Maoist thought has gone farther, by conceiving of the class as the party, the party as the majority of the people, the party as social majority, and by moving the ground of insurrection from the brief *coup d'état* to long-range war. With Maoism, insurrection has become a spontaneist term.

Workers and capital

Mario Tronti

The Progressive Era

The working class after Marx can be approached historically in two ways. One is chronological. It reconstructs the great cycles of the labor struggle from the 1870s, followed by a series of facts that constitute its *history*. It would include the history of labor in industry, of industry in capital, of capital in politics and in political events, along with the great theorization — what was once called the history of ideas — the first sociology, the last systematic form attained by economics, and the birth of a new scientific discipline: that theory of technological reality which is the science of labor and the enemy of the worker. Traditional historiography encapsulates it between 1870 and 1914. To be generous and to avoid constantly upsetting the mental habits of the average intellectual, it may even be possible to enclose this epoch's first great block of facts in "their" history and move towards us and the new labor struggles constituting the real political drama of our side of the story — even if it is only at its beginning. The other approach is to move through great historical events by pausing on macroscopic groups of facts yet untouched by the critical consciousness of labor thought (*pensiero operaio*) and therefore excluded from a class understanding that translates them into a political use of their consequences. When relevant, these events isolate a fundamental aspect of capitalist society. They cut a cross-section that goes from a series of struggles to a set of political-institutional, scientific, or organizational answers. When we can isolate such a typical event under propitious circumstances, we are confronted with an historical model, a privileged period for research, and a promised land of facts, thoughts and actions to be explored. What can be learned is far superior to any passive chronological account of indifferent past events. The alternative is between a narrative embodying an interpretation (i.e., the old pretense of historical objectivism), and its contrary: interpretation embodying a narrative (i.e., the new path of political research from the labor viewpoint). The choice is between *history* and *politics*: two legitimate horizons for two different classes.

There is a danger involved, which is at the same time an adventure of ideas: to connect and see together different things that specialists have convinced us to always keep separate. The neo-synthetic conceptual apparatus of labor's viewpoint can hardly avoid this temptation. Thus, it is incredible that the history of labor and the history of labor struggles have been and continue to be dealt with by different experts. It is as incredible as the way economic theory is separated from political thought as if they

* This article originally appeared in Italian as "Poscritto di Problemi," in Mario Tronti, *Operai e Capitale*, second edition (Turin, 1971), pp. 267-311.

actually were two doctrines, two departments or two different academic disciplines. It is incredible how industrial sociology — the only one worth considering — once separated from the macroscopic problems of the socialization brought about by capitalist industrialization ultimately reduces to shop-microanalysis. It is not difficult to connect Haymarket Square with the Knights of Labor, the cannon of Homestead, Pennsylvania (1892) and the strike of the company town of Pullman (1894) with the birth of the AFL in Lawrence, Massachusetts (1912) and Paterson, New Jersey (1914) with the Wobblies' call "union makes us strong." Struggle and organization resembled each other so much that even the blind could see them united. Richard Hofstadter, in his *The Age of Reform*, relates the American progressivism of the 1890-1920 period to the somewhat eccentric pseudo-conservatism of our time. "The relations of capital and labor, the condition of the masses in the slums, the exploitation of the labor of women and children, the necessity of establishing certain minimal standards of social decency — these problems filled them with concern both because they felt a sincere interest in the welfare of the victims of industrialism and because they feared that to neglect them would invite social disintegration and ultimate catastrophe."¹ The recent history of capitalist initiative begins when, unlike President Hayes' handling of the 1887 railroad strikes or President Cleveland's handling of the Pullman affairs, in 1902 Theodore Roosevelt breaks the great strike of anthracite workers not by sending in federal troops but by means of a well-conceived arbitration, and in the same year he undertakes legal action against J. Pierpont Morgan's Northern Security Company in order to show public opinion that the country was run by Washington and not by Wall Street. It is no longer just political progressivism aimed at the conservation of society — something as old as human society itself — but a new form of political management of social relations and of the private ownership of the means of production. It is a new way of reunification and clash between general interest and individual capitalists' profit, between government of the *res publica* and production for capital. "To realize the importance of the change in the United States itself, one need only think of the climate of opinion in which the Pullman strike and the Homestead strike were fought out and compare it with the atmosphere in which labor organization has taken place since the Progressive era. There has of course been violence and bloodshed, but in the twentieth century a massive labor movement has been built with far less cost in these respects, than it cost the American working class merely to man the machines of American industry in the period from 1865 to 1900."² In its two faces of labor violence and capitalist reformism, the Progressive Era is the first great historical event to be dealt with. Here, the relationship between the labor struggles and organization, and capital's initiative describes a typical path. Later it will reach higher levels through higher experiences, but only after long pauses which will continually throw the problem in the fog of the

1. Richard Hofstadter, *The Age of Reform* (New York, 1955), p. 238.

2. *Ibid.*, p. 244.

past. Obviously, to find the revolution in action one need not go to the U.S. Yet, the American class-struggles are more serious than European ones in that they obtain more results with less ideology. More on this later. For now it is well to keep in mind Mr. Dooley's *Dissertations* of 1906. Mr. Dooley (Finley Peter Dunne) has been regarded as one of the sharpest commentators of that epoch who understood very well its character when he said: "Th' noise ye hear is not th' first gun in a revolution. It's on'y th' people in the United States beatin' a carpet."³

The Age of Marshall

What in the U.S. appears as the relation between labor struggles and capitalist politics, reappears during the same period in England as the relation between the movement of the struggles and the capitalist answer on the level of science. Capital's American answer always seeks to institutionally deal with these things within the terrain of political initiative by the head of the state, in the rare and precious occasions when this head subjectively overcomes the most modern intelligence objectified in the system of production. Contrary to common opinion, England offers a high theoretical synthesis of the class-struggle from the capitalist viewpoint. From the fact that Hegel once lived in Germany it does not follow that we should always locate there the moment of capital's maximum self-consciousness. If economics is the science *par excellence* of relations of production, exchange, and consumption of commodities as capital (and therefore of labor, and labor-struggles as capitalist development), then no higher elaboration of this science can be found than in English economic thought. When Marshall claimed: "it is all in Smith," he forced those after him to say: "it is all in Marshall." As Schumpeter put it, his great accomplishment "is the classical achievement of the period, that is, the work that embodies, more perfectly than any other, the classical situation that emerged around 1900."⁴ Now what is classic in that situation is not only the discovery of the theory of partial equilibria. Nor is it the individual moments as separate parts of the investigation which eventually form together a new system of economic thought. The same goes for the notion of the demand's elasticity, the introduction of the "short-term" and "long-term" factors in economic analysis, the definition of a situation of perfect competition, the concept of an enterprise's "special market," and many other things such as Jevons' marginal utility, Walras' general equilibrium, von Thuenen's principle of substitution, Cournot's demand curves and Dupuit's consumers' rent, which he borrowed from others but which seemed new because he rearranged them in his own way. In what may be the most beautiful of his *Essays in Biography* — the one devoted to Marshall — Keynes wrote something regarding not just the personality dealt with, but the author as well: "But it was an essential truth to which

3. Quoted in *The Age of Reform*, *ibid.*, p. 22.

4. Joseph A. Schumpeter, *History of Economic Analysis* (New York, 1954), p. 384.

he held firmly, that those individuals who are endowed with a special genius for the subject and have a powerful economic intuition will often be more right in their conclusions and implicit presuppositions than in their explanations and explicit statements. That is to say, their intuitions will be in advance of their analysis and terminology.⁵

The classic situation of England at the end of the century is in the way in which intuitions before analysis and concepts before words are directly connected with their class basis: the datum, the moment and the level of the class-struggle. What is classic for us is the model of an historical condition in which the struggle is connected to politics, theory, and organization. England in 1889 is not an isolated and unexpected thunderbolt. It comes about after at least two decades of continuous individual clashes which, although backward, were very conscious, active, and increasingly more unionized. They are waged by miners, railroad, maritime, gas, textile, and steel workers. Except for 1893, after 1880 real wages rise steadily, the price-curve falls, employment is generally stable and there is increasing unionization. The situation of the English working-class must not be sought in studies such as Charles Booth's then famous *Life and Labor of the People of London* which denounce the workers' misery, but follow rather than anticipate or provoke the longshoremen's strike. Cole has written: "The appeals that had roused the workers in the 'thirties and 'forties would have made no impression on their successors in the latter part of the century. Though there were still, even in 1900 many thousands of hopelessly exploited 'bottom dogs'...these were not typical of the organized or organizable working class. In the great industries, the workers had ceased to be a ragged and starving mob, easily roused, either by a Feargus O'Connor or a James Rayner Stephens, or by someone of the many 'Messiahs' who sprang up in the early years of the century."⁶ There were no more mass uprisings and sudden revolts produced by desperation and hunger: the strikes were ordered, prepared, expected, directed, and organized. In order to obtain results, socialist propaganda itself had to deal with reason and no longer rouse the instincts. If "O'Connor had been hot as hell; Sidney Webb was always as cool as a cucumber."⁷ In 1889 the longshoremen asked for a wage of six pence per hour, overtime, abolition of sub-contracts and piece-work, and a minimum work-period of four hours. They were guided by Ben Tillet — a London dock-worker — along with Tom Mann and John Burns — both mechanics. They were all exponents of the "new unionism" which fought against specialized unions, and societies of mutual assistance, while seeking a mass organization of the whole working-class by waging a struggle based on class-solidarity for a series of objectives able to challenge the capitalist system. The victory of the dock-workers was the victory of the new union. The nineties saw few very advanced struggles: Lancashire cotton-spinners against wage reduc-

5. John Maynard Keynes, *Essays in Biography* (New York, 1933), p. 232, note.

6. G.D.H. Cole, *A Short History of the British Working-Class Movements. 1789-1947* (London, 1948), pp. 269-270.

7. *Ibid.*, p. 270.

tions, 400,000 miners against the flexible rate with a guaranteed minimum wage, railroad workers against the schedule, and mechanics for a 48 hour week. The organization of unskilled workers took place and developed among the skeptical comments of the old leaders. Longshoremens, gas workers and miners built unions without regard to skills. A new epoch was coming about in the already historical relation between *workers* and *labor*. Here it is not the relation between labor and capital that marks a step forward. Rather, on the political level, this relation stagnates while theoretically failing to find a new consciousness to express it after having elaborated it. Similarly, the good Fabians cannot be claimed to be the virtuous interpreters of the epoch. Here, before dealing with a frontal attack on the capitalist system, we must deal with the internal composition of the working-class. Such will almost always be the case in England. There we will find no strategies for overthrowing the existing power, models of alternative political organization, or non-utopian developments of labor thought. Above all, from the capitalist viewpoint, that is not the source of the world-side breath of fresh air of great initiatives. At the state level, the political moment has no margin of autonomy in imposing its own pattern on social relations. As V.L. Allen would say, the government is never more than a *conciliator and an arbitrator*. From the Victorian Conciliation Act of 1896, to the Prices and Incomes Act seventy years later (that Wilson's crew had to handle through formal decisions), there is a typically English history of no capitalist policy towards labor. Thus, the political level has not been independent of capital's immediate needs — the only path which has hitherto led to a strategic defeat of the workers. Hence, the dynamic supporting role of the real long-range management of power is taken over by scientific elaboration: by the theoretical consciousness of the labor problem translated in terms of bourgeois conceptualization. The autonomy of politics from capitalist development appears here as the autonomy of science: science not as technology but as theory, not as an analysis of labor, but as capital's economy. We must not seek in the highest points of economic thought a direct treatment of the labor struggles: the higher the level of elaboration, the more abstract is the movement of categories and the more difficult it becomes to recognize the presence of struggles in this thought. This is not because such thought is removed from reality, but because it is close to it in a complex way. It does not passively reflect class-relations, but serves it to us well-spiced and elaborated in a diet of tasty concepts. We must learn to read the scientific language of capital beyond these concepts, beyond the logic of the discipline: between the lines of "their" treatises systematizing "their" knowledge. We must not grant what they say. The cultural hieroglyphics must be deciphered: the scientific jargon must be translated in our illustrious class dialect. In regard to the great scientific discovery by the capitalist, we must follow its attitude towards reality: we must not reflect what is, but elaborate in order to understand what really is.

In his inaugural address in Cambridge in 1885, Marshall said: "Among the bad results of the narrowness of the work of English economists early in the nineteenth century perhaps the most unfortunate was the

opportunity which it gave to socialists to quote and misapply economic dogma.”⁸ As can be seen from his 1919 “Preface” to *Industry and Trade*, socialists’ works both repulsed and attracted him because they seemed to have no contact with reality. He noticed “admirable developments in the working-class capabilities” and recalled how some ten years earlier he believed that so-called “socialist” proposals were the most important things worth studying. Those were the years between 1885 and 1900, when he used to spend his weekends with working-class leaders such as Thomas Burt, Ben Tillet, Tom Mann and other new unionists: the victorious dock-worker leaders of 1889. It was the year when after twenty years of work, he finished what Keynes has called a “universe of knowledge:” his *Principles of Economics*. As with every classical product of economic thought, here everything that happens within the working-class appears as happening within capital. From his viewpoint, bourgeois science rightly refuses to grant workers, and therefore the labor struggles, any autonomy at all. History is always the history of capital. As labor or as wages, as a complex living machinery or as simple natural energy, as a function of the system or as a contradiction of production, the working-class always plays a secondary role. It does not enjoy its own light and reflects the movement of the capitalist cycle. This is exactly opposite the truth from our viewpoint where every discovery of an objective social science can and must be translated in the language of the struggles. The most abstract theoretical problem will have the most concrete class meaning. In September 1862, after having sent to the British Association his “Notice of a General Mathematical Theory of Political Economy” with the first outline of the concept of marginal utility, Jevons wrote his brother: “I am very curious, indeed, to know what effect my theory will have both upon my friends and the world in general. I shall watch it like an artilleryman watches the flight of a shell or shot to see whether its effects equal his intentions.”⁹ If the forebodings are those of Jevons’ *Theory* of 1871, the effects are to be found in Marshall’s *Principles*. It is our problem to follow the flight of this shell during this period in the history of class struggle. Unless we are mistaken, this should be that historical event to be unravelled. This is precisely the classical level of the question concerning the relationship between struggles and science: workers’ struggles and the science of capital. Such a relationship will subsequently have a long history yet to be concluded. If we have grasped it correctly, in the underground of that epoch there should be a strong current that brings this relationship to a preliminary formalization as a model. We must dig in order to find. The way in which the problem is posed offers a methodological indication also valuable in other investigations. As Keynes put it, “Jevons saw the kettle boil and cried out with the delighted voice of a child; Marshall too had seen the kettle boil and sat down silently to build an empire.”¹⁰

8. A.C. Pigou, ed., *Memorial of Alfred Marshall* (London, 1925), p. 156.

9. *Letters and Journal of W. Stanley Jevons* (London, 1896), p. 169.

10. Keynes, *op.cit.*, p. 188.

The Historical Social-Democracy

In his *Demokratie und Kaisertum* of 1900, Friedrich Naumann defined the Bismarckian empire as a labor republic. The social monarchy of the two Wilhelms deserves this paradoxical label. In the same way that the profoundly German tradition of the *Machstaat* has turned out to be the most fragile among all political institutions of modern capital, the *bête noir* of the reactionary Junkers turns out to be the road most open to the development of a certain type of democratic labor movements. Without Bismarck there may never have been German social-democracy in its classical form: "without Mohammed, Charlemagne would have been inconceivable." On the other hand, although operating from his uncomfortable perspective of agrarian socialism, Rudolf Meyer was correct in arguing that without social-democracy German industry would not have developed. All of these logical passages are full of historical meaning. The theme of the political organization of the working-class finds in the German speaking middle-Europe its proper domain for a finally successful experiment. It is worth measuring the relation between struggle and organization here — if for no other reason, to catch the point of departure of a long-spanning arc. Today, this arc must not be gradually rethreatened in practice. It must only be caught by the liquidating glance of labor theory which, in its present strategic indications, goes well beyond what there was then and after. Yet, we must immediately add that, at least in Germany, nothing is equal in importance to the clashing force of the political model of classical social-democracy, from the Lassallean *Offenes Antwortschreiben* of 1863 to 1913 — a year of struggles with 5,672,034 working days lost in strikes. In front of this first historical form of the political party of the working-class, all other organizational experiences have been forced to appear as answers, alternatives, or as a kind of reversed image of what was not wanted: a negative repetition of what was considered a bad passivity. At least in Europe, 19th century revolutionary syndacalism, the historical Luxemburgian left, the various council experiments of Bavaria and Piedmont, and the very first minority groups ever (the just-born communist parties) were essentially answers to the question of the party that social-democracy posed to the labor vanguard. The Bolshevik model does not escape this organizational anti-social-democratic determination. It explodes in Lenin's head as soon as he, outside of Russia, comes into contact with the experiences of the European labor movement. Thus, Germany presents the classical political terrain of the labor struggle which becomes a reference point for every elaboration of the problem of organization. Strangely enough, by adapting the young Marx to capital's old-age, the working-class party does not end up the heir of philosophy, but of classical German social-democracy.

As every other fact, this one too has another historiographic side. The German labor movement, along with the whole class-struggle in Germany, seems to have only a political history: a mere development of the organizational level. It always seems to be a matter of leadership: a history of party congresses. From Mehring on, Marxist historiography has been an

easy victim of this false optics. In no country outside of Germany is the level of the struggles so difficult to reach. This is not because the struggles are few, but because they are not too visible. Submerged as they are in their immediate organizational consequences, they merely reach the surface. It is not accidental that the union grew in this context with so much difficulty, competing and often struggling with the party. Strangely enough, the union chronologically followed the development of the party. It is not accidental that the average militant intellectual is familiar with the politically insipid name of both Liebknechts, while he may never have heard of a Karl Legien. For 30 years up to his death in 1921, this "German Samuel Gompers" — as Perlman used to call him — controls the union, and therefore its struggles: the labor strikes. Now, before the Junker von Puttkamer began to apply with the sure hand of a policeman the Bismarckian laws against them, the socialists had had enough time to split. Eisenachian ideologists à la Bebel and the followers of von Schweitzer, that Prussian *Realpolitiker* who was both a worker and a baron, had split, but they had also managed to become reunited by singing in chorus the verses of that Gotha program which who knows what destiny it might have had if it had not fallen under the rapacious claws of the old man in London. This was a time of unusually violent struggles which were close to uprisings, but almost always ended in defeat. The strikes were local, isolated, badly organized, misdirected, and succeeded only in unifying the owners. Yet, the *Erwachungsstreiks* of late 1860s had their effect: between 1871 and 1872 the struggles grew from the steel-workers of Chemnitz to Cramer-Klett mechanics in Nuremberg and the 16,000 miners of the Ruhr who took to the streets with the cry: eight hours of work and a 25% rise in wages. In 1873 a violent crisis hit the German economy, and the workers ferociously defended themselves against unemployment and wage reductions with "increasing lawlessness and lack of discipline" — as it is phrased in a law introduced in the Reichstag. Theodor York, the president of the wood workers, took the opportunity to launch the anti-local unionist idea of centralizing organization. But we are in Germany: the centralization sought in unions is to be found at the political level. The Gotha congress claimed that it was the workers' duty to keep away union politics, but it held that it was also their duty to join the Party, because only this could improve the workers' political and economic conditions. Gradilone has rightly concluded that "the date 1875 remains a landmark not only because it marked the birth of the first European party of the working class, but also because it indirectly influenced the *development* of similar parties in the continent...all of them more or less having come into being through the direct or indirect influence of the German party." We must give credit to social-democracy for having objectively derived the political form of the party from the content of the struggles, for having raised the relation between struggle and organization to the level of governmental policy, and, therefore, for having used the struggles to grow as an alternative power: a negative institutional power provisionally opposed to the government while waiting to take state power. Paradoxically enough, it was Lenin who gave

social-democracy a theory of the party. Before him there was only a daily political practice. Only within the Bolshevik group, in the *Iskra* office, can we find a principled systematization of the function of the historical party of the working class. Even the most classic forms of social-democracy only indicate the party's strategic program and tactical path, but not the dynamic laws of its apparatus. What was not posed was the altogether Leninist question: "what type of organization do we need?" By contraposing the two types of organization, Lenin elaborated the theory of both. He needed to do this because his reasoning was entirely political. He did not (nor did he want to) start from struggles. His logic was based on a concept of political rationality absolutely independent of everything. It was even independent of class-interest which, if anything, was common to both. His party was not the anti-state: even before taking power, it was the only true state of the true society. We must not look for the labor struggle before Lenin as a cause of his theory of the party. This does not diminish, rather it enlarges, the importance of its experience. Although not triggered by the labor struggle, Lenin completely grasped the laws of its political action. Thus, the classical bourgeois notion of the autonomy of politics is reconstituted from labor's viewpoint. Within this frame of reference, the historical destiny of social-democracy is quite different. Its party form has invented nothing: in its daily practice it has only reflected a very high theoretical level of labor's attack on the system. Instead, behind German social-democracy, English economics, and American capitalist initiative, there is the beginning of a long typology which, in coming closer to our own days, increasingly specifies the character of the clash between labor's wages and capital's profit. Not accidentally, the capitalist labor history begins there. This can be now demonstrated with the ongoing struggles.

Let us open the third volume of Kuczynski's monumental work *Geschichte der Lage der Arbeiter in Deutschland von 1789 bis zur Gegenwart* (the first part of a work followed by a second part on working conditions in England, the U.S., and France). Divested of its crypto-Marxist conceptualization and terminology, this work is a mine of class news. 1889 is the key year. It is the year of the birth of the Second International: that legitimate daughter of German capital and social-democracy. Both sides of the English Channel were on strike: English dock workers, and German miners. After the struggle of Berlin's 25,000 masons and carpenters on the platform "from ten to nine working hours, from 50 to 60 pfennigs in wages," there was an explosion of that historical vanguard which the miners have always been: 13,000 in the Saar, 10,000 in Saxony, 18,000 in Silesia, 90,000 in Westphalia. When they all stopped the army was sent in against them and there were five workers dead, nine wounded. Engels and Luxemburg wrote about it, the Reichstag was flooded with the problem, and the leaders of the movement, Schroeder, Bunte and Spiegel, even went up to the Kaiser. Quick as a thunderbolt, the consequences came the following year, 1890. February 20th, the social-democrat candidates picked up a million and a half votes, 20% of the total, 660,000 more than they had received in 1887. March 20th, Bismarck was out. The

first of October, the exceptional laws against the socialists were abolished. In Mehring's words, it was the beginning of a new period in the history of the German Reich and in the history of German social-democracy. Today it is necessary to introduce this new form of historical periodization in our theoretical elaboration, and find new dates as the point of departure of the social answer either of large collective institutions or of great individual thought. According to Walter Galenson, between 1890 and 1913 in Germany the intermingling of the history of the party and the history of struggles brings to a classical conclusion the premises posed by earlier experiences. From November 1890 to September 1891, there were some 30 strikes in which 40,000 workers participated: first of all there were the printers — the "Englishmen" of the German labor movement with their legal successes concerning the time-schedule. Between 1892 and 1894, there were 320 small, diffused and short strikes involving 20,000 workers. In 1895, and most of all in 1896, there was another great wave in Berlin, in the Saar, and in the Ruhr. The percentage of the conflicts with outcomes favorable for the workers went from 58.5% to 74.7%. There was an air of labor victory. The dock workers' strike in Hamburg in 1896 brought back the idea of the anti-strike law. We come to the *Zuchthaus Vorlage* of 1899, fallen through parliamentary means. The 1903 Crimmitschau strike, however, had a different outcome. For five months, 8,000 textile workers were on strike for higher wages. The result was a strong association of the owners. This was the beginning of that long process which immediately after World War I resulted in the massive anti-worker and therefore counter-revolutionary reality of the *Vereinigung der deutschen Arbeitgeberverbände*. The years between 1903 and 1907 saw an intensity of the struggle equal to its quantitative extension: the high point was in 1905 when the striking workers reached half million and there were 7,362,802 work days lost. In 1910 there were still 370,000 striking workers and 9,000,000 work days lost. This was roughly how it remained up to 1913. This explains what surprises superficial contemporary German historians such as Vermeil: from 1890 to 1912 social-democrat votes rose from 1,427,000 to 4,250,000 and the seats from 35 to 110. According to Zwing, from 1891 to 1913 there was a decrease of federations from 63 to 49, while there was an explosion of their membership from 277,659 to 2,573,718. After the guerrilla-warfare, with the Mannheim agreement, peace and harmony descended between party and union. This is a story full of contradictory lights — flares that light up and die out — allowing the guiding forces of the process to come into view, along with the unavoidable negative outcome. People have seen within the Second International only what they have wanted to see. It is as if all had been settled in the theoretical debate, everything written in *Neue Zeit*, everything said in the "*Bernstein-Debatte*," and there was nothing left to say after the *Zusammenbruchstheorie* discussions between belligerent intellectuals. Classical German social-democracy has been turned into an historical episode of the theory of the labor movement. Yet the true theory — the high science — was not in the socialist camp but outside and against it. And this altogether theoretical science — this scientific theory

— had as its content, object, and problem the fact of politics. The new theory of a new politics suddenly arose both in the great bourgeois thought and in the subversive labor praxis. Lenin was closer to Max Weber's "Politik als Beruf" than to the German labor struggles upon which was based — as a colossus standing on clay — classical social-democracy.

During the Weimar period, when he still spoke to party cadres of Berlin's *Volkshochschule*, the social-democrat Theodor Geiger used to write: "We call '*die Masse*' that social group with a revolutionary and destructive goal." A year earlier, in unveiling the essence of the "social-democratic tactic" according to which the proletariat must compromise with the bourgeoisie, Lukács had correctly seen that, since the true revolution still remains far away and its preconditions do not exist yet: "the more the subjective and objective preconditions of social revolution are present, the more 'purely' will the proletariat be able to fulfill its class aims. So the reverse of practical compromise is often great radicalism — absolute 'purity' in principle in relation to the 'ultimate goal'."¹¹ This is the true, classical and historical social-democracy. It is not true that there is where the revolutionary goal was abandoned. Here we confuse it with some formula of Bernsteinian revisionism. The beauty of that social-democracy was precisely its tactically holding together of the two sides of the coin — both possible party politics: a daily practice of Menshevik actions and an ideology of pure subversive principles. This is why we claim that, historically, it is an unequalled organizational solution of the labor struggle on the political level. The Bolshevik model and the ensuing communist movement does not go as far or, better, it ends up with something qualitatively different. Let us explain this in other words. During this period, the classical form of the social-democratic party in Germany passively reflected a level of labor spontaneity that carried within itself, i.e., in its struggles, the ambiguity, the contradiction, and the duplicity of the demand for better capitalist working conditions, and the "socialist" refusal. The situation was not so backward as to prevent cyclic explosions of economic struggles, nor was it so advanced as to rule out alternative proposals for the formal management of power. It remains a fact that, from the very beginning, the contact between the labor struggles and the social-democratic party was so direct and the relation so close as to prevent even a mediation at the union level. Trade-unionism was altogether absent from the German labor tradition. Thus, the whole discussion concerning political perspective reveals an amazing absence of conceptual mediations, surprises and attacks on the adversary's camp. This organizational miracle of German social-democracy had as its other side an average level of intellectual mediocrity, a scientific approximation and theoretical misery, which could only produce the failure that they did: that scholastic correction of Marxist truth which from Lenin on we still have to waste time combatting. In the meantime capital's high science was growing on its own, unchallenged, and without rival. Here is the true

11. Georg Lukács, *Lenin*, trans. by Nicholas Jacobs (London, 1970), p. 80.

illusion of which the tactical social-democratic horizon is always a prisoner: a kind of optimistic vision of the historical process which moves forward through its own gradual unfolding rather than through a violent clash with the opposite side. Thus, it ultimately finds a reassuring and comfortable judgment from a just and good God. As an example of the high science of capital, Max Weber subsequently posed correctly the alternative question: "(a) whether the intrinsic value of ethical conduct — the 'pure will' or the 'conscience' as it used to be called — is sufficient for its justification, following the maxim of the Christian moralists: 'The Christian acts rightly and leaves the consequences of his actions to God;' or (b) whether the responsibility for the predictable consequences of the action is to be taken into consideration."¹² This is the way in which the antithesis between *Gesinnungsethik* and *Verantwortungsethik* was later posed in the essay "The Meaning of 'Ethical Neutrality' in Sociology and Economics:" "All radical revolutionary political attitudes, particularly revolutionary 'syndacalism,' have their point of departure in the first postulate; all *Realpolitik* in the latter." But barely a year later, in his lecture on "Politics as a Vocation," he was to say that the two ethics are not absolutely anti-ethical, but that they complement each other. In fact, "only in unison" do they "constitute a genuine man — a man who *can* have the 'calling for politics'."¹³ The politician, i.e., the one who holds "in one's hands a nerve fiber of historically important events," must possess three highly decisive qualities: passion "in the sense of *matter-of-factness*, of passionate devotion to a 'cause';" responsibility in relation to this cause as "the guiding star of action;" and far-sightedness as "his ability to let realities work upon him with inner concentration and calmness. Hence his *distance* to things and men."¹⁴ It is on this basis that, according to Gerhard Maser, Weber's sociology of power becomes a sociology of might. To the extent that the aspiration to power is the indispensable tool for political work, the instinct of power (*Machtinstinkt*) is actually a normal quality of the politician. In the meetings of the Heidelberg workers' and soldiers' councils in which Weber participated in 1918, he could well have proposed and elaborated the proletarian laws of power politics. "The old problematic dealing with the best possible form of government, he would have dismissed as irrelevant. The struggle among classes and individuals for power or domination seemed to him to be the essence, if one chooses, the constant datum of politics." No, we are not talking about Lenin, but still of Max Weber, "Machiavelli's heir... and Nietzsche's contemporary" — as Raymond Aron has correctly defined him precisely in the quoted context. But Weber's politician is Lenin. Isn't the burning passion and the cold far-sightedness to be found in that proper mixture of blood and judgment that Lukács attributes to his Lenin?¹⁵

12. Max Weber, *The Methodology of the Social Sciences*, trans. by Edward A. Shils and Henry A. Finch (New York, 1949), p. 16.

13. Max Weber, "Politics as a Vocation," in H.H. Gerth and C. Wright Mills, eds., *From Max Weber* (New York, 1958), p. 127.

14. *Ibid.*, p. 115.

15. Georg Lukács, *op.cit.*, p. 95.

And doesn't the sense of responsibility coincide with Lenin's *constant preparedness*? The truth is that the Weberian concept of purely and entirely political activity could have been completely applied only from the labor viewpoint. What this means is never to remain passive victims even of the highest labor spontaneity, as used to be the case in the serious opportunism of classical social-democracy. Rather, it means to actively mediate the concrete situation's complexity in its entirety. In such a situation the labor struggle is never the sole determinant, but is always interconnected with capital's political answer, with the latest results of bourgeois science and with the levels attained by the labor movement's organizations. In this sense the labor struggle is behind social-democracy much more than Leninism. Yet, Leninism is politically ahead of both since it foresees, rather prescribes, that their historical nexus — the relation between struggles and social-democracy — is the practical premise for a workers' defeat. It can foresee and prescribe because it knows and applies the scanty laws of political action without the illusions of moral ideals. Lenin had not read Weber's 1895 Freiburg *Address*. Yet he acted *as if* he knew and interpreted those words in his daily praxis: "For the dream of peace and human happiness on top of the door of the unknown future is written: 'leave all hope'." This is Lenin's greatness. Even when he was not in direct contact with the great bourgeois thought, he was able to deal with it since he directly derived it from things: he recognized it in its objective functioning. He had understood very early what today we are forced to relearn among immense difficulties: that maxim in Weber's *Address* which we should courageously accept as a party program: "Our descendants will hold us responsible in front of history not for the type of economic organization which we will leave them in inheritance but, rather, for the space for movement which we will have conquered and passed on."

Class Struggles in the United States

Let us begin with a working hypothesis already loaded with heavy political assumptions: the labor struggle has attained the highest absolute level between 1933 and 1947 in the U.S. There have been advanced, successful, and mass labor struggles — and simple contractual struggles: consider any revolutionary experience of the old Europe, confront it with this particular cycle of American labor struggles, and we will discover our limitations and our defeats. At best, we will realize our subjective backwardness and, worst, our absurd pretense of being the vanguard without a movement, generals without an army, priests of subversion without any political knowledge. Today we must reverse the claim of those who see the European workers dragging behind more backward situations which, however, are more revolutionary. If, within the class struggle, victory is measured by what and how much has been gained, then the European workers find before them, as the most advanced model of behavior for their present needs, the way of winning, or the way of defeating the adversary, adopted by American workers in the 1930s.

There had been rich struggling premises. A wave had developed during

the war years, and, in its own way, had transformed the national war not into a civil war, but into a class struggle. Because of lack of scientific courage, or fear of knowing the real state of affairs, the American workers' behavior during the two wars is a chapter of contemporary history yet to be written. To say that the workers profit by the war is a bitter truth which one would willingly erase from history. The labor struggle within the capitalist war is a great political fact of our epoch; it is not by accident, we catch it free from Europe in the American heart of the international capitalist system. In 1914 and 1915 the number of strikes was 1204 and 1593; in 1916 the number jumps to 3789, and in 1917 to 4450, with 1,600,000 and 1,230,000 striking workers respectively. Aside from the fabulous year of 1937, we have to go to 1941 to find once again 4288 strikes in one year, involving 2,360,000 workers, or 8.4% of the employed work-force, exactly as in 1916: a percentage never reached until 1945 — if we exclude the other fabulous year 1919. In the years 1943, 1944, and 1945 there is an impressive growth: the number of strikes goes from 3752 to 4956 to 4750; the struggling workers from 1,980,000 to 2,120,000 to 3,470,000. The intensity of the labor struggle during the war is topped only in one instance: in the immediate post-war period, during the first conversion of war industries into peace and civil welfare industries. It would seem that the workers should abstain from creating difficulty in such a human endeavor. Let us examine this. In 1946 there were 4985 strikes involving 4,600,000 workers out of work, 16.5% of the entire employed work-force. In 1919 there were 3630 strikes, with 4,160,000 strikers, or 20.2% of all the workers employed at the time.¹⁶ From the workers' viewpoint, the war was a great occasion for obtaining much, while peace was a great occasion for asking for more. Thus, the National War Labor Board, new-dealer before the New Deal, could find no better way to squash labor conflicts than to let the workers win. Right to organize, collective bargaining through union representation, union-shop and open-shop contracts, equal pay for women, minimum wages: these are the conquests of the first war-period. Having strengthened the organization by exploiting the class adversary's national needs (in 1918 unions had more than 4 million members), in the post-war period the clash shifted to wages. To the revolutionary militant, 1919 means the civil war in Bolshevik Russia, the Soviet Bavarian Republic, the Third International and Bela Kun in the same way that to the Italian militant it means the Turin of *Ordine Nuovo*, and the Councils before the factories' occupation. Seattle is a name altogether unknown. Its shipbuilders, guided by James A. Duncan, who dragged 60,000 workers into a general strike for five days, are never mentioned. Yet that was a key year for the class struggle in America which, in terms of the positive destiny of world revolution, was probably more important than all the rest of "Euro-asiatic" events put together. There was the strike of Boston policemen, organized in the unionism of the Boston Social Club which wanted to affiliate with

16. Cf. Robert Ozanne, *Wages in Practice and Theory* (Madison, Wisc., 1968), "Appendix C," pp. 141-143.

the AFL — things reminiscent of the French May, although they may have been a little more serious since they took place half a century earlier and did not include in their programs "*foot-ball aux foot-balleurs.*" But there were also strikes of mechanics and railroad workers, textile workers and longshoremen: from the food industries to the clothing industries. And it came down to a decisive clash on the level of production of material basic to every other type of production: steel and coal. 350,000 steel workers demanded a collective contract with a wage increase and an eight-hour work day. The United States Steel Corporation answered that it had no intention of doing business with them. The days of the wartime New Deal were over. All authority and local military forces, both state and federal, were on the side of the owners. An anti-worker witch hunt, the isolation of their organization in the public opinion, about 20 deaths, and they were defeated. Foster R. Dulles has written that if the steel workers had won, the entire history of the labor movement during the following decade would have followed a completely different course. As the steel workers retreated, 425,000 miners entered the field. Here the labor organization was better, and therefore the demands were higher: wage increases of 60%, and a 36 hour work week. They gained half of what they asked in wages, but no reduction in hours. Wilson, the idealist and neurotic 28th U.S. president, obtained a court injunction to halt the strike. John L. Lewis, president of the United Mine Workers soon to be famous for other deeds, repeated the injunction from the level of the labor organization. The miners listened to neither of the two presidents and continued the struggle until they obtained whatever they could under those conditions. One could read in the newspapers of the period: "No organized minority has the right of throwing the country into chaos. . . A labor autocracy is as dangerous as a capitalist autocracy." These were the methodological rules that capital was beginning to derive from the hard clash with the workers: the social philosophy which was to triumph in the following happy decade. The American 20s are an era of social peace, great prosperity, "the age of wonderful idiocies," *welfare capitalism*, and high wages, gained not through struggles, nor through capital's political initiative, but given as if by chance by the individual capitalist's economic choice. For the first time in history "golden chains" came into being, the tax of unionization falls frighteningly among the workers, a new form of owner-controlled union comes into being, the open shop wins, while the scientific organization of labor proceeds with giant steps. It is said that the great crash came suddenly to awaken everyone from the "American dream." One of the reasons why capital did not understand that it was stepping on the edge of the abyss was this amazing silence on the part of the laboring masses which followed the defeat of 400,000 railroad workers in 1922 and lasted even beyond 1929. Labor struggles are an irreplaceable instrument of self-consciousness for capital: without them it does not recognize its own adversary. Consequently, it does not know itself. And when the contradiction explodes among the parts altogether internal to the mechanism of capitalist development, again the workers do not begin to actively struggle, neither to accelerate the crisis, nor to somehow resolve it.

They know that there is nothing to gain as a particular class if the general development has nothing more to grant. Obviously, the workers did not want the crisis. Less obvious, and actually somewhat scandalous, is to claim that the crisis was not the product of labor struggles but of labor passivity: of the massive refusal to go out on strike, with demands, propositions, struggle and organization. We must be careful: we do not mean that the cause of *that* crisis is to be located in labor's attitude towards capital. This attitude was the only one which could have revealed the existence of the crisis: the only one which, once expressed in struggles, could have allowed the possibility of foreseeing it. On the other hand, it is easy to understand the flattening out of the strike-curve in the decade of great buys at street corners. But why was there a labor passivity in the heart of the crisis? Why was there no attempt to seek a revolutionary solution in an objectively revolutionary situation which could hardly have been more so? Why was there no 1917 in 1929? Workers make no demands and do not try to obtain them through struggles only in two cases: when they obtain without asking, and when they know that they have nothing to gain. Thus, the absence of great struggles from 1922 to 1933 has two different causes in the periods between 1922 and 1929, and between 1929 and 1933. In the first period the objective margins of capitalist profit spontaneously overflow to the workers. During the second period there are no margins for either of the two parts: participation of labor's wages to capital's profit is unthinkable. The very boundaries between classes disappear: there is only one crisis for all. Why bother to struggle when it is impossible to win concessions? In order to take power? We must never confuse the two. The American working class is not the Russian Bolshevik party. We must stick to the facts even when they are problematic. When Roosevelt tried to deal with the crisis, the American workers, again lined in battle formation, classically summarized the immediate precedents of their political history: they struggled aggressively during the war and they won, they defended themselves violently after the war and were defeated, they benefitted without scruples from the "golden glitter" of the happy decade, and they reacted neither in their own defense, nor against their adversary during the crisis. It seems like an abstract ballet, lacking any meaningful content. But like the self-enclosed form of a mathematical formula, the logic of these movements is impeccable. Today the American workers are the hidden face of the international working class. To decipher the face of this sphinx which contemporary history places in front of us, we must first undertake a complete examination of labor around the planet. The American night seems dark because we see the day with our eyes closed.

Paragraph 7a of the National Industrial Recovery Act, with the right for workers "to organize and bargain collectively through representatives of their own choosing" and with an injunction to owners forbidding them any "interference, restraint, or coercion"¹⁷ with minimum wages and

17. As quoted in Arthur M. Schlesinger, Jr., *The Coming of the New Deal* (New York, 1965), p. 137.

maximum allowed working time, was approved in June 1933 along with the rest of the law. In the second half of that year the number of strikes was equal to all those of the previous year: the number of striking workers was three and a half times as many as in all of 1932. In 1934 there were 1856 strikes with 1,500,000 workers involved: more than 7% of all those employed. Thus, the number of conflicts was not high, although they involved the big industries: the steel workers, the automobile workers, the West Coast longshoremen, the Northwestern wood workers, and first in line with the loudest voice, almost 500,000 textile workers with demands for a thirty hour work week, a thirteen-dollar minimum wage, the solution of the "strech-out" — as "speed-up" was called in the textile industry — and the recognition of the United Textile Workers. When, as had already happened with the Clayton Act of 1914 and the Norris-LaGuardia law of 1923, paragraph 7a fell under the combined reaction of the individual capitalist and the still bourgeois judiciary branch of government, the workers had already used it for all it was worth: to create a space for movement to the new demands raised now to a level of organization. The password "to organize the disorganized," i.e., to enter unions in the big mass-production industries, became possible only when the collective capitalist consciousness opened the factory to a modern labor power which would counter-balance the backward and antiquated owners' power. 1935 saw the birth and the success of both the Wagner Act and the CIO. Again, we have more evidence that between capital's political initiative and the workers' advanced organization there is an inextricable knot which cannot be untied even if we wanted to. A National Labor Relations Board oversees that owners do not employ "unfair labor practices," and that they do not oppose collective bargaining with unfair procedures, issues "cease and desist" orders only to the industrial side, never to labor's side, abolishes the owner's union, removes its restriction to crafts, and for the first time gives it to common workers. Thus, it is not an organ of political mediation between two equally contraposed parts: Franklin Delano is not Theodore Roosevelt. It is an administrative organ with judiciary functions: a kind of injunction exactly contrary to everything that came before it in the American tradition — an injunction of capital to the capitalists to leave space for the autonomy of labor organizations. Furthermore, within labor there is a choice in favor of new sectors of production, the identification of the figure of the new mass worker in the steel, automobile, rubber, and radio industries. This explains why, although the CIO was only two years old while the AFL had been around for half a century, by the end of 1937 the former had already more members than the latter, and that the "appropriate bargaining units" established in 1935 were run according to majority rule in favor of the new industrial unionism. If capital's advanced choices favored the most advanced labor organization, these, in turn, supported capital so that the new choices won over old resistances. The law of the Fair Labor Standards — the logical follow-up to the National Labor Relations Act — dates back to 1838. It set a minimum wage of 25 cents per hour, to go up to 40 cents after seven years, a maximum work week of 44 hours

before the end of 1939, 42 hours before the end of 1941, and 40 hours afterwards. But 1937 was needed between the constitutional recognition of the Wagner Act and its logical follow-up. That year saw the highest number of strikes ever (4740), a movement to extend unionism from areas of large concentration to vital knots of production with new forms of struggle and instruments of pressure of hitherto unknown efficacy. It began by founding the Steel Workers' Organizing Committee, and following the success of this organizational move Big Steel, the impenetrable fortress of U.S. Steel, was forced to surrender to wage increases of 10%, an eight-hour work day, and a forty-hour work week. Then came Little Steel: 75,000 workers were forced to carry out a very hard struggle against the smaller steel-producing companies. There was the "Memorial Day Massacre" in Chicago, and therefore a temporary labor defeat which only four years later was mended by the intervention of the political ally maneuvering the levers of government. But the high point of the clash took place in the automobile industry between the country's most powerful union (UAW), and capital's strongest corporations (Ford, GM, and Chrysler). The "sit-down strike" came into being and for 44 days production at General Motors was blocked in Flint, Cleveland, and Detroit. There was a court injunction to evacuate the factories, but it was ignored. There was an attempt to storm the factories by the police, but it was pushed back. "Solidarity forever" was the slogan that united workers inside and the population outside. Then came labor's victory: collective bargaining with the UAW as a recognized counterpart. This American form of factory occupation exploded, and soon Chrysler too had to give in. Only Ford would resist four more years before its first collective contract, but it would have to yield more: the infamous closed shop. The quantitative extension of strikes grew from 1937 to involve rubber, glass, textile, optical and electrical workers. Roosevelt and his egg-heads followed worried and utilized the movement in their battle within capital. The 1938 law concerning "fair working conditions" was an advanced political answer which only those struggles could have obtained. The labor struggle kept increasingly turning the public hand in its favor as soon as it understood that this hand was forced to give in because of its own needs. We come to the war with a relation of forces violently shifted in favor of labor. What had never happened before became possible: the solution of the crisis gave power to the workers by taking it away from the capitalists. The move that followed was also logical and coherent. It was no longer the old socialist call for struggle against the war, but the most modern and subversive class-vindication conceivable: labor participation in war profits., In 1941, even before Pearl Harbor, the struggle centered once again around wages by automobile workers, shipbuilders, teamsters, construction workers, textile workers, and that vital point of war production which were the "captive mines" tied to the steel industry, and still having Lewis at the head of 250,000 men. In a year the average wage jumped up 20%. During WW II the American miners wrote a special chapter in the history of the class struggle which should be carefully studied. The War Labor Board was to no avail, and Roosevelt himself had to put on the hard mask of the

workers' enemy in dealing with them. In 1943 they added their massive organized power to the thousands of spontaneous strikes that exploded all over the country against the government and without unions. From here we have a growth of struggles that engulfed the last two years of the war and the immediate post-war period. 1946 is again like 1919. There are almost 5,000 strikes, involving almost 5,000,000 workers: 16.5% of the employed with 120 million work days lost. Practically every industry was involved in the labor conflict. The National Wage Stabilization Board could not curb the movement. A labor demand took precedence over all the others: peace wages equal to war wages. Here we find the slogans which were to reappear a quarter of a century later in the streets of Europe: "no contract, no work," "52 for 40," and an American form of labor control, "a look at the books." The high points once again were in General Motors among the steel workers, the miners, and, even more, the railroad workers. The increase in the cost of living, typical of war-time, was followed by a mad chase of nominal wage which almost caught up with it. This was the beginning of the modern history of the class-relation between wages and prices, the unfolding of that deadly disease which our capital has learned to live with and which, in the diagnoses of the economist, is called the process of inflation stemming from the cost of labor. This is the beginning of that dynamic of development as movement of struggles which will decide the destiny of modern capital: who will have to run it, and who will be able to use it. 1947 came in the U.S. under the sign of the "great labor fear" which had shaken the country the year before. It is incredible, but the Taft-Hartley law ultimately proposed to return the capitalists' contractual power on an equal footing with that of the workers. This says it all concerning what had happened in the U.S. from 1933 on. The equation of the contractual ability of the two struggling classes — that classic demand for equal rights usually put forth by the weaker force against the deciding one — was advanced for the first time by the capitalists to be conquered or reconquered within their state. This is a revealing episode of a history which is still part of today, where it is not true that one class always dominates and another one is always dominated, but where, from time to time, in ever changing power relations, the power of one overcomes the power of the other. This can take place independently of the institutional forms of power, and independently of the name under which the formal structure of society appears to the outside (whether it be called capitalistic or socialist) according to the ancient language dating back to the origins of our science. This is an historically rich episode of a strong synthesis of fundamental facts of the past: of decisive elements that the class-struggle had hitherto disorderedly accumulated. It is politically charged with a future not yet even scratched by the attacks of a labor movement which has succeeded in reaching that point, but has not been able to go beyond it. These 14 years between 1933 and 1947 in the United States are an historical fact of capital which is at the same time an action of labor politics. All that we had found separated in different periods and in different countries before this epoch we find here once again unified in a

unique and complex network of facts and thoughts: the relation between struggles and capital's political initiative, between struggles and science, between struggles and labor organization, i.e., the Progressive Era, Marshall's Age, the epoch of social-democracy. Here they merge and recognize each other as separate parts of one whole precisely during these years in the U.S. where we see the conclusion of a classical phase of the class struggle which goes from after-Marx to before our actual possibilities of movement. To depart from the labor struggles in order to grasp the various levels of social development such as the state, science and organization, is something learned all of a sudden in these events. Afterwards, the labor struggle will always add itself to these levels taken together. This will be our real starting point both for analysis as well as class activity. But let us elaborate in a more extended way these concepts whose obscurity is not just apparent.

Marx in Detroit

Actually, we have had capital's great initiative only once; not by accident it took place after the greatest crisis of its system, within the most advanced labor struggles of its history. Maybe it is an exaggeration to claim with Rexford G. Tugwell that on March 4, 1933, the alternative was between an orderly revolution, "a peaceful and rapid departure from past concepts,"¹⁸ and a violent revolution against the capitalist structure. It may be more accurate to claim that there was only one very original obligatory road open which, compared to the miserable institutional events of contemporary society, appears today as a genuine "capitalist revolution." It is not a revolution *against* capital's structures, but *of* these structures by a political initiative which possessed them — or which has tried to possess them — from the vantage point of a new strategy. As H.G. Wells has written of Roosevelt: "He is continuously revolutionary without ever provoking a stark revolutionary crisis."¹⁹ And C.G. Jung simply defined him as "a force."²⁰ In his walk from Hyde Park on the Hudson to the White House, the "happy warrior" used to choose the conditions of his battle. That Roosevelt represented the interest of the most advanced capital in a given moment, needs no demonstration. The same goes for the claim that politics mediated through him opposite forces within his class, between mad and moderate new dealers, while we could further develop from the labor viewpoint the trajectory of this revolution of capital that grows from 1933 to 1938, and then begins to fall. What must be critically examined, however, is the relation between American class struggles and progressive economic neo-nationalism, along with the relation between the historical isolationism of the American labor struggles and Keynesian national self-sufficiency applied to the first New Deal. Generally speaking, we must realize that there the revolutionary form of capitalist initiative

18. *Ibid.*, p. 22.

19. *Ibid.*, p. 588.

20. *Ibid.*, p. 576.

has a working-class content and acquires such a form by virtue of this content. Furthermore, through their struggles, the workers succeed in pitting capital against the capitalists (the State formally belonging to all against the real interest of the few) and, therefore, the labor conquest of their own organizational domain is at the expense of the class adversary. All of these problems must be dealt with in an investigation that starts from history, passes through theory, and arrives at politics. In fact, within the New Deal itself, a national labor policy towards labor came about rather late. Busy with the Emergency Banking Act, the Agricultural Adjustment Act and the Tennessee Valley Authority Act, during the famous One Hundred Days the administration did not deal with either industry or labor. Paragraph 7 was, of course, the spark. But it took the great struggles of 1933 and 1934 in Minneapolis, San Francisco, Toledo, the company town of Kohler, Georgia, and the armed clash in Rhode Island, to stimulate capital's first labor-law, with the workers no longer in the juridical position of a subordinate class. The law was called "unfair" because it stipulated employers' obligations, but not labor's. Senator Wagner's answer to this was: "No one would assail a traffic law because it regulates the speed at which automobiles run and not the speed at which people walk."²¹ Roosevelt and the New Dealers had, more or less clearly, understood that an economically advanced society cannot be politically backward. If it remains backward, there will come a crisis, the blocking of the system's functioning mechanism and a generally anti-capitalist revolutionary situation. According to Leuchtenburg, "The New Dealers were convinced that the Depression was the result not simply of an economic breakdown but of a political collapse; hence, they sought new political instrumentalities."²² In addition, "The reformers of the 30s abandoned the old Emersonian hope of reforming man, and sought only to transform institutions." In this sense, Roosevelt's experiment was "revolutionary" in the traditional bourgeois sense of adaptation of the state machinery to society's developmental needs, of institutional up-dating with respect to economic growth. Yet, there is an important difference. We no longer have the dominating presence of ideology as the internal nexus of practical politics. The New Dealers worried about promoting buying power as the springboard to further development, they called welfare projects labor-power conserving measures, spoke of work for the unemployed, of markets for farmers, of international commerce for industrialists, of national finance to bankers. The conservatives were the ones who expressed moral indignation against injustices added onto injustices. Roosevelt's "courageous and tenacious experimentation" is not to be confused with the Jeffersonian and Jacksonian American progressive tradition subsequently picked up by Theodore Roosevelt and Wilson. Here we have a political leap, a pragmatic shift consciously approaching cynicism, an anti-ideological effort and an aggressive anti-humanitarian

21. *Ibid.*, p. 404.

22. William E. Leuchtenburg, "The Roosevelt Reconstruction," in Leuchtenburg, ed., *Franklin D. Roosevelt: A Personal Profile* (New York, 1967), pp. 247-248.

charge behind which labor's hand can be seen pulling the strings. Thurman Arnold was responsible for the anti-trust program. His polemic aimed precisely at the progressivism of laws which, from the Sherman Act on, and in the form of what Andrew Shonfield called a "national religion," aimed at the "illegality" of industrial organizations rather than seeking economic objectives. *The Folklore of Capitalism* was thus a purely ideological struggle against the power of the industrial empire. "Preaching against it, however, simply resulted in counterpreaching... the reformers themselves were caught in the same creeds which supported the institutions they were trying to reform. Obsessed with a moral attitude toward society, they thought in Utopias. They were interested in systems of government. Philosophy was for them more important than opportunism and so they achieved in the end philosophy rather than opportunity."²³ Richard Hofstadter has written: "Respectable people with humanitarian values, Arnold thought, had characteristically made the mistake of ignoring the fact that 'it is not logic but organizations which rule in organized society'."²⁴ The labor struggle within the New Deal had forced capitalism to put its cards on the table. After the crisis had forced it to become politically modern, the advanced labor struggled forced it to reveal its class-character even to the outside. This is not altogether irrelevant, if the aim is to hit the true adversary and not its ideological shadow. Again Thurman Arnold, in *The Symbols of Government*, claims that the leaders of industrial organizations, by ignoring legal, humanitarian and economic principles, "built on their mistakes, their action was opportunistic, they experimented with human material and with little regard for social justice. Yet they raised the level of productive capacity beyond the dreams of their fathers."²⁵ The great capitalist initiative has been a labor victory if only in that it allows us a crude knowledge of the enemy in its highest historical point. Afterwards it becomes useless to condemn it: our only advantage is in using it.

In the Summer of 1933 Keynes published an article in the *Daily Mail* headlined "President Roosevelt is Magnificently Right." The thunderbolt had come from the United States: there would be no stabilization of the dollar in gold. "Thus Keynes congratulated [Roosevelt]... for cutting through cobwebs with such boldness. The message, said Keynes, was 'a challenge to us to decide whether we propose to tread the old, unfortunate ways, or to explore new paths; paths new to statesmen and to bankers, but not new to thought'..."²⁶ He was actually referring to himself. His long fight against the gold standard, this fallen prince belonging to pre-war concepts, this "bourbon residue," finally found an authoritative voice even willing to listen. England's "return to gold" had been the clue that had allowed him to foresee two of capital's great mishaps: the 1926 English

23. Hofstadter, *op.cit.*, p. 321.

24. Thurman Arnold, *The Folklore of Capitalism*, as quoted in Hofstadter, *op.cit.*, p. 322.

25. Hofstadter, *op.cit.*, p. 321.

26. Schlesinger, *op.cit.*, p. 223.

crisis, and the 1929 world-wide crash. The decision to re-value the pound by 10% meant to "reduce by two shillings per pound" the workers' wage. "The Economic Consequences of Mr. Churchill" will be found in the political strike, which from the miners would broaden to the English working class, just a year after Keynes' prophecies: "The working classes cannot be expected to understand, better than Cabinet Ministers, what is happening. Those who are attacked first are faced with a depression of their standard of life, because the cost of living will not fall until all others have been successfully attacked too; and, therefore, they are justified in defending themselves. . . Therefore they are bound to resist so long as they can; and it must be war, until those who are economically weakest are beaten to the ground."²⁷ The other prophecy with considerably more terrifying consequences, would have to wait only a few years to come true; "The gold standard, with its dependence on pure chance, its faith in 'automatic adjustments,' and its general regardlessness of social detail, is an essential emblem and idol of those who sit in the top tier of the machine. I think that they are immensely rash in their regardlessness, in their vague optimism and comfortable belief that nothing really serious ever happens. Nine times out of ten, nothing really serious does happen. . . But we run the risk of the tenth time (and are stupid in the bargain) if we continue to apply the principles of an Economics which was worked out on the hypotheses of *laissez-faire* and free competition to a society which is rapidly abandoning these hypotheses." These are words written in 1925: the old principle stood, and the "tenth case" resulted. It was a great depression. "We were not previously deceived. But today we have involved ourselves in a colossal muddle, having blundered in the control of a delicate machine the working of which we do not understand."²⁹ Threatened, capital's high science shows courage comparable to the great U.S. political initiative. Keynes comes to the United States in June 1931 and again in June 1934. In the meantime, on December 31, 1931 the *New York Times* published his open letter to Roosevelt. Here the president was presented as the trustee of a "reasoned experiment within the framework of the existing social system."³⁰ If it does not succeed, national progress will be blocked while orthodoxy and revolution will end up fighting each other. But if it does succeed, "new and bolder methods will be tried everywhere, and we may date the first chapter of a new economic era."³¹ The two see eye to eye. Keynes would minutely describe the president's hand, while Roosevelt would write to Felix Frankfurter: "I had a grand talk with K. and liked him immensely."³² One of the two must have said, as Napoleon with Goethe,

27. John Maynard Keynes, *Essays in Persuasion* (New York, 1932), pp. 247-248.

28. *Ibid.*, p. 262.

29. *Ibid.*, pp. 135-136.

30. As quoted in Ray Ferber Harrod, *The Life of John Maynard Keynes* (New York, 1951), p. 447.

31. *Ibid.*

32. *Ibid.*, p. 448.

"voilà un homme!" Harrod tells us that there was disagreement about the direct influence of Keynes' theories on Roosevelt's actions: "It has been suggested that Keynes gave him the courage to conduct his operations on a grand scale. Keynes would certainly have urged that; yet it may be thought that the President's own instincts would lead him in the same direction."³³ It is more likely that Keynes' influence upon American developments passed through somewhat different channels: "not through the President, but through the clever back-room boys who had their ears to the ground."³⁴ But this is not the crucial point. There is no doubt that, through one channel or another, Keynes reached the United States. What needs to be shown, instead, is that the political situation of the American economy and the U.S. class struggle influenced the formation of the central nucleus of Keynes' thought much more than is generally explicitly granted by those who see this as a scientific danger. Writing about Keynes, Samuelson has said that, like capital, science grows by gradual increments contributed by individual scientists. Like capital, science has no boundaries. We always know the maternal brain which makes the discovery. Yet, the true identity of the father of the conception remains obscure and mysterious even to the discoverer. The seeds are many because the historical factual framework is complex. Lord Keynes, who E.A.G. Robinson has called "a Cambridge product from head to toe" — something immediately evident to everyone — is actually an American economist. It has been asked whether there would have been a *General Theory* without Keynes, and the answer has been easily negative. But that was not the right question. The "Preface" of the original English edition of the *General Theory* is dated December 13, 1935. This is the same fabulous year which had already produced the Wagner Act and the CIO. Yet, it is during the previous decade that the elements of the "Keynesian revolution" mature and explode. Already in 1924, in an article in *The Nation* concerning the debate opened by Lloyd George concerning a program of public works as the remedy to unemployment, he showed the way towards a new conception of political economy. Two years later, in "The End of *Laissez-Faire*," he brilliantly outlined fundamental concepts for the future. "We need a new set of convictions which spring naturally from a candid examination of our own inner feelings in relation to the outside facts."³⁵ Yet, "Europe lacks the means, America the will, to make a move."³⁶ From the 1926 articles on the Lancashire cotton industry to the early 1929 pamphlet "Can Lloyd George Do It?" and "The Means of Prosperity" of 1933, he continually reflects while checking whether others are up to anything. Only when it becomes evident that the U.S. is willing to start moving do we finally have the programmatic exposition of the theory. Science begins to unfold its discoveries in a logical sequence, and becomes fixed and objective in a new classical text devoted to an

33. *Ibid.*, p. 449.

34. *Ibid.*, p. 450.

35. Keynes, *Essays in Persuasion*, *op.cit.*, p. 322.

36. *Ibid.*

altogether anti-classic conceptualization of economics. The really serious question is whether it was possible to have a *General Theory* without the great capitalist initiative, and with all that it followed: the crisis, the struggles, and the U.S. — the land of both crises and struggles. Keynes used to say: "The battery is not working, how will we be able to start?" If it was possible to have a new theory or political economy without the more modern capital's first practical moves within the most advanced labor domain, who comes first, Roosevelt or Keynes? The question is whether the new ideas could obtain such a rapid success without the destructive lesson of things which had already cleared the way of the most difficult dogma of the classical theory to die: "the difficulty does not rest in the new ideas, but in avoiding old ones." The *Treatise on Money* was really the product of a refined expert of monetary problems, and the last of the Cambridge economists from Malthus on, in the same way that we saw Victorian England exhibit scientific pompousness in Marshall's *Principles*. But behind the *General Theory* the horizon broadens. This could not have been produced by the great English science of the past because it was produced against it. Furthermore, English present history was already ruled out of any ambition in the production of *another* science. Thus, we are beyond the fruit of the island and within a true ocean of very distant influences. We could call it a product of capital's world situation, but this would be another general way of saying specifically that it was a product of the 1930 class situation in the U.S. Only in this fashion can we reconstruct the relation between struggles and science in a higher level of development. We must not superficially seek in Keynes the explicit terms of the labor question. In his *How to Pay for the War*, he wrote that he never sought to deal directly with the problem of wages. His approach was, rather, indirect. In Marshall's age, capital's high science could still ideologically gossip with the working classes' unrecognized good qualities. At this point it is no longer possible. Here we have come to the nitty-gritty, no matter how we want to translate the section of "A Short View of Russia" concerning the "boorish proletariat" contraposed to the bourgeois and the intellectual who are the "quality in life."³⁷ Once he had written that there was no state of mind more painful than one of continuous doubt, although the ability to have one he considered an indication of political ability. He had no doubts concerning his social position, and he had no intention of showing that he did. Yet, contrary to what is commonly believed, he was a better politician than many professional ones. He personally practiced his 1933 motto aimed at the beginning reformers of the time to the effect that when a doctrinaire goes into action he must forget his doctrine. If Keynes could have directed politically the "capitalist revolution" as the theoretician of the New Deal, he would have been an American Lenin.

At the time of the first great recruitment to industrial unionism one could read on CIO billboards: "President Roosevelt wants you to join the union." Also, Roosevelt's personal efforts to reestablish union solidarity

37. Keynes, *Essays in Persuasion*, *op.cit.*, p. 300.

after the historical 1935 split are well known. The "great initiative" needed an interlocutor from the labor side to maneuver within capital. But even before that, it needed a *new* interlocutor. Without the New Deal there would have been no CIO — or it would have come about much later. Yet, the success of the new capitalist policy urgently required the updating of the tools of the labor organization. Most of all, it needed an extension of its control to the new working class in the growing mass-production industries. But the opposite is also true. The immediate and impressive success of the CIO can be explained only by means of the general political atmosphere which had come to prevail in the land with the weakness of the individual capitalists, and the inadequacies of the old labor organization. The new union leaders knew this, and this is why they used the name of the U.S. president in their recruiting campaigns. The password "organize the unorganized" was acceptable to both modern capitalism and the new union. In recent history there are these moments of elective affinity between the two classes when, each in its own camp, find themselves internally divided and must simultaneously resolve problems of strategic location and of organizational restructuring. In such a situation we see that the most advanced part of capital extends its hands to the most advanced part of the working class and — unlike what could be thought from a sectarian viewpoint — the working class does not reject the offer and the illicit relation, but happily exploits it for its own gains. Thus, the interests of the two opposed classes occasionally can coincide outside of the traditional sense of formal political interest, when all fought together in the interest of democracy. The content of the interest now acquires a material dimension: the call is no longer to one's right, but to others' duties. When he spoke of labor demanding a voice in the determination of industrial policy, John L. Lewis argued that labor "wants a place at the council table when decisions are made that affect the amount of food that the family of a worker may eat, the extent of the education of his children, the kind and amount of clothing they shall wear, the few pleasures they may enjoy."³⁸ He screamed: thirty million workers want the foundation of a democracy of labor, but they also demand "their participation in its concrete fruits." Through this path and with these words, the mass of unskilled workers, immigrants, blacks and women flocked into the new industrial unionism. Pelling wrote that: "In 1933 the AFL had seemed to be little more than 'associations of coffin societies' as its critics called it — a group of artisans' benefit societies run by old men whose only anxiety was to retain the friendship of management."³⁹ It is the classical picture of any old organization. And here, on the other hand, is the face of a typical new organization at its beginnings. Writes Schlesinger: "In the wake of the CIO drive an almost evangelical fervor began to sweep over large sections of American labor. The awakening of 1936 had, indeed, many of the aspects of a revival. Organizers labored endless hours and braved unknown perils, like

38. Quoted in Schlesinger, *op.cit.*, p. 418.

39. Henry Pelling, *American Labor* (Chicago, 1960), p. 178.

missionaries; workers crowded labor halls to hear the new gospel; new locals sprang out of communion and dedication to pass on the good news ... it was, to a great extent, a singing movement.”⁴⁰ Singing “Mommy’s Little Baby Loves a Union Shop,” towards the end of 1937 the CIO had 3,700,000 members against the 3,400,000 of the AFL. It included 600,000 miners, 400,000 auto workers, 375,000 steel workers, 300,000 textile workers, 250,000 garment workers, and 100,000 farm and other workers from associated industries. It had organization for each industry without regard for qualifications or category distinctions. This was the objective political import contained in the form of the organizational tool. When Hillman, along with Dubinsky, “a socialist American style,” says: “Our program was not a program for labor alone,” he does not give the correct political meaning of the operation of the new organization. When through the offices of the CIO Lewis contributed to the formation of the American Labor Party in New York, and a Labor’s Non-Partisan League to support Roosevelt’s re-election — not even this was a true political outcome which could coherently derive from the level of the American struggles. The political clue for the class reconstruction at labor’s interest was found when the Steel Workers Organizing Committee was recognized as the organized agent for the collective bargaining in all U.S. Steel Corporation factories, when, with the exception of Ford, the sit-down strike bent the automobile giants, and the new figure of the mass-worker — the unskilled worker — entered the fundamental domain of organization and thus saw himself as an alternative to the rest of society. In this respect, the history of the CIO as the experience of political organization of American workers is very instructive — even if substantially ambiguous and very brief in duration. When the Committee for Industrial Organization in 1938 changed its name into Congress of Industrial Organization, the heroic period, the aggressive moment and the epoch of the radical rupture with the tradition had already passed. It is not an accident that during the same year, after the Fair Labor Standards Act, the New Deal begins to decline: it abandoned the gallop of its innovative charge. It already carried out its historical function. The ambiguity of a political solution which does not go beyond unions, is not only typical of the CIO but of American labor organization in general. If we look for the Party, we will not find more than “groups” of intellectuals cultivating their own gardens. But if we look at the results we see that what was attained by the new industrial unionism within the New Deal has never been obtained by any political party of the working class. The American workers are still living off the results of these historical conquests. This is something that scandalizes the priests of revolution: the world’s best paid working class has won once and has allowed itself the luxury of enjoying the fruits of victory. The early CIO is the workers’ most advanced experiment of political organization hitherto undertaken in the U.S. To succeed where the Knights of Labor, Eugene Debs, the American Railway Union, the IWW, DeLeon and the communists had failed, was not an easy task. The first industrial unionism

40. Schlesinger, *op.cit.*, p. 416.

succeeded, and imposed, within a specific situation, a level of organization perfectly adequate to the struggling class. An organization should not be judged in terms of long-range developments, but in terms of its political function at the time of its birth. The relation between struggles and organization within the rising phase of the New Deal could only be posed in political terms. The new union was a political fact for three reasons: because it came out of true and advanced labor struggles, because it answered a need for a new organization of a new working class, and because it met capital's great initiative. We must not remain prisoner of the names given to things. A party can call itself a "political organization of the working class" and actually be an undertakers' association, or a mutual help society, as was the AFL in 1933, while a union can restrict its programs to immediate labor interest and, precisely because of this, perform the function of a party, or the political task of clashing with the system. Nowhere is the working class more free and less biased than when dealing with organization. It knows that organization can never win by itself, but only when the capitalist helps it. It knows that it must aim at a specific stratum of industrial workers: precisely those who pull the rope of the struggle at that time. It knows that these struggles must depart from factory labor conditions and engulf the social distribution of national wealth. In this sense, the tradition of organization of American workers is the most politicized in the world because the impact of their struggles is the closest to the economic defeat of the adversary: the closest not to the conquest of power to construct in a vacuum another society, but to the explosion of wage in order to subalternate capital and the capitalists within this very society. Adolph Strasser used to say that they had no goals for the future, but proceeded from day to day struggling only for immediate objectives. Samuel Gompers would claim increasingly more of the product of labor, while John L. Lewis was after organization. For those who know how to read, there is a trajectory from the first to the last of the three. From the International Cigar Makers' Union to the AFL to the CIO, the organization of American workers must not lead us to condemn them as we have been doing, but to clarify one of our problems. Behind this choice of a particular organization can be hidden today's answer to the eternal question: generally speaking, what is the working class?

Having framed the problem this way, it is here that the orthodox Marxist approach to the labor problem turns out to be seriously inadequate. Occasionally, we suddenly realize the primitive and archaic character of our linguistic articulations which bind our thoughts to conditions of expression too elementary to catch the complexity of modern social relations. We are still stuck with a whole conceptual apparatus which has not progressed over time: it has not been renewed and transformed with the growth of the struggles. It has not been updated in terms of political events. It has remained stuck describing the prehistorical conditions of our class, even when its history can almost be said to have been over. Today it is almost impossible to read the class struggle in America through Marx. There is an important task to perform, dealing with a new history or a new theory: to write a chapter on Marx's fate in

the U.S. What has happened in the U.S. is the opposite of what has happened in Western Europe. In the U.S., capital's political initiative, its science and labor organizations have always seen Marx indirectly, through the mediation of the class struggle.

In Western Europe we have always seen the class struggle through the mediation of Marxism. The American situation has been objectively Marxian. For at least half a century, up to the post-war period, there Marx could be read in things, i.e., in the struggles, and in the answers provoked by their requirements. We must not look through Marx's books for an interpretation of American labor struggles. Rather, in those struggles we may find the most exact interpretation of the most advanced of Marx's texts. An American reading of *Capital* and of the *Grundrisse* is recommended to those having a taste for genius and critical discovery. In Europe Marx has had to mediate capital's advanced strategic perspective with backward situations which were different for each nation. In Europe Marx has had to be read ideologically, and applied tactically so to tie the advanced with the backward points of the system. This is why there has been a creative development of Marxism only where the labor organization has itself filled the vacuum of practical political activity which is always the relation between what moves ahead on its own, and what follows only to the extent that it is forced to do so. Thus, Marx and the party seem to have shared the same fate and function. The American working class has done without both. Yet, it has not done without its own organizational tools, nor without its own science. There is an American history of organizations that are not parties which are, nonetheless, genuine labor organizations. There is an American trend of genuine labor thought which, however, is not Marxist. A strong working class is not so jealous of its own autonomy as subaltern groups [*ceti subalterni*] seeking a revolutionary outcome for their own desperate situation. A strong working class is able to utilize as a form of its own organization the very capitalist organization of industrial labor. It can capture the results of capital's intellectuals sympathizing with workers as the form of its own science. There is a quote from John Roger Commons which is worth citing in full. Two years earlier Taylor had published *Principles of the Scientific Organization of Labor*, and his testimony to Congress' special commission was given in 1912. Commons was enthusiastic because, finally, the workers' psychology was analyzed with experiments as accurate as those performed in chemistry with different types of carbon: "...a new engineering profession springs up with industrial psychology as its underlying science. Wonderful and interesting are these advances in harnessing the forces of human nature to the production of wealth."⁴¹ In this field, the pioneers can be compared to the great inventors of the turbine and the dynamo, because they seek to reduce costs while multiplying efficiency. "But in doing so there are doing exactly the things that forces labor to become class-conscious. While a man retains individuality, he is more or less proof against class feeling. He is self-conscious... But when his individuality is

41. John R. Commons, *Labor and Administration* (New York, 1913), p. 74.

scientifically measured off in aliquot parts and each part is threatened with substitution by identical parts of other men, then his sense of superiority is gone. He and his fellow-workmen compete with each other, not as whole men, but as units of output. . . Both are ripe to recognize their solidarity, and to agree not to compete. And this is the essential thing in class conflict.”⁴² We have not yet reached the true institutionalism of the Wisconsin school. But we are already beyond a precise awareness of the political consequences that the scientific organization of work provokes in the class struggle within capital. There is a long line of thought and of practical experimentation that goes from the German *Sozialpolitik* to the American technique of *Industrial Government*. It would be worth following the path from Karl Knies’ “old” historical school to Gustav Schmoller’s “young” historical school, to its American transplant by Richard T. Ely, through Veblen’s rich and penetrating work, up to the institutionalists’ “Wisconsin theory:” Adams, Commons, Selig Perlman, and maybe even Tannenbaum. The study of work explodes, and has to be exploded at some point, within this line of investigation concerning the working class. *Task management* and, more generally, *Industrial Engineering* — the technology of industrial production as the scientific organization of labor — is the other side of the realistic articulation of the pragmatic approach to the moment of labor struggle or, as they put it, to the moment of conflict, as the basis of the various forms of class organization. Thus, we can better understand the “look and see” principle, the re-elaboration of the Veblenian concepts of “efficiency” and “scarcity,” and their possible construction through the corrective of “collective action.” New Dealers *avant la lettre*, the institutionalists found themselves ready not only to accept, but also to theorize Roosevelt’s program. In his article on “The Principles of Collective Bargaining,” published in 1936, Perlman argued that the collective contract was less interesting for the statistical algebra of economic trends than the organizational discipline and the formation of the managers. “Job consciousness,” or the “communism of economic occasions,” the natural economic pessimism of labor groups, the absolute gap between labor’s and the political-ideological mentality, are not just brilliant definitions — the brilliant fruit of brilliant intellects. They are precious factual observations of what has been the concrete historical condition of a working class in the country of generalized capital. We all have in our past the original sin of having considered the working class as “an abstract mass in the grip of abstract forces.” The polemical rejection which has destroyed at its very inception the figure of the Marxist intellectual and which has always prevented him from intervening in the real struggles of the American labor movement, is one of the very rare traditions of the past which we will have to appropriate in the immediate future. If it is impossible to present the worker as the “Knight of the ideal” even by falsifying the data, then the labor scientist cannot appear as the teacher of revolutionary morality. Perlman has written that Commons was completely free of the most insidious kind of snobbery: to laud with condescension one’s superior brain to the cause of the weak.

42. *Ibid.*, p. 75.

Sichtbar machen

Sichtbar machen means to make visible: to say clearly in order to be understood, at the risk of not interpreting very well things intrinsically obscure. Despite the difficult title, this section is the easiest of all. We must avoid the temptation to deal with problems in dogmatic terms. Today, it is better to emphasize the critical terms of the situation and to initially inscribe the open problematic framework within which the investigation is to be undertaken. It is useless to look for easy paths and shortcuts. Today, in order to understand, we must start from the most difficult points so to explain simple things through more complex ones. As already mentioned, for a contemporary Marxist there is a point of no return in the investigation. It is this modern sphinx, this obscure enigma, this social thing-in-itself which we know exists but which cannot be known: the *American working class*. Here we must focus our sights in order to see. There is a form of restricted Eurocentrism which must be condemned: to refer only to the European revolutionary experiences whenever we seek or mention models of correct behavior in the struggle. That the history of the working class has had its epicenter in Europe and in Russia is a legend to be exploded. It is a 19th century vision which has remained to this day in virtue of those last splendid rays of the 19th century labor movement which, in Western Europe, are represented by the years immediately following WW I and the early 1920s. We talk about two major trends of the labor movement: social-democracy and communism. Yet, when compared to the American labor movement, in spite of their apparent irreducible diversity, both of them turn out to be connected. To unite the situation of the English or German working class to that of the Italian or French working class, one need only contrapose all of them to the situation of the U.S. working class. These are the two major trends in the history of labor struggles and the only ulterior particular viewpoint possible within the general labor viewpoint. It is not a matter of establishing a hierarchy of nobility, nor of compiling a list of preferences for one or the other. We must see how they play respectively in our context of class struggle, how they help us understand the facts, and how they advance, suggest, or exclude organizational tools in the factory. We must see them in relation to our possible effect upon state power. From this viewpoint, the traditional disadvantages of the American class situation become opportunities for us. What is different in the American labor struggles is precisely what remains to be done on the old continent. No, we do not want to reiterate the Marxian concept of the most advanced point explaining and outlining the most backward. It would be too easy. We have indicated elsewhere how this explanation hides the danger of political opportunism and turns out to be a manifestation of that passive waiting for events, which disarms the labor side politically while placing it in the historical rear guard. If we want to depart from the American labor struggles we must find other reasons. The Marxist analysis has not left us even a scheme of narratives of the major struggles, nor a model of how to judge major events. Although this seems to be a grave handicap to

research, on closer analysis it may turn out to be an advantage. We have not ourselves hidden reality under ideological veils. Such veils would be the most difficult to tear since it is easy to criticize the ideology of the adversary, while it is difficult and occasionally impossible to criticize our own ideologies. The history of the European working class is literally submerged under the ideas of Marxist intellectuals. But the history of the American working class is still naked, without anyone ever having thought it out. The less critique of ideology needed, the easier it is to further scientific discoveries. The smaller the contribution of leftist culture, the more the class pregnancy of a given social reality comes forward. Today, the labor struggles need a *new standard of measurement* because the old one is no longer either adequate or useful. A *new standard of judgment* has to be applied to the labor data [*dati operai*] of a given situation. We need a standard rotating around the present in motion. We need a standard contained in that political type of industrial reality which marks the steps, the path, and the development of contemporary society. We must avoid measuring the present with the past, labor struggles with proletarian movements. We must not compare today's reality with the earlier "glory" to which we are sentimentally bound. Also, we must avoid judging the present with the yardstick of the future and refuse modern management's invitation to turn labor struggles into a kind of cybernetic — a psycho-industrial automatism at the service of collective profit. Today we must shy away from the two easy temptations: the historical tradition and technological futurism.

In his *Economics*, Samuelson opens the chapter on competitive wages and collective bargaining with a quote from the New Testament: "The labourer is worth of his hire,"⁴³ and concludes with a section on the unresolved problems of labor, strikes, rising costs, and structural unemployment. According to him, the ability to strike succeeds in obtaining wage increases higher than increases in physical productivity. To keep away costly strikes through voluntary or binding arbitration leads to similar wage increases. He proceeds to say that, in the post-war years, in some countries, there has been an attempt to introduce a new element to collective bargaining and to macroeconomic policy, in order to maintain general increases in wages and in other monetary income to a rate compatible with the increase in productivity and with stable prices. But with respect to the control of the various types of wage dynamics, the mixed economy has become stabilized around a level of *imperfect planning*. If an income policy that would prevent inflation from sales through rising costs could actually be found, the ice block of structural unemployment could be dissolved through a growing collective demand reinforced by programs of retraining and relocation. But the trouble is that every point of the economic cycle "seems to have...a disturbing tendency." This is nothing new in capitalist development. Every downward turn of the cycle, it is provoked, preceded or followed by a determinate

43. Paul H. Samuelson, *Economics* (New York, 1970), p. 547. Subsequent quotes have been omitted from later editions of Samuelson's work.

high development of labor struggles. Such a downward turn is represented by a particular moment of the class struggle, and it is difficult to figure out *why* a certain development took place, *how* it developed and, above all, which of the two classes can be said to have ultimately won. The economist says that every point of the economic cycle has many tendencies which develop it and *one* that upsets it. In the best of cases, the entrepreneur turns to the economist in order to know which is the upsetting one. "The age of Knighthood is over..." What once seemed absolutely right, has become only relatively *economic*. What is closer to that class truth coinciding with a particular class interest, the workers' universal claim to a just wage or the distribution of income in a given country according to "Lorenz' curve"? This must be preliminarily decided. In its high level of development, capital has already substituted the precision work of computers for the rough approximation of professional ideologists. The "Philips curve" for the U.S. is decidedly "bad," because it intersects the axis of price stability only at a high level of unemployment. The cost-push has become an institutional problem because the capitalist control of wages is yet to come. The Nobel laureate Samuelson, with his high science, after having observed the Dutch, British, Italian, Canadian, and American experience, left the entire question wide open.

Yet, we must not comfortably define as insoluble every problem that capital finds in the path of its development. We must not immediately say: you cannot resolve it, only we can solve it for you. A problem for capital is, first of all, a terrain for labor struggle. Its economic terrain is our political terrain. While capital looks for a solution, we are only interested in increasing our organizational strength. We know that, one after the other, all of capital's economic problems can be resolved. We also know that what appears here as an insoluble contradiction, elsewhere may have been already overcome or may have become another contradiction. From the labor viewpoint, the premise for a powerful and efficient class struggle moving in the sense of a positive violence is *the specific knowledge of the specific contradiction* for capital in a given moment, in a given situation. A labor victory forces the backward owner to get even, in various ways, on the simple quantity of the new part of income that labor has gained. Sometimes this happens for lack of economic margins and other times for lack of political intelligence. This is not the real point where the labor victory is turned into a defeat. In fact, such a crude answer by the owners only promotes the repetition of a cycle of struggles at the same level of the earlier one, with a higher charge of spontaneity and therefore a lesser need of organization. On this path, the movement of the struggles is easier, mobilization is both great and simple, and the moment of generalization is immediate. But the new contents and the new forms of the labor attack do not grow. Unless this massive obstacle to a frontal clash on a backward terrain is not first subjectively removed from the class forces, there will be no new labor struggles. In other instances, however the owners' answer can be advanced. After a partial defeat even following a simple contractual battle, capital is violently pushed to having to come to terms with itself, i.e., to reconsider precisely the quality of its

development, to repropose the problem of the relation with the class adversary not in a direct form, but mediated by a type of general initiative which involves the reorganization of the productive process, the restructuring of the market, rationalization at the factory, and the planning of society. Here it seeks help from technology and politics in new ways of using labor, and new forms to exercise authority. Here is the real great danger of a possible labor defeat. The workers have won the bargaining battle, and precisely because of this they can lose the war of the class struggle over an occasionally long historical period. This is why America can teach Europe. They can lose the war if the level of organization fails to quickly move forward to the new contents of the new struggles, if the consciousness of the movement, i.e., the already organized structure of the class, fails to immediately grasp the meaning of the coming capitalist initiative. Latecomers lose. It is not a matter of hurrying preparations for an answer to the owner's moves. It is first of all a matter of foreseeing these moves and in some cases even of suggesting them. But it is always a matter of anticipating them with the forms of one's own organization in order to render it not only unproductive for capitalist goals, but productive for the labor goals. For our part, the only needed answer is to the labor demand for a new organization at every new level of the clash. Capital's move, its present initiative, both on the productive level as well as in the sky of formal policy, must itself be the *answer*. It must be the attempt to always resist the different forms assumed by labor's attack imperceptibly recognized and, therefore, because of its historical nature and political choice, *unpredictable* from the organizational viewpoint.

Lenin used to say: there are different kinds of spontaneity. Today we say: there are different kinds of organizations. But even before all this, we must say: there are different kinds of struggles. A complete typology of labor struggles, with appropriate marginal comments, is a manual for the perfect unionist which we do not wish to put into circulation. In the ultimate context of the clash of classes in the Western world, the labor struggle has isolated some fundamental types which continually reappear by always raising the meaning of the contents and the dimension of the forces placed in movement. There is the great contemporary fact of the contractual struggle. For us it is a lived reality. It is a new type of temporal event which has already entered in the common usage of the man in the street. Yet, before it had already forcibly introduced itself in the normal existence of the average worker, in the calculations of the economist, in the projects of the politician, and in the mechanism of material functioning of all society. When, after a long and uncertain path, capital stumbles on the idea of collective bargaining with its labor-force guaranteed by state laws, an epoch of the class struggle ends and another one begins. Collective bargaining discriminates between different historical levels of development and capitalism. It is more relevant in this respect than just the birth of finance capital, the various "stages" of imperialism, the so-called "ages" of monopolies. Here we have an example of that *labor history of capital* which is its actual history, and in front of which

everything else is ideological legend, a dream of visionaries, the unconscious ability to mislead, or the wanted will to error on the part of weak subaltern intellectuals. "A New Way of Settling Labor Disputes," according to the title of an old article of Commons, is what forces capital to a qualitative leap towards its mature existence. The dynamic of social class relations finds in the collective contract a form of periodic stabilization. The price of labor is fixed and remains so for a certain period of time: a new system of industrial jurisprudence and a new mechanism of representation of labor interests begin to operate. According to Dunlop's trajectory, collective bargaining is followed by an industrial relations system with three actors: managers for the enterprise, unions for the workers, and various means of institutional mediation for the government. But the changing, critical and contradictory reality of the contractual struggle cannot be captured in the scheme of an abstract sub-system of a Parsonian variety. Here is the point. The contract is, first of all, *struggle for the contract*. The collective dimension of bargaining has rediscovered the collective nature of the struggle. As we move from the single factory to the entire industrial sector and to the category, the number of participants grow and the struggle of exclusively working masses comes to the fore. This is not a small detail. For too long a time and even today labor struggles and masses' struggles have been considered as mutually exclusive realities. As people in general, the working masses could have reincorporated the acting minority of vanguard groups, but failed to identify with their actions, dissolved their specific vindications in solutions of formal political demands, and moved the center of the clash from the factory to the streets, not against the state of always, but against the government of the moment. Even if it is not Sorel's myth of the general strike, but, in Luxemburg's sense, a struggle that precedes and *makes* the organization, the *Massenstreik* always ends up as an event for the movement not directly connected with the class. It takes on a class character only when the labor struggle assumes mass dimensions and the concrete concept of *laboring masses in struggle* is born in real social relations rather than merely in the sacred texts of the ideology. Here the concept of mass is not in the quantitative accumulation of many individual units under the same condition of the so-called exploitation, because, otherwise, the term "class" would be sufficient in its usual meaning of social statistics given to it by the Marxist tradition. Here it is a matter of a process of massification of the working class. It is a process of class growth of the workers and of internal homogenization of industrial labor power. If *politics* for us is labor struggle that leaps to increasingly higher levels of quality, and *history* is capital updating on this basis its technological and productive structures, its organization of work, its control and manipulative social instruments and substitutes, upon the objective suggestion of the class adversary, the increasingly obsolete parts of its power mechanism, then politics always precedes history. There is no possible process of class massification without first having reached a mass level of struggle. In other words, there is no true *class* growth of the workers without mass *labor* struggle. Collective bargaining lies precisely between massification of the struggle and massification of the class. We

don't start with the class: we come to it. Or better, we reach a new level of class composition. We begin with struggle. At the beginning the struggle will have the same characters that subsequently will result assigned to the class. It is not that before the mass labor struggle there was no working class. There was a different working class, in a lower level of development, with undoubtedly a lower degree of intensity of its internal composition, and with a shallower and less complex network of possible organization. It is an error to formalize a concept of "class" valid for all epochs of human history. It is an error even to define the class once and for all within the development of capitalist society. Workers and capital are not only classes contraposed to each other, but always changing economic realities, social formations, and political organizations. There are methodological problems to keep in mind here in the body of the investigation. Yet, this is not what must be stressed. As we have already indicated, we go from the struggle to the class: from the mass struggle to the massification of the class, but through the new reality, the new discovery, the new capitalist concept of collective contract. The labor struggle had already assumed mass-characters when capital forced it to become contractual struggle. Collective bargaining is a form of control. It is not an attempt to institutionalize the labor struggle in general, but that specific form which encompasses, binds, and unifies the immediate material interests of a compact nucleus of labor categories within the corresponding sector of capitalist production. When in the content of the vindications, in the form of mobilization and in the models of organization, it assumes mass-characters, the labor struggle runs the risk of losing its working class specificity. The original proletarian struggles, along with certain kinds of 19th century labor struggles of our own century, have not only run this risk, but they have fallen victim to it. When the labor struggle begins to assume mass-characters without ceasing to be based on the working class, i.e., when the mass struggle becomes a labor struggle without ceasing to be massified, it is the beginning of a new political period and therefore of a new history. In other words, that is the not too distant point of origin of a possible labor *new politics* and therefore of capital's first real *new economics*.

Labor's *new politics* is articulated by the American labor struggles in the 1930s. In their more limited quantitative horizon, the Italian struggles of the 1960s are the adequate reflex of this red sun that comes from the West. Here we face very important theoretical problems. We are not yet sufficiently mature to be able to prefigure the solution to a long and slow work of critical-historical investigation. For example, is it possible to abandon an "objective" definition of the working class? Is it possible to define as "working class" all those who subjectively struggle in the forms typical of the working class against capital from within the process of social production? Is it possible to finally separate the concept of working class from the concept of productive labor? And, in such a case, would it still remain connected to wages? The problem is to find new definitions of the "working class," but without abandoning the domain of objective analysis and without falling back in ideological traps. To evaporate the

objective materiality of the working class in pure subjective forms of anticapitalist struggles is a new ideological error of neo-extremism. Not only this, but to broaden the sociological borders of the working class in order to include in it all those struggling against capitalism from within it so to reach the quantitative majority of the social labor-force, or even of the active population, is a grave concession to the democratic tradition. On the other hand, to over-restrict these boundaries to the point of counting as workers "the few that count" can lead to the dangerous theorizing of the "acting minority." We must cautiously keep away from these extremes. In this case, the analysis of the borders must be an observation of the facts. The consequences will come later. Where the working class ends is not the beginning of capital. The book to which this article is a postscript tended to see workers and capital within capital. The discussion added by this postscript tends to see workers and capital within the working class. Thus, the more recent tendency is to consciously complicate the domain of investigation, in the hope that this will open the way to the most simple solution. Advanced capitalist society as capital today offers us a spectacle and gives us all the instruments to participate in this play of not just formal autonomies between political sphere and economic world, science and the short-term interest of capitalist production, between labor organization and class. The oversimplifications of economism — structure and superstructure — obtain only for the first phase of capitalism which resembles precapitalist societies too much to be seriously considered politically. And the voluntarism of pure politics — revolution at all costs — is, if possible, even further back. It is still utopian, chiliastic socialism: a modern medieval heresy, admitted by the pope, as the class-church. Mature capitalism is a complex, stratified, and contradictory society. Such a society has more than one center claiming to be the source of power and struggling for supremacy among themselves, although this struggle can never be definitely resolved within its framework. This is what the immediate past tells us. It is worth studying only in order to find out what there is to study afterwards, i.e., *now*. In fact, we must not confuse the two levels. Yesterday's American political situation is the historical Western-European present. We must know that we are living events already lived yet without any preconstituted outcomes, and without any sure conclusions. *In Europe* we are really at the fork between an elevation to the power of capital over everything and everyone, and boundless possibilities for the working class. This is, let us say, the plan for political action. It is no accident that we have dealt with these topics. Then there is the other level. Today's U.S. is the theoretical problem for the future of all. We have already hinted at this. It is worth reiterating. Today there is a kind of sensation, an idea felt more than thought, of having reached the final limit of a classic epoch of the class struggle. In spite of all that we have said, the American labor struggles may have had to be first translated in European language for the labor viewpoint to fully become conscious of them. This knowledge [*presa di coscienza*] is, above all, destructive for a tradition. In order to build, it is necessary to leave behind our very present of classical labor struggles, and

enter, with the anticipation of the research, in a new post-classical epoch at the end of which, if the history of capital is of any help, it is not excluded that we might have the spark of a labor "general theory." "They" will necessarily be forced to march towards new forms of "Industrial Government." "We" must reject the temptation to write *Die Froehliche Klassenkampf*. We must invent for practice, in a strategically long provisional time, never-yet-seen techniques of political use of the capitalist economic machine by the working class.

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